Go Digit General (GODIGIT)

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Call: Aug 2024

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Shivajinagar Pune - 41100 5 Maharashtra | CIN: U66010PN2016PLC167410 | IRDAI Reg. No : 158

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Date: 1st August , 2024

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Mumbai – 400 001
BSE Scrip Code: 544179 To,
National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G Bandra Kurla Complex,
Bandra (East), Mumbai – 400 051
NSE Symbol: GODIGIT
Dear Sir/Madam,
Subject: Transcript of earnings call of the Company for the quarter ended 30th June 2024
Pursuant to Regulation 30 and Para A of Part A of Schedule III and Regulation 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith transcript of the earnings conference call on performance review of the Company for the quarter ended 30th June 2024.
The above information is being made available on the Company's website at www.godigit.com.
Kindly take the above intimation on record.
Thanking you .
Yours faithfully,
For Go Digit General Insurance Limited

Tejas Saraf
Company Secretary & Compliance Officer

"Go Digit General Insurance Limited
Q1 FY'25 Results Conference Call"
July 26, 202 4

MANAGEMENT : MR. KAMESH GOYAL – CHAIRMAN – GO DIGIT GENERAL INSURANCE LIMITED
MS. JASLEEN KOHLI – MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER – GO DIGIT GENERAL INSURANCE LIMITED
MR. RAVI KHETAN – CHIEF FINANCIAL OFFICER – GO DIGIT GENERAL INSURANCE LIMITED
MR. ABHISHEK SALUNKHE – HEAD OF FINANCIAL REPORTING – GO DIGIT GENERAL INSURANCE LIMITED
MR. PIYUSH BOTHRA – FINANCIAL ANALYST – GO DIGIT GENERAL INSURANCE LIMITED

MODERATOR : MR. RUSHAD KAPADIA – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to Go Digit General Insurance Limited Q1 FY'25

Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an opera tor by pressing star then zero on your touch -tone phone. Please note that thi s conference is being recorded.

And now, hand the conference over to Mr. Rushad Kapadia . Thank you and over to you, sir.

Rushad Kapadia: Thank you. Good evening, ladies and gentlemen. ICICI Securities is delighted to welcome you to the Q1 FY'25 Results Conference Call of Go Digit General Insurance Ltd.

Without further ado, I would like to hand over the call to their Chairman, Mr. Kamesh Goyal for his initial remarks, post which there will be a question -and-answer session. Thank you and over to you, sir.

Kamesh Goyal: Good evening and th anks for organizing the call, Ru shad. I'm here joined by our CEO, Jasleen, our CFO, Ravi, our Head of Financial Reporting, Abhishek, and Piyush, who is our Financial Analyst and also helps with the investor relations. So before I start, I would request everyone to refer to the slide 2 of the deck which we had published yesterday about the disclaimer.

Having said that, we'll quickly go to slide 3. I'll keep referring the page numbers so that everyone can also refer to the relevant page. I think as we have been speaking about since our IPO time, in Digit we believe in giving as good a customer experience as possible and customers also include partners.

We obviously want to empower our distribution partners more and more in terms of service, in terms of policy servicing claims and things like that. We also believe in automated and predictive underwriting models and this is something which keeps on evolvin g. From the day we started, we have been focusing on big time on the platform and this is also an area which we are continuously investing in.

This ultimately is backed by a culture of continuous improvement, driven by a stable and a strong management team. Moving on to page 4, the gross return premium for the first quarter of this year is INR 2,660 crores. This is collected through more than 30 lakh policies which we sold and this is a growth of about 22.2% compared to Q1 of 24. The market share, if you look at the definition of the market share here, is about 3.6 in this quarter and more towards about 6%. We have almost all kinds of products in the market now, about 5.34 customers and more than 66,000 distributors. We have now settled more than 21 lakh claims.

On an average, now we are processing on a working day about 3,500 to 4,000 claims a day. Assets under management in this quarter have grown to INR17,773 crores. We'll come to that as to how this happened in the later slide.

Manual policy strength continues to be low and as I said, we try and believe in giving the good customer experience. While our motor and non -motor claims NPS is mentioned here, with more than 2.5 lakh reviews given by the customers on social media, we are rated 4.7 out of 5 on Google and 4.9 out of 5 on Facebook. Moving on to the next slide, which is slide 5.

This basically gives you the trajectory of the financial numbers of the KPIs since financial year 21-22. Obviously, the last two columns are only quarter 1 against quarter 2. The net earned premium of the company has also increased from INR1,475 to INR1,824 crores. Net retention in the quarter is more or less stable at 76%. There is a 0.8% improvement in the combined ratio. The profit after taxes increased from INR 58 to INR 101 crores.

I think this is the first time a comp

any in a quarter has achieved a three -digit profit. The ROE,
which again for both quarters is not annualized, increased from 2.5 to 3.3. What obviously one needs to keep in mind is that the net worth of the company has grown substantially, almost INR 1,300 crores, from INR 2,384 crores to INR 3,698 crores in this quarter. This is due to the primary days of capital, which we did in the month of May during the IPO stage.

The solvency margin of the company has now increased to 2.17 against the required regulatory requirement of 1.5. As you can see, the solvency ratio of the company is actually the highest it has been in the last more than three years. The return on average equity for the quarter 25 is obviously on the higher base, the average of starting as of 1st of April and also ending of 30th of June. Moving quickly to slide 6, this is more about the premium growth as to how the premium is growing.

If you see the slide on the left side or the portion on the left side, you can see that in motor home damage we have grown. These are the numbers for the previous years and also the GWP mix. If I move to the slide on the portion on the right -hand side wher e we are comparing the numbers only for the first quarter 24 and 25, you can actually see that our growth in GDP and GWP on OD was about 27% against market 's 15%.

Growth in TP in this quarter was minus 2% compared to 10% for the industry. In health, travel, and PR, growth rate was 52% against industry growth rate of 17%. In this you can actually see a note below that in group health insurance or group medical MS ref erred here for employer - employee relationship, which is essentially the companies which they take health insurance for their own employees, this business has actually de -grown by 2%.

Though this data is not published separately, our sense is that this business would have also grown by about 12 %-13% for the industry. This is one segment we have de -grown by minus 2%, but overall essentially driven by personal assets and business. Growth has been 52% against 17%.

Fire business, we grew by 16%. Sorry, this is a mix. We grew by about 11% compared to the growth of the industry of 6%. And others, we grew by 71% compared to the industry's growth of 13%. Overall, 22% compared to industry's growth of 13%. I think if you think in terms of

mix, et cetera, one real change where motor TP has gone down from the previous quarter 36% to about 29% in this quarter while health, travel and PA has grown from 22% to 27%.

And as I said, this is really driven health, travel, and PA. This is despite us de -growing in the business of employe r employee group health business. Moving to the next slide, this again gives you the whole trajectory of the combined ratio movement from FY ’22 to now. As you can see, that claims ratio has moved up by about 2.4% while the expenses ratio went down by almost 3.2% giving us that savings of 0.8%.

As I have been saying in the recall also, as I said, we would look at loss ratios more over a period of one year and 2 %-3% movement in a quarter can always happen. For example, I think if you look at the month of May, normally one sees lesser claims in the month of May on the health side, but this year the number of claims for the industry we believe for the Digit has been on the higher side. While May -June due to school holidays used to normally see a higher number of own damage claims, but this year we d idn't really see that trend whether it was due to very high temperatures in June or otherwise.

It's very difficult to correlate to, but I think it's important, as I said, to look at loss ratios over a period of time and expense ratios are also driven by the mix , because commissions are different for say corporate business, group health, and crop compared to w hat the retail commissions are. Overall in the profit afte

r tax, I think last year, as you know, in Indian accounting we didn't achieve the breakeven in year 22, 23. Last EBITDA profit of INR 180 crores and this year a profit of INR 110 crores, INR1 crore against 58 in the same quarter in the previous year. Coming to slide 9, and here I think I wanted to say that if you look at ou r overall for financial year 24 , we actually had a total increase of roughly about INR3,050 crores, out of which INR350 crores had come through year 2 capital, which was raised in December, partly and some in March 24, and this year there is a growth of roughly again about INR 2,000 crores from March 31, 24 to June 24, and out of this INR 2,000 crores, INR 1,065 crores the net proceeds of the IPO and the balance of INR 944 crores is coming in from the business.

Looking on the sidebars on the right -hand side on the same slide 8, if you look at you can notice that every last three financial years our investment income has been going up. Our portfolio is primarily fixed income. In the first quarter 25, we actually b ooked a loss of INR 19.5 crores. During COVID time we had bought some government securities which were becoming due o r maturing in the next one year. And we decided actually to sell those securities and invest in corporate bonds with 3 years to 5 years duration. The economic logic of that is this loss, which we booked on this, will actually get more than offset in the next 12 months, and because all these securities are maturing in the next 1 years and now we have moved to bonds of INR 3 crores to INR 5 crores, this actually wil l give us the additional Alpha.

If we remove this, then our yield would have been 1.8%. That was the small, I would say, caveat I just wanted to put on the investment loss or the capital loss which we had. Moving to slide 9.

I think this speaks essentially about the asset allocation, and you can actually see that in equity our asset allocation has moved from 1.6% to 2.5% in quarter 1.

This additional investment, I would say, typically happened most of it on 4th of June when the market had dipped, and as I had mentioned earlier in our analyst call, that with this sort of a solvency margin, I think the company has enough room to move asse t allocation towards non - fixed income also.

Other than that, I would say things are stable. Our duration is also similar of 5.1 years , 5.2 years range, and the sector -wise exposure is also mentioned on the right -hand side, and all this exposure sector -wise is within the guidelines of the investment regulations of the IRDA. Coming to the next slide, slide 10, where we are looking at the loss ratios, and here again, as I said, we look at it over a period of time.

You can actually see loss ratios in my view are more or less similar to the trend we have seen over a period of time. The only thing in loss ratios in fire or engineering or some of that is that in the first quarter, the earned premium is a bit lesser, so even a small claim or a medium -sized claim can move the numbers.

As I said, loss ratios are broadly similar to the trend what we have seen in the last 9 quarters or so, but I would again repeat that we should look at loss ratios over a period of a year. 2, 3 per Percentages, points, movement up and down can happen in the business. The last slide is on technology, and here again, I would say the left side is more or less the sa me what was mentioned last time.

But in terms of API integration, if you see from 1st April 24 to 30th June 24, we have added roughly about 140 more APIs, and as you know, in terms of policy issuance, almost two -thirds of the policy issuance are happening through the APIs, and this obviou sly helps us to scale the business better, have better controls, and also, equally importantly, to give better servic e to our distribution partners.

Moving to slide 14, whic

h I think is all of the slides are a repeat of the 31st of March. As you know that the last time for the full year we had published our audited results on IFRS also, and also done this reconciliation between IGAAP and IFRS. The IG AAP results are obviously of limited review by the auditors, while, as I had mentioned in the last call, that IFRS results will only get audited at the end of the year, for the full year, and we'll be publishing those IFR S results, audited results also.

But this is more a reconciliation, un -audited, of the IFRS results, and here again, under IFRS 17, what the discounting impact is, what is deferred tax, deferred acquisition cost, so everything has been reconciled between IG AAP as well as on the IFRS side, and you can also see that the net worth is different between Indian IGAAP and IFRS. So that's really briefly about the comments.

We'll be happy to answer any questions that you may have.

Moderator: Thank you very much. We will now begin the question and answer session. Any one who wishes to ask a question may press star and one on their telephone and if you wish to remove yourself from the question que, you may press star and 2. Participants are requested to use handsets while asking a question. Ladies and gentlemen plea se wait for a moment while the question que assembles. The first question is from the line of Rishabh Gang from Sacheti Family Office . Please go ahead, sir.

Rishabh Gang: Okay, thank you. My question is more on the industry, right? So what do you think is the current and possible impact in 5 years to 10 years of a direct -to-consumer player on motor and health insurance business? These players have better control on relationship, higher ability to cross sell, and better retention rates. Also, the price offered can have huge difference since they don't have to pay hefty commissions year after year to the intermediary. So, any view o n that, sir?

Kamesh Goyal: So, Rishabh, I think I'm giving the view which is my personal view, and need not necessarily be Digit's view. I think in the last, say, 8 years, 9 years, 10 years, when you have to build a direct brand, and obviously GEICO is a company which really started building this almost 60 years, 70 years back, you have to get the customers to come now to your website, which basically means you have to spend money to build your website, to get the customers to your website or the app, and not really go on the other platforms.

Now, when you attract customers, then you have to also, in the next phase, you have to do the conversion. Now, customers who typically come in the B2C space, whether on aggregators or directly to the insurance companies, either would have some brand affini ty, they already have some products of the insurance company in place and they're coming, or they would be coming because they're price -sensitive.

Now, my experience is, as you said, in other markets also, it's very difficult for any insurance company in, say, Moto r space, if I give an example, to be competitive, even very large players, and more than, you know, even GEICO , I think, has a Moto r market share in US of less than 15%.

So, if you become too competitive in price to increase the conversion ratio, your loss ratios will go up, the expenses will go down, and if your conversion is low, then your expenses are very high. So, these are actually the things which one has to look at when one is building B2C brand. In Digit, we ’re completely channel agnostic.

Our philosophy is that we should be there wherever customer wants to come, t hrough any channel, and in our direct -to-customer segment, we actually now focus more and more on organic visitors, so customers who want to visit our website directly, and that is the philosophy is.

Rishabh Gang: No, so due to the direct relationship right , these guys can pro

vide more ancillary and support services to customers, also have higher control on the claim cost, and also that they have a better retention rate and cross -selling rate. So, what do you think about that, on that business model?

Kamesh Goyal: Rishabh, I don't know enough for me, you know, comment on that in terms of what exactly the cross -selling experience etc. is of B2C players,

Rishabh Gang: That's fine.

Kamesh Goyal: So I wouldn't be able to comment on that.

Rishabh Gang: What do you think about the support services, right, or ancillary services which we are able to sell because of the direct relationship? Any view on that?

Kamesh Goyal: My view is that I think understanding is that today I RDA regulations prohibit you from selling any ancillary services. So, at least from a Digit perspective, we haven't evaluated it because we are not supposed to sell anything other than insurance.

Rishabh Gang: Alright, okay. Thank you so much.

Kamesh Goyal: Thank you.

Moderator: Thank you very much. The next question is from the line of Kaushik Anand from A91 Partners . Please go ahead, sir.

KaushikAnand: Hi, K amesh and team. My question is specifically on Moto r TP, which is this quarter will be different compared to last year. Is there anything you are seeing in the market which is forcing you to pull back on the third parties of the market?

Kamesh Goyal: Hi, Kaushik. And I think as you know, in the last 5 -6 years, we have focused a lot on the Moto r TP business and we are a large or a decent -sized player here. The challenge we have seen in Moto r TP business in the last 3 years is that there's hardly been any price increase. There is always a bit of inflation in the TP claims.

And the market in the last 6 months, I would say, has particularly been aggressive on the TP market. So, I think during this 6 months, when you look at our numbers from January to Ma rch and now from April to June, viz in the TP business, we have not been as competitive in the market , in that business, which has led to this de -growth in the last 6 months in the TP business. But as I said, I think this is a business we are really focused on and we continuously will keep looking at the opportunities. But if we feel that the business is not profitable, it doesn't make sense for us to write it, then we will let it go. And I think that's wha t is happening in this quarter, and as in the last 6 months.

KaushikAnand: Thank you.

Kamesh Goyal: Thanks Kaushik .

Moderator: The next question is from the line of Arjun from SBI Mutual Fund . Please go ahead, sir.

Arjun: Thank you for the opportunity. Sir, within the NEP competition, our contribution from government -held business and crop business has increased, whereas Moto r's contribution has come down. Could you please explain on cost basis or on profitability metrics, how government -held and crop would be?

My guess is that it will be ROE dilutive because of no float and higher co re. If you can explain what would be the overall proportion that we intend to do for the entire year? How are the profitability metrics in this business? It will be helpful.

Kamesh Goyal: So, Arjun, as you know, I think we don't really give any forward -looking statement. But what I would say is that even in TP business, and I've said this before, or any business, you could be writing it at a core of 100, and the ROE could be zero or a bit n egative if the commissions are high. On the other hand, a business that are combined of 110 can actually give you a positive ROE if the acquisition cost from that business is low.

So that's really at a broader level. This government -held business you spoke about, I think this we have been doing now for almost three quarters. And so this is not really a business w

hich is new.

It is the same business for which I think every quarter we have been getting an instalment, and that obviously would be reflected automatically already in the loss ratio. As of now, Arjun, we are not declaring every individual line of business ROE separately. So you'll have to excuse me from giving very specific numbers on that.

Arjun: Sure, sir. This works. Thanks.

Kamesh Goyal: Thank you.

Moderator: Next question is from the line of Dipanjan Ghosh from Citi. Please go ahead, sir.

Dipanjan Ghosh: Hi, good evening, sir. Just two questions on my side. First, you know on the health insurance side of the business, if you can kindly mention how the overall claims environment is behaving in terms of frequency or incidence of claims. Some of your competitors seem to be highlighting that the claims incidence has kind of seen a little bit of an uptick during the past few months.

Second, you mentioned that you know the overall environment on the payout side and the competitiveness on the Moto r TP business have seen was high for the last few months.

I just wanted to get some sense of whether things have been improving in June or let's say early trends in July. How would you read into it? And lastly, in terms of your B2B businesses, which is fire or liability, I just wanted to get some understanding of the strategies for this business and how should one think of growth prospects for your company in this segment over the next maybe 12-18 months?

Kamesh Goyal: Sure. So I think on the frequency, as I said, that in May , June, or May especially we saw slightly higher claims on health and not that cyclical trend we saw in Moto r where we didn't really see a

higher frequency in May. But we need to keep in mind that I think now there are big climatic sort of a changes happening.

I'm not getting into the ESG side of it, but purely from a perspective that in June we saw very high temperatures, for example, in India in lot of places. And obviously, May, June, this quarter, there w as hardly any rain. But if you look at July, just one month, there are lot of places where it has just poured one month's rainfall in one single day. So I personally, or we didn't believe that while we should look at a month -on-month and year -by-year sort of a trend. But these are things which will change and which are changing quite fast. Overall, I think frequency and severity, both numbers lead to the loss ratio.

So from the loss ratio, you can actually see, as I showed you in our slide, but broadly we haven't really seen a change. Some o ne or two lines can go up and some can go down. But we have not, I would say, see n anything dramatic as of now, either in terms of things worsening or things improving.

Coming on the TP, I would say that July has just started. And I think by the time we get the numbers, segment -wise numbers for July for Moto r TP for the industry, it is difficult for us to judge as to what is really happening. So I would actually wait for the numbers rather than just go by what one hears from three, four, or five people.

In case of liability, our focus is on all sorts of liability catering to the corporate customers. I think this business has seen a good growth for us in the first quarter. And this is also an area with a full corporate marketing team in place and decent ca pacity in terms of ability to write the business.

We'll keep on exploring more and more business. But I think just to repeat that when we look at any opportunity, I'll say about two years back in in the year, 22 -23, or even 21 -22, this business, the corporate liability -related business, product liability, D&O, E&O , etc, this business was really small for us. But last maybe 12 to 15 months, we have seen a bit of a price increase here. And that is where we have started seeing growth.

So market is dynami

c. And I think if we are getting the price which we are comfortable with, we'll write this business and it will grow. But if it suddenly becomes very aggressive like what we have seen in TP, then we would not write that business. And that is why it becomes almost impossible for us to give any kind of a forward guidance because we look at the opportunities, the rate, suppl y and demand situation. And obviously we want to be across all channels in most of the lines of business.

But how this will translate in the next quarter is almost impossible for us to predict because we don't really work like that from a philosophy perspective.

Dipanjan Ghosh: Got it. So just one last question if I can. How has been the traction in business coming through your bank apartments and how are the relationships shaping up?

Kamesh Goyal: So I think in the group business which is health, PA, etc, the group business where we have seen decent growth, I would say that since we have de -grown in the corporate employer and employee business, in the other business which is non -employer and employe e and most of it would come through institutional partners like banks and these FCs, etc, that growth is really driven by that portion of the business.
Dipanjan Ghosh: Got it. Thank you, sir and all the best .
Moderator: Thank you very much. The next question is from Jayant Kharote from Jefferies . Please go ahead, sir.
Jayant Kharote: Thank you for the opportunity and congrats, Kamesh, on a good set of numbers. Two questions. one is on the motor only I would like to pick your brains a little. Can you elaborate on the trends in new versus renewals over here? We've seen some competition, seen very strong growth in the renewal business over here, especially given that new vehicle sales are moderating. So I would like to hear your perspective. And also within that, if you could spell out competitive intensity in those. I know it's slightly more granular, but any direction would be helpful over there.
Kamesh Goyal: Thanks Jayant! So in motor, if you look at the new car sales, might not have grown the way they grew last year, but at least there was some growth overall. And so from that perspective, the overall business of the new car sales hasn't really changed, hasn't really dropped compared to previous year. It might not have grown.
Secondly, I think when you look at somebody like Digit, which is about six years has completed into seventh year operation, and the new car sales have really been strong in the last two years, prior to that COVID year and prior to that, the lockdown year. So I think, obviously, our renewal base is increasing year by year now. So the renewals in absolute amount are definitely increasing. And then there is the third component, which in the industry is referred to as the rollover business in private car, which basically means that these are the renewals of other insurance companies. Now, here also, obviously, because last year was so strong in new car sales and prior to that, so there is a lot of business which flows, especially in the first year, after year zero when the new car is insured, from one company to the other and also from one channel to the other. I would say in our case, I thin k all the three, new cars, renewals, as well as rollover business, are really increasing in terms of the volume.
Jayant Kharote: And competitive intensity, new versus renewal?
Kamesh Goyal: So I think renewals again, depends upon channel to channel. So if you look at, say, agency as a channel, that has really good renewal ratio. In our case, I would say when we look at renewals in first quarter, through agency channel, we would have seen similar sort of a renewal ratio compared to last year, though on a higher base.
In case of rollover, etc., difficult to give a generic answer because this would also depen

d upon
which customer segment we are talking about. Geographies, make, model, all of that also play

a role. So , you might feel that I'm trying to evade the question. There is actually no generic answer which one can give about our business because the way we see it in Digit is in a very granular way. And if I give you a generic answer that, okay, in motor we are growing, which I said in renewals and rollovers, there would be some geographies or some make, model where we would not have grown. So competition intensity also can be very different geographical -wise as well as make, model -wise.
So it's just that I don't know how to answer this question from that perspective. But let's assume that the competition intensity is high. Let's assume that. Then it will show every quarter in the own damage loss ratios of the company. And the way we see it in Digit is we always look at expense ratio plus claims ratio together. So it could also happen in our case, for example, that the loss ratio is going up but it is getting compensated on the expense ratio and then vice versa. And that's why I would say if you're looking at our numbers, you should see it on the combined ratio basis. And you should look at all companies' loss ratio. I think only two companies have published in us. All the detailed numbers will be up in the next one, one -and-a-half months. And if you track this, you'll actually get an idea. Just to give you an example, in 2 2-23 year, the own damage loss ratios for everyone had jumped dramatically because during COVID people were driving less and this has been the global experience. I think Google will see that in the UK, motor prices are at an all -time high. And then people came back on the road more than what the normal was and suddenly own damage loss ratios went up.
And you'll see that also in case of Digit on our claim basis slide. In one of the years, in 21 -22, that year the motor own damage loss ratio was 74. So , all this will actually start showing on the data. We try and look at all the loss ratios of everyone in the industry to try and see what our trend is because you might have a feeling which is based on the feedback you are getting from others. But it doesn't really tell you what the reality is.

Jayant Kharote: This is very helpful, Kamesh. If I could squeeze in one last question. In the PA, personal accident book, is the Bank er channel sort of helping you grow so strongly over there?
Kamesh Goyal: That's what I think when I was answering to an earlier question that I basically said that since our employer -employee group health business has actually de -grown, the growth is happening through the institutional business which is essentially NBFCs, banks , and other similar sort of players.
Jayant Kharote: Very helpful. Thanks, and congrats , once again for a good set of numbers .
Moderator: Thank you very much. The next question is from Aditi Joshi from JP Morgan . Please go ahead.
Aditi Joshi: Thank you for the opportunity, Aditi here from J.P. Morgan. Two questions from my side. Firstly, on the product mix and on the overall product portfolio, I'm just wondering , what's your thought process on expanding this product mix or introducing new product categories?

Are you thinking of introducing any new product categories because what we have seen in the other markets, especially in case of online insurers, let's say some product categories of cyber insurance or pet insurance, for instance. So any thoughts on that? And also, because you've highlighted that you have very strong tech capabilities on the AI side and the automated claims processing, et c.
So just any plans of adding, let's say, a technology export segment to just help other insurers on a tech export business segment? And just la

stly, on your investment side, I was just wondering ,
in terms of the equity exposure, it's somewhere around 2% level. So why is it low as compared to the peers? And do you have any plans on changing your asset allocation mix going forward?
Kamesh Goyal: Thanks, Aditi. So let me start with investment. If you look at last six years, the way we have grown and we needed in our business when we were growing well and especially in the initial years because of the iGAAP accounting, your losses are high because you have to up front all the acquisition costs. So we needed a lot of capital for the solvency margin perspective itself, not from a cash flow. Because cash flow, I think we have been having positive cash flow from almost the first or the seco nd quarter since we started. And in investments, if you're investing in equity, then any loss in the equity actually goes through a solvency margin.
So our philosophy has been that since we needed all this capital for growth for solvency margin, we did not want to take a risk on the equity side because in a down market, you might actually have to raise capital if your equity allocation is high. Now I t hink if you think from a perspective of solvency margin in 2017, and I'm just giving some rough numbers, and you have 10% investment in equities and the market drops by 20% or 30%, your solvency could drop by 20%, 25%, you would still be comfortable.
So I think we would definitely be looking at now increasing our allocation towards equity. And as I said, this quarter we reinvested roughly about 150, 160 crores in equity because we had an opportunity on a particular day. Going forward, we'll keep increasing it, but we don't really have a fixed time frame to say that every quarter we'll increase it by 1%, 2%. I think we have a fairly experienced investment team and also a board member who is a specialist in investment himself. So I think our investment c ommittee and our investment team really would decide as to when we increase the equity allocation.
On the product mix, as I was referring earlier and I'll answer the question on the new category, that we don't drive ourselves for a certain sort of a product mix. We don't have any ideal target product mix also in mind. In terms of new categories, we are continuously evaluating whether it was a government health or it is crop or it is something else as an area. This year we are consciously looking at doing something more in the rural areas.
I think the product, the process, all of that is set very early. No t very early times for us, I would say, in terms of selling a few policies. But I think if this develops well, maybe after about a year or so, I will be happy to talk about this as a category.

In terms of AI, etc., I think we use AI and I would also use attached analytics to it both in pricing as well as on the claims side. And when you look at automating decisions, whether it is in underwriting, policy issuance, claims allocations, claim assess ment, I think this is something which is continuously we have been investing and that the scope of all this has continuously also been increasing. I think some of the examples of this we had covered in detail in our RHP.
So if that is of interest to you, the data might be now about 3 -4 months or maybe 6 -7 months dated, but it will actually give you a good idea as to how we are looking at this AI and analytics.

Aditi Joshi: Thank you so much.
Moderator: Thank you very much. The next question is from the line of Kartikeya Mohata from B&K Securities . Please go ahead.
Kartikeya Mohata: Hi, thanks for the opportunity. I just wanted to ask one question related to the management expenses. So we witnessed a steep decline this quarter in management expenses. Is there any one-off in that or will this be a sustainable trajectory in terms of the expenses?
Kames

h Goyal: So basically, I think if you look at the entire industry, both actually on the life and the GI side, till 2023, the commissions were actually fixed by the regulator. And other acquisition expenses were actually going as part of the management expenses. Now I think after this was liberalized as of April 1, 2023, you would see this across all companies that a lot of management expenses are now moving towards commission.
If you want to have an idea in terms of what the efficiency is on management expenses, my suggestion would be that you should actually look at this ADAPT product or a line of business level for the last three years where you are looking at management expen ses and commission together. And then it will give you, I would say, a real good idea about each company. Making comparisons at the LOB level can also be a bit difficult at times because if you are writing more long-term business, writing more 2 wheeler, 5 plus 5 business, compared to somebody who is more focused on CV business, for example, or on private car, 1 plus 3, there also it can make a difference.
But for one company, looking at line of business, total expenses over the last three, four years will actually give you a good idea about this. But again, just to repeat what I said earlier, in Digit we look at overall expenses plus claims ratio together and we don't look at them individually. We are okay to have higher expenses if the loss ratio is low and we are also happy to have a higher claim ratio and a higher COR if the commission and the expen ses are lower because, as I said earlier, at 110 you can actually deliver a positive ROE and at a combined of 100 you might actually have a negative ROE. So that's really the long answer to your short question.
Kartikeya Mohata: Sure. Thank you so much.
Moderator: Thank you. The next question is from the line of Mahek from Emkay Wealth Management . Please go ahead.

Mahek: Thank you for the opportunity. So I had this question on personal accident. So you have grown significantly during the quarter in this segment. So, do you expect further growth in this segment? And secondly, can you share your thoughts on how you would like to grow in the crop segment? These are my two questions.
Kamesh Goyal: So as I said, I think this quarter what we saw is also a large policy. I think we'll keep looking for opportunity, but I won't assume that this is something which will repeat every quarter. So that's the answer I can give.
Mahek: I wanted to know your thoughts on how you're looking to grow in the crop segment.
Kamesh Goyal: So I would say, Mahe k, I think you can actually see what the portfolio has been developing . How exactly we intend to grow, etc., that is something I wouldn't really want to discuss because everyone has their own philosophy in terms of how you develop different channels or different lines of business. So all I can say is that this is a segment where we did a lot of business in year 18-19, which was our first full year of business. Then the business vanished. Now in a small way, significantly st ill less than what we did in our first year, the business has started again picking up. And that is where we are as of now.
And depending upon the rates, depending upon how we see the opportunity, we'll keep exploring this segment. We need to just keep this in mind that crop business, especially in India, is highly dependent on monsoon. And the results can be very volatile, whi ch is absolutely fine with us. But one cannot really take a very long -term sort of a view in a business to say that, no, we'll always write this business , this is the minimum we'll write because things change dramatically. And the best case in Digit is to actually look at third -party business.
If I remember correctly, in 2021, the third -party premium would have been more tha

n 50% or
55% of our total business. And now this has almost dropped by half in the last three years. So things can change dramatically, especially in our sort of a philosophy in the way we write and drive busine ss. But we definitely keep our distribution channels, our operational ability, our ability to underwrite, handle claims in every single segment so that if there is an opportunity, we can take it. But if there is none, then it's not necessary that we'll write that business.
Mahek: Thank you so much, sir, for this great answer. Thank you.
Moderator: Thank you very much. The last question is from Sujit Jain from Bajaj Allianz Life Insurance .

Please go ahead, sir.
Sujit Jain: Yeah, compliments on a good set of numbers. A few one -liners if you can give. If we look at our size versus the industry leader who has also reported numbers, these are roughly four times our growth rates are similar. So could the growth rate be higher? Improvement in car this time has come from expense ratio. So how sustainable this is?
The improvement in expense ratio, Q and Q from 12.8% to 9.6%, how much of that is because of leverage and how much of that is because of managing costs better and therefore likely to

sustain? And finally, you explained some bit of it in terms of our equity exposure, but yield on investment has fallen Q oQ from the investment yield from 7.3% to 6.8% , if you can explain that. Thank you.
Kamesh Goyal: So, Sujit , the investment if you see, I explained in the slide and also mentioned we booked a 19 crores loss because we sell some government securities which would be in the next one year and booked that loss and replaced them with a three to five year corporate bonds where this 19 crores loss will actually get recouped in less than 12 months . And because the duration is longer of the bonds compared to the government securities, this will also then be value accretive for the rest of the period . If we remove that, then our investment yield has been more or less similar, 7.2 if you look at on an annualized basis compared to 7.4 in the previous year. So that's on investment.
I would say , in terms of expense ratios and commission, etc, as I said in Digit, we look at combined ratio s together, both of expenses and claims ratio. And as I also explained, that commissions, if you're writing government business, the crop business might be just 2% , management expenses might be another 3% - 4%.
In government health, your overall expenses might just be 5% - 6%. In group health, it might be 10% including the brokerage, while in motor business or two -wheeler it could be as high as 40% commission. So all that is actually a function of the product mix, which you have.
And you can also see in our case that the mix is increasing towards the non -motor side. So this would always be a function of the product mix. As for the core management expenses are concerned, I think in terms of premium per employee, including outsourced employee, etc, we believe that we are doing well on that front compared to others in the industry. And that obviously is due to the fact that we invested significantly in the tech upfront and the benefit of coming as, as the scale is increasing more and more .
As for the other players, industry, etc, as I said, everyone has published the numbers and others will publish too. And amongst the listed companies you mentioned, they obviously are a very good company and we also look at their results with as much enthusiasm as we do ours.
Sujit Jain: So basically, can we grow at a higher rate? Their GWP is four times ours.
Kamesh Goyal: That is true. That's a matter of fact, Sujit. They started in 2001 we started in 2017. And so about 16 years later, I don't know the numbers correctly, but if you look at the top three, four players and then see how many years people took

to reach the 9,000 crores, which we reached in our
60th, compared to what they had, o r even from a market share perspective, I would not say that we have done amazingly well, but we have done better than almost most companies globally, not just in India.
But I take your point that our size is much smaller compared to the largest private player and we have a long way to go. I think that point is well taken.

Sujit Jain: And one just last question is on health, which is roughly 14%, 15% of our midterm and as an absolute number also is smaller. What is our right to win in health? How do you view this business and how do you articulate your strategy there?
Kamesh Goyal: The same way we had a right to win in motor TP business earlier, where we became a third largest player in our fifth year or in our fifth year of operations. And now we don't have that right to win, where we are de-growing. So same way in every single line of business, in fire, for example, we have grown more than the industry.
So everywhere you have to keep trying and building some sort of advantage, whether it is in underwriting, whether it is in distribution reach. But the way we see this general insurance business, is at the end of the day, it's an underwriting business. It basically means you should know what you are writing. Then we can retain that business. And if you look at last year, our premium retention ratio is the highest in the industry.
And for every single line of business, if you look at the last three years, overall, I think we

probably would be the best in class or maybe the second best in class, looking at each year, overall portfolio. But even on every single individual line of business, my sense is, and you should double check, we should be in the top quartile. So according to us and our philosophy, the right to win only comes from your ability to underwrite the risk and retain the risk. And that is where we keep striving towards bu ilding our capabilities.

Sujit Jain: Sure, all the best. Thank you.

Kamesh Goyal: Thank you. Thanks everyone for joining. Look forward to you joining in our next quarterly call again. Thank you so much. Bye.

Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Oct 2024

Go Digit General Insurance Limited | Ananta One (AR One), Pride Hotel Lane, Narveer Tanaji Wadi, City S urvey No. 1579, Shivajinagar Pune
- 41100 5 Maharashtra | CIN: U66010PN2016PLC167410 | IRDAI Reg. No: 158

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Date: 29th October 2024

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Mumbai – 400 001
BSE Scrip Code: 544179 To,
National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G Bandra Kurla Complex,
Bandra (East), Mumbai – 400 051
NSE Symbol: GODIGIT
Dear Sir/Madam,
Subject: Transcript of earnings call of the Company for the quarter and half year ended 30th September 2024
Pursuant to Regulation 30 and Para A of Part A of Schedule III and Regulation 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith transcript of the earnings conference call held on Friday, 25th October 2024 on performance review of the Company for the quarter and half year ended 30th September 2024.
The above information is being made available on the Company's website at www.godigit.com
We request you to k indly take the above intimation on record.
Thanking you ,
Yours faithfully,
For Go Digit General Insurance Limited

Tejas Saraf
Company Secretary & Compliance Officer

Go Digit General Insurance Limited
October 25, 2024

2

"Go Digit General Insurance Limited Q2 FY'25 Results
Conference Call"

October 25, 2024

MANAGEMENT : MR. KAMESH GOYAL – CHAIRMAN – GO DIGIT
GENERAL INSURANCE LIMITED
MODERATORS : MR. RUSHAD – ICICI SECURITIES
MR. ANSUMAN – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to Go Digit General Insurance Limited Results Call hosted by ICICI Securities.
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch -tone phone.
Please note that this conference is being recorded.
I now hand the conference over to ICICI Securities. Thank you.
Analyst – ICICI Securities: Good evening all of you . Welcome to the Q2 FY '25 Results Conference Call of Go Digit General Insurance Limited. We will start the call with "Opening Remarks" from the Management, following which there will be an opportunity to ask questions.
I now hand over the call to Chairman – Mr. Kamesh Goyal. Thank you, and over to you, sir.
Kamesh Goyal: Good Evening and thanks for organizing this call. Before I start, I would request everyone to refer to the investor presentation published yesterday. I'll keep referring to the page numbers so that everyone can also refer to the relevant page. I will try and cover each of the areas in detail so that everyone who has joined the call gets a perspective of what has happened in this quarter and then as in the past will be happy to answer any questions that you may have.
So, I am on Slide #4, serial number. This is, as you know, the standard slide we have. We have given the H1 numbers here. We crossed 5,000 crore premiums, growth of about 18% in H1. We will cover quarter -wise later. The market share in motor was 6.2 %, overall, 3.3%. Number of claims, number of partners, customers, all of them are increasing. AUM has crossed now 18,500 crores. Manual policy insurance continues to be miniscule and customer satisfaction score continues to be high for motor claims as well as for other claims .
If we go to the next slide, I think here if we look at quarter -by-quarter performance, we have grown by about 14% in Quarter 2 and I will talk about the industry numbers a bit later. There is a net earned premium is also grown. Net retention ratio, everyth ing is in place.
I think there are two points which one needs to look at here. One is the loss ratio has gone up by 5.5%, which has then increased the combined ratio by about 3.4%. So, I think if we look at our loss ratio to increase of 5.5%, I think 2% of these losses ar e coming due to the floods in Quarter 2. Last year, you would recall that our industry and Digit also had seen a lot of Nat Cat events, but all those claims have actually come in Quarter 3. Quarter 2 last year actually had no Nat Cat claims, so this 2% difference is actually coming in from that.
The second is, last year our motor TP loss ratio was about 56%. This year our motor TP loss ratio is 66%. Now, what has happened here? Now if you look at it, last year whatever claims TP reserve release we had in the entire year, 37% of that reserve relea se had actually happened in the second quarter.

Basically, last year's second quarter was an outlier in terms of the TP claims reserve release. If we normalize the TP claims reserve release and remove for the Nat Cat, which there was no claim, our loss ratio actually would have been the same. And this is also visible later in the deck if you see a line wise business. Health where you would recall where the last two quarters we have actually been seeing reduction in our loss ratio, prior it has reduced.
So, overall loss ratios have actually continuously reduced across all lines of business, but outlier in terms of reserve release in Quarter 2 last year and 2% loss ratio coming in due to Nat Cat or due to floods has actually impacted the loss ratio. Overa ll, the expense ratio

has actually gone down.
So, this is actually the point I wanted to bring across here. If you also look at our H1 ROE is about

6%, not normalized. And despite the increase in combined ratio in Quarter 2, our actual profit has gone up 3x. Now, obviously, our investment income has not increased by 3x during the same quarter.

So, one another point I wanted to actually say is that the way this combined ratio is calculated under IGAAP , this is not a true reflection of profitability. So, this is the point I wanted to really make on this slide. Our solvency ratio has increased to 2.18%, which I think is good. Then as you know, the minimum required is 1.5%.

Now when we go to the next slide, and if we look at the growth in detail, and here again, I will focus more on Quarter 2. In motor OD, industry has grown by 6%, we have grown by 14%. In TP, industry has grown by 6%, we have grown by 2%. If you remember in quarter 1, in TP there was actually no increase. In fact, we had negative growth. So, in TP we are seeing a better trend.

In health, fire and PA we have grown by 7% while industry has grown by 3%. And here again, like last quarter, in the employer -employee group health space, we have actually de -grown by –3%. And fire, we have de -grown by –7%, industry is –11%.

In our case, there was one large account we had last year in the tender account, where due to pricing we lost the tender. That is why this discount is there. If you remove that from the base, even in fire, we have actually grown compared to the industry.

So, overall, in a very tough quarter of growth for industry at 2%, we have actually grown by 14%. So, the growth rate has actually in a very difficult quarter has been good.

Now I also wanted to say that non -employer -employee have shown and spoken about de -growth. And I would maybe like to make two points here. In non -employer -employee, when the de -growth is happening and it comes at a lower expense ratio, our segment for att achment business or credit - linked business has actually grown by more than 100% during this period.

So, what it does is that in the Indian accounting, the benefit of a lower loss ratio in health because you are de -growing on group health, it will happen over a period of time. The expenses on the attachment products hit you immediately. And here again, t he earning of this premium will actually happen over the next two years.

So, when you are in a situation where a low expense business is actually de -growing and the higher expense business is growing a lot, it impacts your expense ratio immediately, but the benefit of lower claims ratio will actually flow over a period of time . And that is also, I think, one has to keep in mind in terms of how the expenses are moving.

The second point I would want to add is about TP business because, as you know, it is a very important line of business for us. Last year, in the first half, we had actually a market share in TP business of 7.1%. Since we realized that the premiums are not increasing, we have started cutting some business. So, our market share in Q3 last year was 6.3 %. So, H1 was 7.1 %. Q3, it went to 6.3%. In Q4, it actually went down to 5.7 %. So, overall, we had a, for the full year, a market share of 6.5%, H1 was 7.1 %, H2 was 6 %, overall 6.5 %.

Now when we started the year, the Q4 market share in TP was 5.7 %. We reached 6.2% market share. So, market share increased, but we still had a de -growth in business. In Q2, our TP market share has gone to 6.9 % and we have seen a bit of growth.

Now in H1, in H2, our base is a 6% market share. I am not giving any guidance here, but if you look at both in Q1 our market share was 6.2 %, Q2 6.9 %, H1 is 6.6 %. Last year the H2 market share was 6 %. And why this was possible is that when we reduce the business where we felt that we are not getting the requisite

ROE, then we started finding in segments where we can grow the business. And as I explained, we have started seeing really the results of that.

So, that is really the perspective I wanted to bring in that though we grew from 2% to 14%, but in terms of directionally, especially employer -employee, which constitutes a big proportion of our business and TP, especially in TP, what the base effect will be in H2. I will cover about EOM in a bit more detail later as we publish that we have received a show cause notice. I will cover that in a bit more detail later, but this is what I wanted to bring in.

The second aspect in this slide, Slide #6, is if you look at, there is a continuous increase in the mix towards TP business, which is now I would say stable at about 21%. TP has gone down in H1, but in Q2, we have actually seen also a bit of a drop compar ed to last year, but compared to Q1, TP proportion has increased, and OD business also is stable more at 23%.

So, let's move to the next slide, which is Slide #7. I think this is the combined ratio, and as I have explained already on the loss ratio, now let me explain a bit on the expense ratio. So, expense ratio has reduced by 2.2%. This is despite the fact that our employer -employee business has actually

degrown, which comes with a lower expense. Our non -employer -employee business, which is the attachment business, which comes with a higher expense ratio, has substantially increased. Despite that, we have reduce d our EOM.
Now, when we look at the market, and you can look at the results of, say, the large, maybe amongst the largest private companies, in both quarters, in Q1 and Q2, their expense of management has actually increased over the last year. In case of visit, in b oth the quarters, we have actually seen roughly about 2.8% reduction in expense of management compared to GWP. So even on expenses, whatever we have discussed in the past, about the glide path, etc., I think we are on a good track.

Now, last year, if I give you exactly what happened on the EOM front, we filed for forbearance application with IRDAI in March, in May '23. In June, IRDAI sought additional information. June, we submitted the response. In July, IRDAI sought a detailed bus iness plan. August '23, we shared a detailed business plan. December '23, we submitted updates on the EOM plan for 2024, based on first -half performance.
Now, October 28, so from December 23 to October 18, there is no further correspondence with IRDAI. Now, IRDAI has issued this show cause notice to a lot of companies. Since we are listed, we obviously had to publish it.
Now, when we look at the glide path which we have shared with IRDAI, last year, which is ‘23 - 24, we have actually done slightly better than what we had shown in the glide path. IRDAI obviously has no visibility to the expenses of management of second -halves. So, I would again say that IRDAI is, and this is our intent, this is our interpretation, our assessment, that IRDAI obviously is serious about EOM, they have issued show cause notices, and they want to understand where we are in H2 and how do we intend to stay in the path.
And as I explained, and I would request all the analysts, that even for the larger companies, please look at their EOM, you will actually see an increasing trend. I would expect, if this trend continues, even the biggest of these companies to exceed this 30% EOM limit. And at this stage, we feel that we would be able to follow through at this stage on our glide path.
As of now, based on where we are today, 18 months into the glide path, we feel that we will be able to achieve on the expense of management. So, that is what I really wanted to cover in this slide on expenses because claims I had covered earlier.
Now I think this slide is also very important for two reasons. One is that you can actually see tha

t
in this quarter also we have added, in the first half we have added about 1,659 crores in terms of AUM and this is coming from the business surplus. If yo u look at our capital gains in this quarter or in the first half, this quarter our capital gains is 10 crores. This is essentially IPO proceeds. Some of the IPOs we have applied for, we got allotment, and we sold, so we booked these gains.
In the first half, we still have a capital loss. If you compare our profit in this quarter coming in from capital gains, this is less than 3%. In the first half, capital, we actually have a capital loss. You can compare this result with any general insura nce company and see what is the capital gains contributing as a percentage of investment income and you will see an increasing trend.
Now here I just wanted to again emphasize that our business model is about higher retention, higher leverage. As of now, our investment yield is coming in purely from fixed income, in fact, actually having a capital loss. So, the quality of our earnings a nd dependence of our earnings on the stock market is the least it is in the entire general insurance industry. And maybe that is the point which I will say that I personally have never really explained it in the way we are doing.
Since capital markets now in the last two three weeks have been a bit nervous, you can imagine and I am not hoping for it, you can imagine if markets drop by 10%, what it can do to the quality of earnings for everyone else.

On the fixed income side, our duration is five years, and you will see in the next slide our quality, I will speak about fixed income in detail. If the interest rates go down, we are actually sitting in a very, very good situation. And this is something r eally important.

So, I have covered claims, I have covered expenses, I am now covering the third piece of investment and I wanted to emphasize the quality of investment earnings because having capital gains in a very bullish stock market, unfortunately markets have been v ery bullish, especially in the last 2.5, 3 years. We know the cycles come and across the world in 2000, in 2008, Euro prices of 2012 -13, you can actually look across that do PNC or non -life companies dependence on capital gains is as high as it is for some insurance non -life companies in India.

Now I think this slide is important where we have made one change based on the feedback we have received from some of you that last time we used to show AT1 bonds which by nature of being quasi -equity were actually rated in AA segment.

So, some people had asked us why you are investing in AA rated bonds. So, I just wanted to say here again that if you look at our investment in terms of percentage or proportion, equity is 2.4, sovereign is 40%, AAA and equivalent is 40%, AT1 bonds is con stituting about 10.8%.

Now in AT1 bonds, if we look at, the total investment is 1,945 crores and out of 1,945 crores, 67% or two -thirds is with SBI AT1 bonds, 27% of AT1 bonds is coming in from Canara Bank and 6% is actually coming in from HDFC.

Now why this opportunity came in AT1 bonds and why we took it is, as you know, in mutual funds, last year some changes were made in terms of calculation of duration for AT1 bonds and AT1 bonds by definition then became unattractive for mutual funds. The y ields for AT1 bonds had actually gone up when they were issued at about 8.2%, 8.3%, and when we looked at this, we felt there is a good opportunity, and we actually invested in AT1 bonds.

So, our investment portfolio also is not geared towards AA. It's actually towards AAA, sovereign bonds and AT1 bonds and other bonds are really, really less and even there, we have AA and equivalent is still 5.6%, AA minus is 0.6. So, this is I really wan ted to speak on the investment.

So, just to recap investment, we are talking about the quality of i

nvestment income, least dependent
on capital gains. In fact, we have a capital loss in H1. Compare this with any other large multi -line company in India, look around and see across the wor ld do insurance companies depend non -life companies so high on capital gains as we have seen in some of these companies.

Our bond portfolio is absolutely good and within the bond portfolio, what was actually being shown in AA rated is actually AT1 bonds and I have already explained, SBI is 67%, Canara at 27% and HDFC Bank at 6%.

Now moving on to the loss ratios. I think results will come out for the entire industry as we go along. Our sense is that on the loss ratio, we should continue to be amongst the best in class and in the top quartile in almost all lines of business.

Last time I had said that in group health we are seeing very aggressive competition. Every quarter you will see companies which gained the market share in group health or grew group health business in employer -employee aggressively, the loss ratios are act ually increasing.

If you look at Digit's, in Q2 we were at 86. In Q1 we have actually moved to about, I think, 83% or so, 84%. In Q2 we have actually gone down to 81%. And you link it with what I said earlier.

Our high growth in attachment products is still not showing ful ly because it will get earned over a period of the next one to two years.

So, fire loss ratios are 54%. We got some fire claims, especially in Gujarat during the flood in Baroda. Engineering we had one Nat Cat claim of flood, but engineering down premium is actually quite less. And overall, our loss ratios continues to be good. I have already explained in TP from 56 to 67 and why in last year's Q2 37% of the yearly reserves were actually in Q2. This year we don't foresee. And again, it's not our guidance. We don't foresee the releases which we had in the first two quarters that are releases in Q3 or Q4, if the trend continues of claims would actually be lesser. So, there is no reason for us to believe that.

Let's go further. I think you know this. So, I will only say that our focus on APIs continues. Two -third policies continue despite the growing number of policies because with increasing APIs, we are adding more and more APIs, and it is issuing more and mo re policies. So, even in the first half if you look at it here, we have added 270 APIs, new APIs in 6 months, which I think is a decent number. So, that really is this.

Now this is, sorry, let's see the IFRS. So, as usual as you know last year we had published audited IFRS results. I would also mention that every company, especially large ones should publish IFRS results because this gives you much better idea on profita bility compared to the IGAAP because as I explained earlier in IGAAP, the impact of say employer -employee, non -employer -employee companies which do upfront high reinsurance and book the reinsurance commission now show a

lower loss expense ratio. All these gets actually normalized in IFRS, and you can actually see in IFRS, the first half what are unaudited results of the ROE, and the overall result is.
Last year, '23 -'24, we had not prepared IFRS Results in the first half. We had started preparing this from Q3. So, you will actually be able to see the Q3 Results when you see next quarter. You will be able to see the quarter -on-quarter also movement in I FRS. When we enter here, our statutory auditors for IGAAP will also be auditing the IFRS ballot sheet.
So, we have 100% readiness to move to IFRS. I must say that there are some companies we believe don't want to move to IFRS and by telling the regulators that they are not ready and they will not be ready, they have actually pushed the IFRS to this.
Personally, for me, this is a signal that for some of these companies who are seeing this, their results in IFRS might not be as good as what they

are telling people informally. So, this is what I
really wanted to say on the IFRS. All these triangles are old ones, so would not really cover that, but we will obviously publish all these triangles also at the end of the financial year. That's about it.

So, I think I have taken 50% almost 50% of the time. I will hand it back to the moderator and we will be happy to answer any questions that you may have. Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Mahek from Emkay Global. Please go ahead.
Mahek: So, my first question would be on the net retention ratio. So, I just wanted to understand why is there a dip in the net retention ratio. And the second thing was can you just repeat what commentary you gave on the reserve release?
Kamesh Goyal: Comment on the reserve release. So, actually this year, I will not be able to share details. You will have to excuse me for that. If you have seen our miscellaneous portfolio and in some help we have started working on some new product lines and in some n ew product lines, we have two or some major partners.
We have actually opened up a re -insurance line so that we can develop these products in line with our partnership with our re -insurance for the longer period. But here again I would say if you look at our overall retention, it continues to be significantl y higher than everyone else in the multi -line sector.
Now on the reserve release, what I mentioned was that if you look at last year in terms of our TP claim reserve release, we basically said if you are releasing Rs. 100 in a year, it is not 25 -25-25% each quarter last year. Last year in Quarter 2, we releas ed 37% of our reserves which means more than if 25 or 23 was normalized, we released almost 1.5x the reserves. So, the total because of that Q2 actually became an outlier and because of this the TP loss ratio this year seems higher. If we normalize the res erve release, then actually on the TP claims, it is not that our portfolio inherently has a higher loss ratio. It is just because of this outlier very high reserve release in Quarter 2 of last year. This is what I meant by reserve release.
Mahek: So, sir, in H2, are you expecting any reserve release in H2 for the motor TP reserves?
Kamesh Goyal: No, as I said, we don't want to give guidance, but every quarter if you see, we have been having reserve release. What I mentioned was that in the last two quarters, whatever trend we have seen, we have no reason to believe that this trend will not contin ue for the next two quarters and TP release, but since by principle we don't give guidance. Sitting here as of now, those reserve release will continue until less suddenly more accidents start coming in or something which we don't expect. So, that trend should continue for the next two quarters.
Moderator: The next question is from the line of Supratim Datta from Ambit Capital. Please go ahead.
Supratim Datta: My first question is on the health insurance side. So, sir, what I was asking is on the health insurance side, firstly, I wanted to understand within the group health business, what proportion of your group health business is now attachment products versu s employer -employee products, if you could give us the breakdown this quarter versus what it was last year similar quarter, that will help us understand how things have moved here.

And the question over here is that, you know, which are the banks or partners that you are selling this product through? And is it an attachment with a loan or attachment with credit cards? Because currently what we are seeing is on the lending side, ther e is a slow down, things are slowing down. So, just wanted to understand how things can play out or if you

have added newer partners here, if
you could give us some clarity on how we should think about growth in this product going forward, that would be he lpful.

Now, moving to the motor side of the business, now, if you look at the commentary from peers who have reported or some of the auto OEMs, it suggests that second half, the volumes are going to be muted. Now, in this scenario, how do you look at growth in t he second half or how you are thinking of or what steps you are taking to drive growth in the second half, if you could give some color on that. And then what happens to this glide part, if OEM, the auto demand remains weak? Then despite that, could we sti ll get to our EOM target within the timeframe given or we would have to revisit that? If you could give some color on these three points, that would be very helpful.

Kamesh Goyal: So, thanks, Supratim. So, on the attachment products, I think this corporate agency information is public. I obviously don't want to share names of the companies, etc., simply because this can only harm us rather than help. Some of the biggest banks we ha ve started working with, we sell it with loans, we also sell it with credit cards.

Now, again, in terms of without giving an exact proportion, our employer -employee business de - grew by 3.3% in this quarter, while the growth in attachment business was 110%. So, you can actually see that this business is growing nicely.

Now, if the group health pricing, employer -employee pricing, improves, then this mix can again change, but it will come at a price for us, employer -employee, where we should not be making big losses. At least we should try and achieve a break -even. But th is growth which we are seeing in non-employer -employees continues will continue, and it will continue for two reasons.

This year, the first half has been a bit difficult on personal loan segments, on micro -finance, etc. We do a lot of business with them. Now things are getting normalized and our chances that H2 will be very good or better, significantly better than what a lot of these partners have in H1.

We are also launching some new partnerships. So, the proportion can change because we might end up writing more employer -employee business if pricing corrects. So, instead of looking at proportion, I would say that the growth rate in non -employer -employee attachment products will continue to be strong.

Now when we look at the motor business, I think I explained in detail on the TP side as to what the basis for last year and how we have started seeing increase in our market share on TP. In H2, our last year base is only 6% market share. We are actually f inishing H1 this year with a market share of 6.6. For TP, all things being equal where the market is, we definitely should grow in the second half. But again, as I am saying, all things being equal as to where we are.

On the OD side, the new vehicle sales were muted and that is why if you look at, we grew in motor OD by 14% in Q2 and industry grew by 6%. So, our growth rate in OD is in quarter as well as in the first half has been 2x of the industry.

Now we obviously also have a very good base in the old vehicles or renewals coming in from last year. So, if new vehicles continue to be sluggish, the sales, again, I think there is no guidance, but you can see that we have been growing faster than the in dustry on the OD side. So, TP and OD put together, you can actually then see what could happen on the motor.

Now on EOM as I explained, we had a 3 -year glide path. I gave the date lines from December. After submitting the updated business plan and updating the H1 performance in '23 -'24, we haven't heard anything from regulators. They obviously have no visibility to what has happened with us on the expenses on '24 -'25.

Last year we did slightly better than the glide path we had show

n. Based on where we are today,
we feel that we will be able to achieve the glide path over 3 years. And as I also said, please do look at the expense ratio, EOM of some of the larger compani es. Their EOMs are going up, our EOMs are actually reducing.

I had also said in the past that EOM is more a function of the line of business mix rather than actual EOM because for each product line, the expense ratios are more or less similar for everyone.

Now as we know that this year especially, the way accounts are prepared for commissions and

management expenses have become a lot more transparent. If you look at quarter 1 at 7.5%, our admin expense ratios are industry's best. So, you can actually very w ell see that when it comes to our own expenses, despite being new and despite having lesser scale, these are the best in class in terms of our admin expense ratio. Our EOM is actually coming in from a product mix. It is not due to our inefficiency. In effi ciency, we are already the best in class despite having a lower scale. So, this is maybe an additional point I can add about EOM in terms of our admin expenses.
Supratim Datta: Now I have just one follow up. So, given you are one of the best and on the OPEX side, it can be seen that despite your scale, you are better than some of the larger players. But then the question is that, can this improve further, or has it come to a lev el where it will remain at a similar place? So, if you could give some color on that, that would be helpful.
Kamesh Goyal: Everything can be improved. So, first time I used to sleep 7 hours, 4 years back. Nowadays I sleep 9 hours a day. So, I never used to go to gym before. I at least pass by it now, even if I don't go inside. Everything can improve. I am saying this intentio nally because I don't want to give any sort of guidance, but if you keep looking at our admin expense ratio, they are coming down each year. But on a serious note, I may add, I have seen this across having the benefit or the disadvantage of working in different countries, that because of expenses, companies stop investing in tech. And then over a period of 2, 3, 4 years, then it catches up wit h you. And then you have to over invest in technology.

We at Digit have been over investing in technology. We have seen a massive benefit. API is just one of those examples. Now transparency on admin expenses is a clear example of what it can do. So, I think all of us are here very, very conscious of the fact that in trying to save 0.25% of the management expenses, we would never under -invest in technology. So, that is what I wanted to say from a philosophy person. But as I said earlier, we don't give this sort of a guidance, not because we don't want to, it's just that we don't know what will happen.
TP market share is a great example that last year we significantly reduced our market share because we didn't see the profit. From 7.2% in Q2 of last year, in 4th Quarter, we had gone down to 5.7 and now it is way back. Market conditions change, things ch ange, and we want to keep that flexibility open with us. We never say we will never do this. We never say we will always do this. But if we see an opportunity, we act and if we have to do lesser business or cut something, we will cut it.
In such a difficult market when industry grew by 2%, you can actually see we grew by 14%. If you had asked me this in say July that in Quarter 2 industry would only grow by 2% and you will grow 14%, I would have said chances are, first, I don't know that industry will only grow by 2% and secondly, to me it looked very high. But as things developed, I think it developed in a decent way I would say for us.
Moderator: The next question is from the line of Uday Pai from Investec India. Please go ahead.
Uday Pai: I just had a couple of questions. Firstly, so over the last four, five quart

ers, your share, total absolute amount of reinsurance accepted has increased. So, I just wanted some color on what kind of mix is that within that book and some color on profitabi lity of that book if you could share.
And secondly, since we are seeing some kind of mix change due to various factors such as motor TP pricing, etc., how do you envisage the steady -state book mix and profitability of the book, if you could give some color on that?
Kamesh Goyal: So, let me answer the motor question first. So, basically, if you see when we felt that profitability is under stress in case of TP business, we kept on reducing market share. But at the same time, we started working more and more granular selection, if w e could steer the TP portfolio according to what we thought the opportunity is. We obviously never say if anybody, I would say, we never consciously do any loss -making business, but because there was no TP hike, we have to do this. So, based on what we have done, you can see that we felt comfortable now that the market share has increased from Q4 to Q1 and then Q1 to Q2. And as I said, simply because last year's base in H1 is only 6% and this year H2 and this year H1 we have finished at 6.6. All things being equal, we should actually see some growth.
On the reinsurance side, I think I would say there are two things. One is that the cedents we work with over a period of time now five, six years, we have developed a decent relationship. And we have also started exploring both on the direct side and at times on the facultative inward side reinsurance. And there is one particular line of busine ss which we have started this year which we

didn't have earlier. Just due to confidentiality reasons, I don't really want to get into that level of details.

Overall, our underwriting philosophy, whether we write by way of inward facultative or directly, that philosophy stays same. And I may maybe add here that facultative basically means we are writing it for each individual risk.

So, facultative inward reinsurance or your direct business from an underwriting pricing perspective, there is actually no difference. You see every risk and then you accept it or you don't accept it. While another type of reinsurance which is much bigger is CTs, where you basically give a capacity within certain guidelines and the insurance company can within that framework keep giving you the business.

So, facultative, we see every single risk. So, our underwriting philosophy, whether it is direct or inward facultative, it actually stays the same.

Moderator: The next question is from the line of Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha: Kamesh sir, given we need to improve or combine to ultimately deliver mid -teen ROI… I was just asking to improve our ROIs to mid -teens in the current accounting, that is IGAAP accounting, we need to improve our combined ratio maybe compared to the last yea r also by maybe 400 basis points.

So, just wanted to understand that given we are already best in class in loss ratio, we are already best in class in the other OPEX ratio. So, the only lever left over is the commission cost. So, naturally, then is it fair to say that the next leg of grow th will predominantly come from the segments where the commission cost is meaningfully very low and probably through the same loss ratio what you have today, and that will be the next leg of the growth and that will be the trajectory of improving the combi ned overall? And then if that is the case, then what is the thought process what you have to achieve that thing? That is my first question.

Second question was that, maybe the previous participant asked that question, just if you can give the mix, because the fire segment in the reinsurance, overall in GWP has declined, whether it has come more from non -fire business in the

inward facultative reinsurance, whether it is crop or government health or just If you can give a better understanding of the business will be helpful, whether it is practical and you believe that it will be sustainable going ahead also?

And lastly, this benefit -based business what you have done, just want to understand this nature whether it is long -term or short -term in nature? If it is long -term in nature, given the regulatory recognition is going to change with respect to long -term be nefit-based plan, whether it will have a negative impact on EOM or not? These are the three questions I have.

Kamesh Goyal: Thank you, Sanketh. So, let me start with the last question. When we look at attachment business, as a percentage of GWP, this would actually be the lowest for us. So, I think if there is a negative impact of this, our sense is that companies which drive substantial business from their captive banks, which captive basically means the promoter banks, they would actually suffer the most. So,

this is something which from a competitive perspective could actually improve our position. So, that is I think the first point I wanted to make.

The second I think is, if we look at the reinsurance questions you asked, as I mentioned earlier that we have started a new line of business. Even on property, we have not, without getting into too much detail, because I don't honestly know this also, I d on't have the numbers in front of me, our reinsurance business on, inward facultative business on property is also grown in the first half and also in the second quarter.

So, we feel that with the sort of market pressure in the pricing market is seen, in April the reinsurance will have to act on the pricing. Otherwise, they will end up with a lot of losses. And here again, I think we might not have grown in the inward rein surance business as much as we wanted, but we are still growing over last year and we have a new line of business. That is the second point.

On the third actually, Sanketh, and I think you would know this better than I do, that the combined ratio definition as per IRDAI actually has no direct reflection on the profitability, because

profitability is more driven around net earned premium, net e xpense ratio and net claims ratio.
Now on the net earned premium basis, even in Quarter 2, our combined ratio despite whatever I said on TP and what I said on Nat Cat claims, despite that our net earned premium combined ratio has actually improved over last year. So, this combined ratio, u nfortunately, the way it is presented has no direct correlation with profitability. And I think that is something which is a bit strange.
And second also as I said is in a lot of cases, companies which have lower retention and this is visible in their quarterly accounts, they book a lot of upfront commission, reinsurance commission, especially long more than 2 years, 3 years kind of product s which gives them that slight advantage on the net basis, which is not visible which will not happen in case of IFRS results. So, did I answer your question, Sanketh?
Sanketh Godha: Kamesh, you mostly answered, but my only simple point was that whether you are at the 1 -0, maybe 1 -0-8 kind of a combined for the half, just wondering given the kind of expense and loss we have, whether the commission cost is the only place where we see t his, even if I look it from the underwriting point of view, or NEP basis point of view, a big trigger to improve the overall profitability of the company, from underwriting, not from the investment.
Kamesh Goyal: Understood. So, Sanketh, I will say two things here. One is, if you see in H1, without annualizing, our ROE has been 6%. On Indian accounting, on the entire year, if we have a ROE which is slightly more than 10, and I am just giving arithmetic equation, n o guidance, we actually will hi

t a profit
of about 400 crores.
So, the idea is, and this is what actually shows, even in a combined of 108.7, arithmetically, if we hit an ROE of slightly more than 10, say 10.4, and I am doing a rough calculation here, we will actually hit a profitability of 400 crores.

Combined ratio, the way the definition is in this, it is not a right way to drive profitability.
Otherwise, our combined ratio has increased, and as I said, by 3.5%, and our profit has gone up 3x, while our investment income has not gone up 3x. So, this i s a misleading number.
Personally, if you ask me, I don't look at this number at all, because neither in IFRS, this combined ratio, I have not seen in any country, and I have had the benefit of working in about 26 countries, this definition of the combined ratio, because it doe s not reflect the true accounting or true profitability of a company.
Sanketh Godha: And lastly, your leverage is at 4.7x, which naturally came off because of the capital raise. So, what is a comfortable investment leverage you will always prefer to work at?
Kamesh Goyal: So, here again, I think, Sanketh, because we are not generating profit every quarter, my sense is by end of, say, 31st March '26, so next financial year, I think the leverage should increase to something like 5x.
Now, the way we look at it is not from a leverage perspective, we will look at it from a solvency perspective. So, the idea is that we would want to keep our solvency margins, say, at around 210%.
I am giving you an ideal scenario. Take the equity allocat ion to 10% of the assets, so that in a down market also, the solvency ratio is above 175%. So, that is how we will look at it.
Secondly, if you look at, now our net worth in IGAAP is also about 3,800 crores. I think regulations allow you to raise TA2 capital up to 25% of the net worth. Now, if I just roll forward this by 2 years, and again, no guidance, under normal circumstances , we suppose our net worth hits 5,000 crores, and we have today 350 crores of tier 1 bonds, we can actually raise another 900 crores of tier 1 bonds to basically enhance our solvency.
So, from a capital perspective, I think we are in a very decent place. We have all the space to grow the business, to also change our asset allocation, and even after 2 years or 3 years, if we need capital, we can actually always raise a decent amount of capital through NCD, because we have not done this previously.
Obviously, there are other things which we can also do for better capital efficiency, but as of now, we don't really have to artificially do anything to either enhance our leverage or reduce our leverage or increase our solvency and things like that. We h ave all valid tools in place to focus on growing the business as much as we can.
Moderator: The next question is from the line of Dipanjan Ghosh from Citi Bank. Please go ahead.
Dipanjan Ghosh: Just a few questions. First, going back to the group employer -employee business, just wanted to get some color on how the business mix is shifting, let's say, between larger corporates and smaller corporate. And in line with that, if you can give a qualit ative understanding on how the claims ratios have been behaving in each of these two buckets, Y -o-Y or 1H, and the next is, what is the sourcing channel, or how does the sourcing channel differ, let's say, between when you source

large corpo rates, which I would believe would be more direct, versus, let's say, the smaller corporates, and how does the profitability really shape up in these two segments?

The second question is more on the motor business. This is a data -keeping question. If you can give the split between two -wheelers, CVs and PVs, and also how that has changed, let's say, Y -o-Y? And lastly, going back to one question which h

as been asked q uite a few times in the call on
your strategy regarding inward reinsurance, so we know the numbers for 2Q and 1H. Just wanted to get some color on whether you plan to increase that going ahead over the next, let's say, 12 to 18 months. And if so, you have already mentioned there are a few products, new products segment of partnerships that you have kind of got in place. Are there more in the pipeline and how does that entire strategy really shape up?

Kamesh Goyal: So, thanks, Dipanjan, for the questions. Let me start on the inward facultative reinsurance, because as I said earlier and explained that it is a case -to-case. So, very difficult for us to say that how the business is, because it also depends upon what ot her reinsurers who write facultative business are doing. And there are other now direct companies also in India which have started writing inward facultative business, and we are seeing companies wanting to write that. So, very difficult for m e to give a number or answer directionally. I think this will be more visible on a quarter -by-quarter basis only.

In April, I think if the reinsurers substantially change their TPs, then this opportunity for all direct companies to write and collaborate with each other for inward facultative business would substantially increase.

I may also add that the Government of India as well as the IRDAI Chairman are very keen that India reinsurance capacity should actually increase, and more business should be done. And they are also wanting to encourage companies to retain more and more bu siness within India. So, hopefully, directionally, I think with the support from IRDAI and also from the Government of India, we feel that opportunity to do this business on the inward facultative side should actually increase.

I think on the employer -employee, our mix is slowly changing towards smaller groups, financing smaller groups, means groups with employees less than 5,000 or 2,500. But in H1, as you know, that in April, we have a lot of big renewals of large companies. S o, H1 is always skewed. But if you compare this H1 with the last year's H1, we are actually seeing that our mix is moving more towards smaller groups rather than the bigger groups. Smaller groups actually come from retail brokers and agents, while big grou ps are more focused either direct or they come through large focus. So, that is what it is.

I would say in terms of profitability this year, if I speak about specifically, what we have seen is that especially in the first half, a competition was actually, first quarter, competition was seen around price on the larger groups and our quote conversi on ratios was much lower on the larger groups compared to the smaller groups. But these things can change because this was written in April, May, for large groups, the loss ratios will actually start showing by already, but by November it will become like a trend. And then people, companies when they will see that the losses are increasing on large groups, then in January where we see again good renewals of large companies, things could actually change.

So, Dipanjan, this is, I would say, significantly more dynamic, but I personally feel that if you look at fire, you look at motor, you look at group health, if the pricing competition is really increasing, group health is the first one where the loss star ts emerging and the trend starts emerging very, very fast. So we have started seeing some very early trend wherein if you look at in August and September, lot of companies, private companies, which actually were quite growing very aggressively, suddenly we have seen in September that the growth rate has come down, and this is really visible in the segment wise numbers which are published.

In motor, I would again say based on our new car sales, how our market share is moving in TP etc.

, this again moves a bit dynamically, but all three are in the 30s for us, and the private car, I think since last year, this is our now biggest segment within motor. So, this is what, D ipanjan, I can say so to answer your question.

Moderator: The next question is from the line of Jayant Kharote from Jefferies group. Please go ahead.

Jayant Kharote: Thank you for the opportunity and congrats, guys, on the claims side performance on the health side as well. Slightly broader question, little Go Digit but larger industry issue. We are hearing the show cause notices going out to a lot of players, maybe i n double digits it seems. And correct me if I am wrong, if EOMs are supposed to be brought down and the timelines are like next, the two options that we have, one is of course doing more writing or more retention, and second is doing a bit m ore on the group or low commission origination whether it was group health or some of the other commercial lines.

The problem or probably what I want to hear from you is now probably cannot (Inaudible) going to go off similar lines of business. We are seeing the same pattern like in group health, we have been seeing for the past six months. So, how do you solve this puzzle, Kamesh, because even if we were to wait a bit to get the pricing right, the irrationality might continue because everybody is trying to end before the fin ishing line in six quarters? I don't know if I am putting the question correctly, but just trying to understand how do you think that it will play out eventually.

Kamesh Goyal: So, basically, Jayant, your voice was cracking, but let me say that you are saying that in EOM, if every company is trying to meet the EOM guidelines and because of that, they start writing business which is not that profitable, how will this play out eve ntually? Is that your question?

Jayant Kharote: Yes, and the fact that we have only six quarters, right, to complete the EOM, so there would be a rush or this high competitive intensity for the next six quarters.

Kamesh Goyal: So, I think, Jayant, I would say that there are two ways to look at it. So, this year if you look at, the industry's growth rate has not been good, which basically means that EOM for almost every single player will actually go up. I already said earlier t hat larger companies, amongst the largest, they have actually seen an increase in EOM this quarter, this half, despite a slightly better than industry growth. Others who have seen lesser growth, they would have seen even further increase in EO M.

Now companies which have become aggressive, say in group health, employer -employee business to make up for the EOM, they will actually see a very bad outcome on the loss ratio, so the profitability will suffer. So, eventually, all of this has to balance i tself out.

Secondly, my sense is that regulators will realize, and that is my sense, that after EOM has come, the expense ratios have actually gone up rather than going down. And this is happening because instead of having, this is my personal opinion, not Digit's, this is happening because everyone is trying to develop business in low commission, which is group health, government health, crop, and trying to write more of that business and increasing commission on the retail side. Now this is leading to a situation w here growth rate has gone down and expense ratios are going up.

So I personally feel that this is something which regulators, because they are very serious about it, they will look at the results of '24 -'25 and they will think about as to what is to be done. Sanketh had spoken about a change which is happening from 1s t of October. If actually that happens, any company which has even 10% of the premium coming in from attachment or even 5% coming in from overall attachment business, their expense ratio are going through the roof.

So,

with these guidelines, I have a sense, and I have not done a calculation, but I have a sense that almost every company, barring maybe one or two, would actually see EOM limit being reached. So, we have to really see how this year plays out and then wh at the regulator intends to do. However, from a Digit side, last year we were on a decent path, on our glide path. This year we have reduced our expense ratios compared to first half of last year and we are hopeful that we will continue on this trend even on the second half. So, our aim is to stick to the glide path and we will be able to give you better idea to everyone, maybe after third quarter, but as of now we feel that we should be able to stick to the glide path this year also.

Jayant Kharote: Thank you, Kamesh, that was very elaborate. If I could just add one last question, as an industry, are there any representations being made to the regulator for extending the EOM timelines?

Kamesh Goyal: Honestly, Jayant, I don't know about that and my sense is, regulator at this stage wouldn't really do this. They would want to see what is happening this year and what each company is doing. So, my sense is, this again is an assessment, that they are look ing at more company by company, but

as of now we haven't seen. I think it is what I have heard. And again, I have no inside knowledge.
I have heard that on this accounting change from 1st of October, there are some companies which have pushed hard. I think standalone health insurance companies, some multi -line companies have requested IRDAI to postpone the date. I think this is what I heard from the industry sources, but I have no internal information, Jayant, on this.
Moderator: Thank you, Kamesh, as always for your insights on this and congrats on the claims, especially again on the health, great job over there.
Kamesh Goyal: We can take one more question because I have another call starting in five minutes.
Moderator: The last question is from the line of Nischint Chawathe from Kotak Institutional Equities. Please go ahead.

Nischint Chawathe: You know, this is actually on the IFRS part, on the discounting aspect, impact in IFRS, as and when it gets implemented, how do you think the industry takes it? Does it get translated into higher payouts or does it get translated into tariffs or how does it play out?
Kamesh Goyal: So, Nischint, I actually can't really talk about the industry because the challenge we have is that even very established companies are not publishing IFRS results, and what we hear is that most of them want this IFRS implementation date to be postponed, and I think we hear that it has been postponed by a year already. So, very difficult for me to comment on what we will do because I don't know their IFRS results.
My sense is for a lot of companies, IFRS results will be worse than Indian Accounting results simply because lot of them are taking upfront lot of credit for their insurance commission in their case and that is why my sense is they don't want to publish I FRS results.
I can definitely speak about Digit that this discounting of results, we will not be seeing this from a perspective of increasing commission. So, I think philosophically, that is definitely I can see it, my CEO is sitting next to me and she is nodding and saying absolutely.
Nischint Chawathe: Because if you are going to price a product, I mean very, very conceptually based on an ROE basis and then probably there is some release that happens. Competitive dynamics will kind of mean that it goes on to either the distributor or the customer.
Kamesh Goyal: My sense is, Nischint, it will not. Simply because, as I said, IFRS results for most companies will be worse than Indian Accounting. So, when the results look worse, how do you increase the commission? And I would say that, and I will be very transparent here.

When we were in the IPO
and I was meeting one of like very reputed mutual fund in India, and I think the person asked me about IFRS results and this that will you publish the IFRS results after listing.
So, actually I can say it again now, ICICI Securities also has organized the call, they and Morgan Stanley were lead bankers. We have proposed to SEBI to include both IFRS and Indian Accounting results in the DRHP. I think they said, "No, it will confuse the retail investors." But as soon as we got listed and we published our last year results, you can actually see that in May, it was late May because IPO, we got listed on 23rd May if I remember and our results came in the first quarter of June or second q uarter of June. We have actually published audited IFRS results and after that, every quarter we are giving IFRR results. From next quarter, we will start giving quarter -on-quarter.
My request in a way for people like you, Nischint, and I think we have some of the most educated insurance analysts on this call, is to ask insurance companies who publish IFRS results, even if unaudited. We will publish your audited result, but please pu sh them so that, I think, if I can speak in Hindi "sher aya, sher aya aur sher aya nahi" . So, on a lighter note, I just wanted to say this. It is Friday evening. Our office is actually on a lane which has all the pubs. So, I think we can't even speak too s eriously on a Friday.
Thanks everyone for joining. Nischint, I hope I have answered your question.

Nischint Chawathe: Yes, thank you very much, And Happy Diwali to you.
Kamesh Goyal: Thanks a lot, Nischint. So, Happy Diwali to everyone, and thanks a lot for joining. Have a good

weekend. Have a great Diwali season, and we will connect again in January. Thank you so much.
Moderator: Thank you so much, sir. That's it for the closing comments. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

Date: 27th January 2025

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Mumbai – 400 001
BSE Scrip Code: 544179 To,
National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G Bandra Kurla Complex,
Bandra (East), Mumbai – 400 051
NSE Symbol: GODIGIT
Dear Sir/Madam,
Subject: Transcript of earnings call of the Company for the quarter and nine months period ended 31st December 2024
Pursuant to Regulation 30 and Para A of Part A of Schedule III and Regulation 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith transcript of the earnings conference call held on Wednesday , 22nd January 2025 on performance review of the Company for the quarter and nine months period ended 31st December 2024.
The above information is being made available on the Company's website at www.godigit.com
We request you to k indly take the above intimation on record.
Thanking you ,
Yours faithfully,
For Go Digit General Insurance Limited

Tejas Saraf
Company Secretary & Compliance Officer

Go Digit General Insurance Limited | Registered Office: Ananta One (AR One), Pride Hotel Lane, Narveer Tanaji Wadi, City S urvey No.
1579, Shivajinagar Pune - 41100 5 Maharashtra | CIN: U66010PN2016PLC167410 | IRDAI Reg. No : 158

Website www.godigit.com Email Id: hello@godigit.com Toll free 1800 -258-5956

"Go Digit General Insurance Limited
Q3 FY25 Earnings Conference Call"
January 22, 202 5

MANAGEMENT : MR. KAMESH GOYAL – CHAIRMAN – GO DIGIT GENERAL INSURANCE LIMITED
MS. JASLEEN KOHLI– MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER –GO DIGIT GENERAL INSURANCE LIMITED
MR. RAVI KHETAN – CHIEF FINANCIAL OFFICER –GO DIGIT GENERAL INSURANCE LIMITED
MR. ABHISHEK SALUNKHE – HEAD OF FINANCIAL REPORTING – GO DIGIT GENERAL INSURANCE LIMITED
MR. PIYUSH BOTHRA – HEAD OF INVESTOR RELATIONS –GO DIGIT GENERAL INSURANCE LIMITED

MODERATOR : MR. ANSUMAN DEB – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to Q3 FY '25 Earnings Call of Go Digit General Insurance Limited hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Ansuman Deb from ICICI Securities. Tha nk you, and over to you, Ansuman .
Ansuman Deb : Thanks, Manav. Good evening, ladies and gentlemen. On behalf of ICICI Securities, it gives us immense pleasure to host the Q3 FY '25 Results Conference Call of Go Digit General Insurance. I now hand over the call to MD and CEO, Mr. Kamesh Goyal , post which we will open the floor for Q&A. Over to you, sir.
Kamesh Goyal : Thanks, Ansuman. I think just a small correction. Our MD and CEO is Jasleen who is sitting next to me. I also have Ravi Khetan our CFO; Abhishek, our Finance Controller and Piyush, who heads our Investor Relations. So , I think getting on to the presentation and as always, we'll try and cover the presentation in about 20 minutes or so and then have about 40 minutes to answer any questions that you may have.
Let me just start by thanking you for joining us at a bit late evening. So , when we look at Sl ide #4 from the serial numbers. A s you know, this is the slide which we have where we give certain KPIs, I think premium -- Gross Written Premium INR 7,706 crores, total number of customers now 6.2 crores. Assets under management is abo ut INR19,000 crores a nd as you know in our business model the levera ge plays a very important role a nd in case of Digit with higher retention, our leverage is very high , I think amongst the larger players , would be highest in the industry and I think that continues customer satisfaction scores, all of them stay amongst the best in the industry. Moving to the next slide, maybe spend a bit of time here. I think we are giving numbers both for 9 months as well as for Q3. So , in Q3 if you look at we are giving -- we're showing a premium of INR 2,677 crores. And as you know from 1st of October 1/n has been implemented.
So, when we compare to last year's quarter, Q3 '24 on a like -to-like basis , then our premium would be INR 2,738 crores inst ead of INR 2,677 crores because of 1/n roughly about INR60 crores of the premium has been moved in the next stage. Loss ratios compared to last quarter 74.5% to 72 .9%. And when we look at combined ratio, combined ratio has improved to 108.1% compared to 110.3%.
Now when you look at the press release and when we -- and I'll come to that later because I think that's an important point to make here. Our profit a fter tax has increased from INR43 crores to INR 119 crores. And ROE non -annualized for the quarter is about 3.1%. For 9 months non -annualized ROE is about 9.6%. Our net worth in IGAAP has now crossed INR3,900 crores. Solvency ratio is strong at 2.22%.
Now moving to the next slide. I think this is more the GWP. And here I think if you look at 9 months growth rate overall has been in 9 months for industry is 8% against that Digit is at 15%. And if we -- again, if you see without 1/n the growth rate in quarter 3 where the growth rate would be about 13%. And for 9 months, it will be about 16% on one-to-one basis. So , we are continuing to grow substantially higher than the indu

stry growth rate on a 9 -month basis and even in Q3 growth has been better than the industry.

Go Digit General Insurance Limited | Registered Office: Ananta One (AR One), Pride Hotel Lane, Narveer Tanaji Wadi, City S urvey No.
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Website www.godigit.com Email Id: hello@godigit.com Toll free 1800 -258-5956
Moving to the next slide. And I think here you might recall that even in the last call, I was saying that Indian combined ratio doesn't really indicate the true reflection of profitability. And I think if you look at this in third quarter purely because of 1/n, the premium which would have come under GWP. From GWP, it would have come under

net written premium. And when you look at combined ratio where you look at claims ratio plus expense ratio as a function of net written premium because of 1/n, the denom inator has actually reduced.

So, the expense ratio has moved up. If we have to compare this on a similar basis with Q3 '24, then our combined ratio would be 107.2% which is an improvement of about 3%. Now what is interesting is that when we are moving this 1/n something which would have been recognized in premium, gross written premium, net written premium it would have actually gone to unexpired premium reserve under accounting entry. So -- and whe n we are moving this from gross premium to advanced premium there again, there is no accounting impact.

So, here actually you will see our combined ratio is looking 1% worse, but it has no impact on profitability. So, I think the question -- and if you recall what I said in the last call that our combined ratio was slightly worse, but profit had almost doubled. Now here you can see combined ratio because of 1/n is actually becoming worse by 1%, but it actually has no im pact on the P&L.

And I think I just wanted to reemphasize this point that Indian accounting now is becoming even more from a combined ratio perspective misleading because some companies will say we have moved the premium to next year. And the commissions also if we are not paying this year, we will also move it to next year.

Now when you do that then this year in this quarter you are actually not showing that as actual expenses which have been accrued, which are payable for next year. In our case, though we have shown the premium of about INR60 crores which has moved to next y ear, the commission on that which is roughly about INR 19 crores or so, we have actually provided that in Q3 already.

So, on a like -to-like basis, our combined ratio has improved by 3%. Premium recognition will happen in future years, but the commission of that is already accrued in quarter 3. Now if you think from this perspective, some companies who might not provide for this commission on the premium which has been deferred, then there is no like -to-like comparison with previous years. And then we move to IFRS and there again, then another de finition of combined ratio comes.

So, I think the challenge which I see for every one is that how do you compare two or three different companies' results if every company -- each of these companies is following a different accounting practice. So, in case of Digit, when we publish in April our fourth quarter results and the full year, we are actually going to show that what is the combined ratio we look at from a profitability perspective which has a direct correlation to profitability. And when on e will move to IFRS, then what exactly is the equation? What do you need to add to arrive at the IFRS combined ratio.

And when one will look at both these numbers, then irrespective of the accounting which one is doing, one can actually compare the past results with these numbers because we feel it is extremely important to define the benchmark correctly a

gainst

which fut ure performance will be seen. Otherwise, it will give you misleading results. I'll just stop here. I don't want to cover this point too much, but we'll be more than happy to answer any questions in detail as we go forward.

I think profit we have already looked at 9 months INR 129 crores to INR309 crores, for Q3 INR43 crores to INR119 crores. And in this profit also, I want to maybe give color

to two, three things because this again is something which I said last time. One that expense ratio and loss ratio should be seen in totality because based on the product mix, et cetera, one can increase and other can reduce. And this will happen as the product shift i s happening. So, I think that is one point which is clear.

The second point I wanted to make in our case and if you remember, I had said that one should look at core insurance profitability, investment income without capital gains, what sort of a reserve release is happening over a period of a year and on the quar ter-by- quarter. In case of third party, I had mentioned last time that almost 40% of the results were released in Q2 and that is why the loss ratio was looking higher.

When we look at previous year in '23 -'24, the to tal reserve release we had was in the whole year was INR577 crores. Out of INR 577 crores, INR499 crores were actually released in the first three quarters. So, quarter 4 had a reserve release of only INR78

crores. This year in 9 months, we have reserved -- released -- TP reserve release of about INR336 crores. And if we look at quarter 4, I'm not giving any guidance.
We don't really know because we -- our actuarial colleagues will do this as of 31st of March . But my personal best guess is that if last year was INR577 crores we w ould be in a plus minus 5% range in this. So, I wanted to also emphasize the point that this year, there is no extra TP reserve release which is impacting the loss ratio, which was not the case last year.
The last point is capital gains and investment income. So, if you actually see in third quarter, we h ad a capital gains of about INR 7 crores. On a YTD basis, we still have a small loss of INR2 crores. And when we look at our investment yield our investment yield is1.83 without capital gains in Q3 compared to 1.76 in the previous year. So , our investment yield on fixed income is good.
So, when we look at overall profitability, just to summarize what I said basically there is no extra third -party reserve release which we are doing, which is impacting the loss ratio. There is no capital gains either in 9 months or in the quarter which is actually changing the investment income perspective. So, whatever profitability you are seeing, it is actually coming from the core insurance business. So, there is no I would say anything exotic about the profit. This is in my view the normal boring way of doing business which is leading to this profitability.
Now moving to the next -- sorry and one point here again if you look at overall we have now increased our A UM by INR 3,200 crores. And when we look at the reserve -- the total capital which we had raised in the IPO, even without that we would have increased this roughly by about more than INR2,000 crores or so of AUM. And in case of AUM also while one might say and that growth in AUM is good, though the growth in GDP in GWP seems a bit low, especially third party.
Because in third party the reserves are created for long term. Here again I wanted to say this has happened in case of Digit in Q 3, that there are som

e businesses which
come at a higher commission and some businesses which TP have come with a lower commission. In case of Q3, growth in AUM despite a lower growth in TP is good because high commission business has reduced in proportion while lower commission business has increased.
So, I just want to maybe emphasize this that all of us like some sort of a thumb rules for this, but our business unfortunately is more grounds up and doing some macro calls based on how our portfolio is moving, how the growth rate in TP is, how the leverage will happen. All that becomes a bit difficult. And you can see our leverage despite raising capital just 6 months back continues to be 4.8 .

And if I remember correctly, 6 months previous quarter this number was 4.7. So , this has increased to 4.8 . And as we had also said this as we go forward this should again slowly increase. Now moving to the next. I think this is our asset allocation. No major real change, a very small increase in equity of 0.5% some increase of roughly about 80 basis points in AT1 bonds.
Otherwise, I think asset allocation is more or less stable in our AUM. I think when we look at loss ratios as I said, I explained already when we compare TP last year to this year about 9 months actually having more than 85% of the reserves. If you look at others especially health, et cetera you can see that our loss ratio has improved substantially. And especially in Q3, ou r loss ratio has improved compared to previous year Q3.
And this again I think just to reemphasize, and this is the point I've made in the last two calls also that we have seen some intense price competition in employer - employee. This business is even on a 9 -month basis is still degrowing for Digit. But I think the discipline on that is actually showing on the loss ratio. If we had gone for say 3%, 4% additional growth in employer -employee business and it would have come at a higher loss ratio, actually our profits would have reduced.
So, in our business, I think we have to keep this always in mind and I'm saying this to remind it to myself and all my colleagues sitting with me here is that growth in revenue does not translate into growth in profits. If you grow in the wrong areas then it can actually be counterproductive. I think tha t's the point I wanted to make e ven if

we look at fire, our loss ratio this year has reduced a lot.
But again last year and we had repeated it this in our previous calls especially in our Q4 call, first call after listing that last year was bad for NAT CAT and there were a lot of large losses. While this year, we h ave also seen some large losses, but NAT CAT hasn't been as big. But again over a period of time these are the loss ratios, et cetera, which would change. In case of fire business I think we are seeing some market discipline in pricing from 1st of January.
So, I think this is good from industry perspective, also from Digit's perspective because overall in 9 months in fire, our growth rate has been better than the industry. And as some sort of a rate discipline comes, I think this is something which we see as positive, both from a growth perspective as well as from a profitability perspective.
Moving further, I think these are standard again like the first slide, Slide #4. This slide is similar. Our number of APIs are increasing. We had started with some time back with 1 API s, that has also started getting traction. So , this is something in terms of all of this I would say is something I would say more like a core principl

es of Digit and
the path of the journey on this path continues.
In terms of additional information as we also said last time, we will continue to publish our IFRS results. So , you can see the 9 months unaudited results on IFRS. And just to repeat what I said when we publish our full results in April , we'll actually cover this in more detail as to how we internally look at profitability, having the same benchmark so that you are not changing the goal post every time. So you don't really know where you stand.
So that's briefly on the presentation. I think I'm just in time 20 minutes. We'll now be more than happy to answer questions. And for that I hand it back to Manav and Ansuman. Thank you so much for a patient listening.

Moderator: Thank you very much. We will now begin the question and answer session. We have our first question from the line of Avinash Singh from Emkay Global Financial Services. Please go ahead.
Avinash Singh: Thanks for the opportunity. F ew questions. The first one is on your inward reinsurance. If we see -- it seems that has seen a strong growth. If you can help us understand the underlying segment in this kind of nearly INR560 -odd crores of inward reinsurance premium that you have got th is quarter. So what was the underlying segment?
And second is on your corporate health that segment I mean you said that the price competition is ther e and seeing kind of a decline, b ut in terms of profitability it seems that has kind of dramatically improved with that corporate health segment delivering a strong underwriting profit. So, what do you see -- I mean, how do you see this thing? I mean, is this trend going to be sustainable o r I mean with your sort of changing mix that corporate health becomes relatively less meaningful.
So, I mean some color on that okay what has worked in terms of profitability there because the underlying profitability improvement is strong. And thirdly, I mean on Motor TP, now of course there has not been a tariff hike. But if we see your performance, some peers and overall industry also, still the reserve release trends are kind of really strong. And if you were to adjust that I mean the claims ratio in Motor TP are still somewhat where it's profitable.
The reason being that one has to look discounted basis. And given this kind of a regulated mandatory product the tariff cannot be decided allowing for a higher expenses. So , it will be more like decided by claims. So how do you see motor TP tariff playing out next year? Do you see it kind of again no hike or there could be certain segments where there could be hike, but no broad -based hike. So these are my three questions?
Kamesh Goyal: Thanks, Avinash. In inward business, we basically write facultative inward. And facultative mean s every risk is seen on a stand alone basis. So , you might even get some repeat business of a risk, but every slip is to be seen from a fresh eyes perspective because this is not a business where you are saying, I'll write this now in future. So , every slip has to be seen and then you write this business.
And here in inward fact, the regulations also encourage IDA, Government of India

everyone is encouraging to increase attention within India. And we basically try and write business and property, basically fire and engineering, liability, marine, health, crop . So, in every single area, we keep on looking at slips.
On a -- I would say on an average and if I'm -- this is -- I'm saying based on what I remember, that roughly if we see 100 slips, w

e probably would be accepting business
in about 40 of them. So, 60 of them we would actually not be accepting the risk. So, this is the answer to the first question.
Now in corporate health, I would say two things. In the last year, obviously, I would say it was a mistake which we made in terms of some pricing, et cetera because until and unless, you have 2 years , 3 years of good data from the market on the basis of which you are quoting, it is a bit difficult to develop your pricing engine. So, our team has done a great job in developing a good pricing engine.
We also check whether the data which one is getting on which one is quoting, whether that is reliable or not. We actually have a strong team in health claims, which is also negotiating with hospital for discounts and other areas. So, in health, and we

also have a new system in which we can do better customization of the product, but also have more control in terms of claims to reduce the leakage.
So, there is a lot of work which has gone into this. But equally importantly is the fact that if the pricing is not looking decent, our team is leaving the business. And you can imagine when the pressure of growth is so much, assumed pressure I would say. O ur team has been able to manage and keep the discipline for continuously 9 months. So, I would say this is really -- the last point is equally important.
What others we are doing, learning from mistakes, improvement, et cetera that obviously is a continuous journey. We have recently put in a new fraud engine to detect frauds in health claims. That is also helping. So, I would say, if we keep the discipline as loss ratio of others deteriorate, our other initiatives of improvement continue pace. We would make up this market wh atever business, addition of INR500 crores, INR 400 crores, I would say in less than a quarter.
And I think this we have to keep in mind. On motor third party I think I would say that normally in a long -tail business, good companies would actually be conservative initially. And then each year they would want to look at the reserves and revise them based on what they have learned. We also know and I think on our slide, we are publishing -- everyone publishes this NL -31, whatever that n umber is declaration.
If you look at those triangles of TP claims, I think it's there on Slide 15 as of 31st March '24. So, we'll actually see that from '17, '18 was only INR50 lakh estimate, one large claim came. And there again if you see INR 51 lakhs we increase d it to INR 72 lakhs next year. And then again, it's coming back to INR 57 lakhs. Maybe by the time it comes, it will be adequate. But if you look at everything else, our reserves we start with a higher and then they reduce slowly.
Now I don't -- I cannot comment for others, but I think this will again get published as of 31st March. Our confidence level in our TP reserves is very high of our actuaries. So, we are very comfortable with the loss ratios. And as this -- you will see each year when 3 years later, 4 years later, 5 years later, if the reserve release is happening, you basically when you are writing business, you actually feel that the economic los s ratio is likely to be in this range, but you provide a higher reserve just to be prudent.
Now God forbid some law changes, some Supreme Court judgment comes, so you don't want to be caught. And if you look at even in non -TP which is in the second slide, our overall whole account which is say, in the 15 - Slide 15 here, you will actually see eve n in th

e whole account -- can you go to 15 - if you go to Slide 15 you will also
see even on the whole account basis, our reserving is pretty good here. So I think that's the answer to the TP question Avinash.
Avinash Singh: Okay. Thanks.
Moderator: Thank you. W e have our next question from the line of Supratim Datta from AMBIT Capital. Please go ahead.
Supratim Datta: Thanks for the opportunity. Now on the on results of Motor TP, now we have seen as

an industry the reserve releases over the last 1.5 years , 2 years has increased. Now going ahead some of this benefit from the COVID easing or during the COVID, cars weren't flying that much on roads, that would not be seen over the next 2 years? Hence, while I understand that in this year we can maintain that the reserve releases similar to last year. Going forward, do we see that could come down? That's my first question. Secondly, on Motor OD if I see over the quarters the loss ratio has

increased. And on the call you also mentioned that you are moving away from high commission business to lower commission business.

Now is this also moved from new vehicles towards older vehicles? So , hence if you could give us the split between what is your new versus old mix and how that has changed if it has, t hat would be my second question. And thirdly on the group health side while you mentioned the initiatives that you ha ve taken…

Kamesh Goyal: Sorry, your voice is cracking.

Moderator: Sorry, Supratim, your voice is cracking. We are unable to hear you.

Supratim Datta: Can you hear me now?

Kamesh Goyal: Yes, now we can.

Supratim Datta: So, what I was saying is on the group health side, does that include personal accident as well, the underwriting result in the P&L that you have mentioned?

Kamesh Goyal: Yes. Group health includes personal accident also, Supratim. On Motor OD, I would say that new vehicles typically have the lowest loss ratio in private car, commission is a bit higher. When you do your own renewals, then your commission reduces and loss ra tio goes up. And the same is the situation for rollover.

Now obviously in case of Digit, as our renewal book is increasing year -by-year and we are also seeing some OEMs moving towards real -time pricing for rollover, one large OEM has just recently gone live with that. So, the mix of -- in private car business because OD basically means 70% of the premium is comi ng in from private cars in OD. Two - wheelers constitute about 22% and commercial vehicle only 8%.

So, when we see it from that perspective, we obviously foresee that OD loss ratio could be going slightly up as new business mix reduces and commissions will be going down. And that's the reason I was saying, one should always look at both numbers together. Now in case of TP, what you said is 100% true that in case of TP the benefit as an industry which was coming in from the past would not come in the future.

Now what is it that one can do if the rates are not increasing? And here again Supratim I'll give you some numbers. So, you might recall that initially Digit had about 4 years to 5 years back, 75% of the motor premium or maybe 78%, if I remember was coming from TP, OD was only 22%. If you look at 9 months, OD premium is 39% for Digit and TP is 61% while for the industry, OD is 41% and TP is 59%.

So, what we have been doing purely from a Digit perspective is that one OD proportion is increasing and TP is reducing. Secondly, even within TP as we write business, we -- our portfolio mix has substantially chan

ged. And that is how we are actually trying to manage the loss ratio. And that is the only way one can do this. Otherwise, one can get caught badly in this.

Supratim Datta: Got it. Thanks for that. Just what do you mean by portfolio? You are changing the portfolio, if you could help me understand that?

Kamesh Goyal: The portfolio, Supratim, when you think about you can think in terms of geographies. You can think in terms of vehicle mix, commercial vehicles, two-wheeler, private c ars. Within commercial vehicles, within private cars, again it could be more granular, could be based on say fuel, for example, new, old, for example, it could also be type of vehicle like everyone knows, a bus is a bus, but school bus is different say , for example, CC of vehicle makes a lot of difference in terms of loss ratios. So , that is how we have to keep managing the portfolio.

Supratim Datta: Got it. Understood. Thank you.

Moderator: Thank you. W e have our next question from the line of Kunal Thanvi from Banyan Tree Advisors Private Limited. Please go ahead.

Kunal Thanvi: Thanks for the opportunity. So, my first question was with regards to your initial comment on the combined ratio of under IGAAP. So just wanted to have a view on the fact that if we look at say both expense and loss ratios on NEP that is net earned premium, does it give a better picture because both of those items -- all the three items kind of flow through the P& L? That was question number one?

The second question was with regards to the competitive intensity in motor, health and group health business, specifically the group health business how we are looking at it now? And let's say, maybe a lot of media reports about reinsurance rates expected to go up from Marc h, April. Any thoughts on that l ike is there any possibility of pricing sanity coming back in the group segment?

And the third question was on long -term investment book mix. How do we think about equity mix in the book from a longer -term perspective since now we are profitable on IGAAP basis and solvency is also in reasonable shape? These are three questions ?

Kamesh Goyal: Thank you. So let me start with t he equity. I think I would say two things here. One is if you look at our IGAAP, net worth is close to about INR 4,000 crores. Now our solvency already is more than 220%. Even if we raise I'm just -- we don't need any capital at 2 22, but I'm just giving hypothetical answ er to say, even if we raise INR 500 crores more capital, our solvency can say moves to 250%, 260%.

The cost of this additional capita l which is the cost at which we are raising it compared to the interest rate to the investment income which we are generating, even if we take it at 150 basis point difference, INR500 crores is roughly INR 7.5 crores. It is -- it will be maybe less than 2% of our pretax profit.

So, now capital from any perspective is not really a constraint from either a growth perspective or from an asset allocation perspective. And INR 500 crores on INR 4,000 crores, even if we raise, it will be less than 12% or so. And in regulations you can actually raise it up to 50%. So, there is no real constraints. I think our investment committee of the Board, our investment team is looking at opportunities.

We are very comfortable to go up to 10% of our asset allocation in equity. I think you can see that in quarter 3, when our investment team felt that market to them is looking better, they have increased it by 0.5%. So, increasing 0.5% over increasing AUM. So,

we -- so they are doing it. We don't have an artificial time line that we have to hit 10% equity in this. We have left it to the judgment of our investment team as well as our investment committee.

So that is on investment. On NEP, what you said is true. I'll give a very brief answer because we'll cover this in detail in Ap ril. NEP gives you a good idea, b ut I think we have -- I've said this in the past that if you reinsure your future premiums today and book all the reinsurance commission today then it actually improves your expense ratio substantially. And then when you move to IFRS, this -- there will be a huge difference between the combined ratio of the two.

So, when you move from IGAAP to IFRS suddenly results will start looking bad. So the idea is to find a way how do you move seamlessly from IGAAP combined ratio to IFRS and you actually know the economics of that. And this is what we'll try and do in April because as I think I've been saying this and initially our CFO wasn't happ y when I would say this, that IGAAP combined ratio doesn't make any sense at all as far as somebody like me is concerned from a profitability perspective.

And I'm saying this after having spent decent or actually entire working life in insurance in different places. Now on the group side till December we have actually not seen any significant improvement in the reduction of competition intensity. It continues to be strong as of now. But as I said earlier this is like if I have to use in Hindi the goat’s mother won’t stay safe forever, the Eid will come.

So, the Eid of this . I think people will lose money and then the correction will happen.

As far as the reinsurance rates, et cetera are concerned, this employer -employee business is typically written -- no reinsurer would touch it even with a barge pole employer -employee. So, this goes to the net of each company. So, I personally feel that reinsurance rates would not really make a difference here.
Kunal Thanvi: Sure. Thank you. If I can squee ze one more question. It was on in house versus outsource TP for group…
Kamesh Goyal: Sorry, your voice is cracking. You'll have to speak closer to the phone.
Kunal Thanvi: Is it better now?
Kamesh Goyal: Yes.
Kunal Thanvi: Yes. So, one more question I had was on in -house versus outsourced TP A for claim processing for group and the retail health business. If you can touch upon that like how do you think about it? Given the fact that retail is a small -- very small segment today, going ahead will we be comfortable doing it in -house versus say us ing tapping the network of some of the large TPAs that are already there in the market?
And secondly, with our TP book, Motor TP book kind of coming down, does it also mean that your investment leverage incrementally could be lower than what we have seen in the past because Motor TP is typically a long -term float that you get for?
Kamesh Goyal: So I think on TP, I already explained that all TP business is not the same. If you would listen to the recording, I tried to cover this already. So, I don't want to honestly answer that question. Overall, leverage with that mix in TP change which we are seeing, we should not reduce our leverage where we are now. All retail business is anywhere serviced today in -house. We have a very large network of i n-house TP A.
On the group side, we also continue to work with the TP A and also do business in -house. So, I think at the end of the day, we have to -- there is a customer, there is obviously an insurance compa

ny. So, we have to find what works for both under circumstances. In retail, I think in -house has been working quite well. In corporate also, we see gro up employer -employees, a lot of groups prefer to be part of in -house. But we are happy to work with our TP A networks. And we see -- we are not driving business to say we will only do it in -house. We are happy to work with TP As, one or two TPAs I don't want to take names. Two of them have also worked with us in improvement of processes, tech integration, et cetera. So, we would be happy to develop the relationships with them.

Moderator: Thank you. We have a next question from the line of Nidhesh Jain from Investec. Please go ahead.
Nidhesh Jain: Thanks for the opportunity. So, first question is on the retail health insurance. You have bee n expressing your views on that?
Kamesh Goyal: Sorry, Nidhesh you'll have to be a bit closer to the phone. I think suddenly the voice vanishes.
Nidhesh Jain: Okay. I will try that. Sir, on retail health insurance, the question is that there is a change in regulation where now discounting of premiums is allowed if the claims experience is better. So, have you changed your vie ws on retail health insurance o r you still remain bit cautious on that segment?
Kamesh Goyal: No, I think we continue to be cautious in this segment. We are of the view that the whole set of regulations in retail health haven't really stand out. So obviously nobody has an internal information. But I think whatever we are seeing in terms of loss rat ios, development in terms of what one hears, we feel that retail health as of now is not an area which we want to aggressively grow.
We obviously are growing this business, but the only difference is that even from a small base, the growth rate is more or less similar to the industry. As of now, we are not seeing opportunity to grow retail health with a higher growth rate, Nidhesh.
Nidhesh Jain: Sure. And secondly, I have a question on reserve releases. How much management discretion -- how much discretion do a management have on the reserve releases in Motor TP and other lines of business b ecause that is becoming a bit of an issue when we c ompare results across companies?
Kamesh Goyal: So, Nidhesh, I think I gave you numbers for last year of TP for the first three quarters, fourth quarter overall number, we also gave you a number for three quarters this year. I also suggested what the overall reserve would be. So in our case, this decision

is completely of the actuaries.
And management doesn't really get into this to say, increase it by -- because if you have reserve -- the actuaries feel that the total reserve release this year will be x amount. Now one can have a discretion to say you can m ake it x plus 5% or x minus 5%, b ut you cannot come out and say, make it 2x, make it half x, because there is a peer review in actuarial -- of actuarial colleagues also. The report also of all this reserving, et cetera goes to the regulator and they also look at this.
So, I don't think in any decent company, management would try to influence reserve release artificially because if you start doing these things, then you're basically fooling yourself. And no good professional -- actuarial professional would be willing to jus t do what the management is saying. I wouldn't do that ever neither any of our colleagues. I obviously cannot talk about others.
Nidhesh Jain: Sure. That’s it from my side.
Moderator: Thank you. W e have our next question from the line of Sanket

h Godha from Avendus
Spark . Please go ahead .
Sanketh Godha: Thank you for the opportunity. K amesh, what I understood is that you had a reserve release of around INR 336 crores in the 9 months.
Kamesh Goyal: Sorry, Sanketh, you have to speak a bit louder, I think closer to the phone, please.

Sanketh Godha: Is this better?
Kamesh Goyal: Yes, better now.
Sanketh Godha: Yes. So, the question I was asking is you had a reserve release of around INR336 crores. And if I take it plus or minus 5 percentage of the last year, i t will be somewhere between INR550 crores to INR 600 crores. So, a reserve release of another INR 200 crores can potentially happen in fourth quarter, which mea ns that if you end up doing anything of similar number, what you did it in the current quarter somewhere around that number.
So, is it fair to assume that this reserve release itself will improve your loss ratio or combined ratio by 10% -- 8 percentage to 10 perce ntage points in fourth quarter March 2025 ended up going so just wanted to confirm that, that math is right or not?
Kamesh Goyal: No. So, I was saying that last reserve release in 9 months it is INR 336 crores. So, I said, based on where we are and I would again say this is not a guidance or anything. We could be say somewhere -- I don't foresee reserves going abov e 577 as of now. But what we are -- I was saying is that we could be somewhere around, say, 510, 520. Now exactly what this will be, will be decided by the actuary, our appointed actuary and our product heads.
But all I wanted to say is going forward, unlike last year where we saw quarter -on-quarter volatility on reserve release, now we have a very decent experience of 5 yearss , 6 years, COVID year is also behind. So we will see lesser volatility that 1 quarter x, next quarter 2x. I think that is something which I feel should not happen.
Sanketh Godha: Got it. And the next question what I had was on motor third -party growth basically. So, in third quarter, growth looks a little better at 6 percentage compared to industry growth of 8 percentage. And in 9 months, it is still very weak, 2 compared to industries' 8 . So, you've mentioned in the past that you are cautious with respect to the space right now. So, have you seen any change in the behavior in the environment?
And given December month was -- or third quarter is marginally better, we expect motor TP growth to come back in a better way compared to -- or at least grow in line with the industry, which is not the case for 9 months at least?
Kamesh Goyal: So, Sanketh, last year for full year our TP market share was 6.5%. On 9 months, our market share in TP is 6.4%. In quarter 4 of last year our market share was only 5.7%. Now, again no guidance or anything in quarter 1 where our market share was quite low in motor and quarter 3 is only 6.2%. So , if this trend continues, if this trend continues and since we are coming in from a lower base last year, there should be growth in TP in this year.
But again I just want to say that though some people feel that we are degrowing TP and things like that. If you look at whole year market share over last year was 6.5%, 9 months in 6.4%. So it's not that things have substantially changed even on the TP

side. And this after taking a very big and I think I said this earlier that we redid our TP portfolio in a very big way where in H1 of last year, our TP market share was 7.1%. In H2, this had actually reduced to 6%. So, we -- last year in quarter 2 in the second half, we had actua

lly taken a lot of corrective actions on TP once we realize that the TP hike is not coming to ensure that we meet our target loss ratio.

Sanketh Godha: Got it. But in broader sense, are you seeing a better environment now given you have inched a bit of market share? So, you're comfortable with the current pricing or payout structure in the TP business?

Kamesh Goyal: I would say, Sanketh, there are about -- in my view as a rough number and I think recently our industry had also met the IRDA on a discussion on this. What I understand is that about -- maybe about 40% of the TP book of the industry is rightly priced. Mayb e 10% book might actually can even see some small reduction in premium. But there is about half -- roughly half book of TP of the industry which needs price increase because there is TP inflation and for the last 4 years, there has not been a ny increase in TP business.

And I think the way one should -- one can see this also is to say that the regulator still is giving say, no TP obligation and things like that. It means that regulator feels that industry is not writing TP business freely. And if industry is not writing T P business freely, if -- then obviously, it means they're not finding the right price. So my sense is -- and again, this I'm seeing as an industry professional, this is not a biggest view that about 50% of the book needs some price increase.

Sanketh Godha: Got it. That’s it from my side. Thank you.

Moderator: Thank you. W e have our next question from the line of Dipanjan Ghosh from Citibank. Please go ahead.

Dipanjan Ghosh: Just two questions from my side. First, while you have mentioned that for the 9 months employer -employee business has degrown, But given that group health has seen a little bit of better growth in 3Q on a Y-o-Y basis, would you like to kind of break it up between the employ er-employee and the non -employer -employee for the quarter? And if there are some improving trends while keeping in mind that you've already acknowledged that the pricing pressure sustained.

And also in the group employer -employee, when you look at the claims ratio and you mentioned that it has improved. So, if you can kind of quantify the number can also kind of highlight is it from the large corporate or the SM E side o r is it a mix change in favor of the lending linked products which is really driving this improvement?

Kamesh Goyal: Dipanjan, I think all I'll say is that in the non -employer -employee business, the growth rate is more definitely. Employer -employees there is a slight degrowth. And you'll have to excuse me, we don't want to give loss ratios in group health with that sort of a granularity.

Dipanjan Ghosh: But sir, just for the third quarter could y ou like mention if the employer -employee business has been degrowing even, let's say, for the last 3 months or 4 months? I mean has the trend directionally been improved there?

Kamesh Goyal: So, quarter 3 also in employer -employee, we s aw degrowth.

Dipanjan Ghosh: Got it. Thank you sir and all the best.

Moderator: Thank you. We have a follow -up question from the line of Supratim Datta from AMBIT Capital. Please go ahead.

Supratim Datta: Thanks for the opportunity again. J ust wanted to understand now that we have moved to this 1/n method of accounting. So, what happens to our AUM targets? And how are those changing? Have you had any discussions with IRDA for that?

Kamesh Goyal: No. Thanks, Supratim. I think I missed this point completely. So, I think last time, if you remember we had given the full time lines of the AUM. So, we actually on December 27, '24, we have rece ived a letter from the regulator granting us forbearance for AUM for year '23 -'24. So last year, they have already given us a forbearance. For '24 -'25, obviously, once the year is complete and we update the regulator, we will know.
They've also asked us that we should give them a guidance on AUM for next year, '25 - '26. And then they have asked us to give quarterly updates both to the board as well as to the regulator. But just to repeat, for year '23 -'24, they have given us forbearance on the AUM.
Supratim Datta: Got it. And what happens to that AUM target of 30% now that we have moved to 1/n, will that also be revised o r will it be looked at on the older version of -- if you could give us some sense on that?
Kamesh Goyal: At this time, Supratim, we don't know. But I think as we have been saying that as the year is over, '24 -'25, we obviously will give an update on the AUM to the regulator and to the Board. And any development on that, we obviously will keep our investors and analysts posted on that. But as of now, we -- at least, we are not aware of if IRDA has ma de any changes to the AUM. So, till we see some circular, I would say the definition of GWP s tays as it is.
Supratim Datta: Got it. And just one final question. So, you initially mentioned that you are booking the commissions upfront, but on the long -term policies, but the premium growth or the premium is going to come in the later years based on 1/n recognition. So does -- that implies that your commission ratio going forward should be coming down because as this premium starts coming in, there wouldn't be a corresponding commission attached to it.
And hence, we should see the commission ratio going down from 3Q onwards. Would that be a correct assumption to make?
Kamesh Goyal: So, mathematically, yes. But on the other hand if you say next year, you have again done this business. Then you'll again be booking that commission here. So , my sense suggestion Supratim is that there are companies which do substantial business on this 1/n. While AUM is something which one has to look at, one should also, as I was saying, if one is not showing the commission as an expense this year, future com mission, then even the P&L is not actually an apple -to-apple comparison of previous quarter.
So, one should wait for the full year on AUM. I'm sure from a regulator's perspective since they are monitoring this very seriously, we will see in the next 3 months , 4 months , 5 months, if any changes, et cetera, are coming. As I said, I'm sure they will issue a circular for that. And we will also see how other players in the industry which till now were AUM compliant, can they continue to be compliant on AUM. And thanks, everyone for joining. I think we'll just pass it back to Ansuman.
Ansuman Deb: Thanks a lot everyone, for joining the call. And on behalf of ICICI Securities, I wish you all have a very good evening. Thanks a lot.
Kamesh Goyal: Thank you.
Moderator: Thank you. On behalf of Go Digit General Insurance Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2025

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Date: 5th May 2025

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Mumbai – 400 001
BSE Scrip Code: 544179 To,
National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G Bandra Kurla Complex,
Bandra (East), Mumbai – 400 051
NSE Symbol: GODIGIT
Dear Sir/Madam,
Subject: Transcript of earnings call of the Company for the quarter and financial year ended 31st March 2025
Pursuant to Regulation 30 and Para A of Part A of Schedule III and Regulation 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith transcript of the earnings conference call held on Monday , 28th April 2025 on performance review of the Company for the quarter and financial year ended 31st March 2025 .
The above information is being made available on the Company's website at www.godigit.com
We request you to k indly take the above intimation on record.
Thanking you ,
Yours faithfully,
For Go Digit General Insurance Limited

Tejas Saraf
Company Secretary & Compliance Officer

"Go Digit General Insurance Limited Q4 & FY '25
Earnings Conference Call "
April 2 8, 2025

MANAGEMENT : MR. KAMESH GOYAL – CHAIRMAN , GO DIGIT GENERAL INSURANCE LTD.
MS. JASLEEN KOHLI – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER , GO DIGIT GENERAL INSURANCE LTD.
MR. RAVI KHETAN – CHIEF FINANCIAL OFFICER , GO DIGIT GENERAL INSURANCE LTD.
MR. PIYUSH BOTHRA – HEAD, INVESTOR RELATIONS , GO DIGIT GENERAL INSURANCE LTD.
MS. DIVYA BOTHRA – INVESTOR RELATIONS , GO DIGIT GENERAL INSURANCE LTD.

Moderator: Ladies and gentlemen, good day and welcome to Go Digit General Insurance Limited Q4 FY '25 Earnings Conference Call, hosted by ICICI Securities.
As a reminder, all participant lines will be in the lesson -only mode . And there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing "*", then "0" on a touch tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Anshuman De b from ICICI S ecurities. Thank you and over to you, sir.
Anshuman Deb: Good evening, ladies and gentlemen. On behalf of ICI CI Securities, it gives us an immense pleasure to welcome you all to the Q4 and FY '25 Conference Call of Go Digit General Insurance. I now hand over the call to Chairman – Mr. Kamesh Goyal , following which we will open the floor for Q&A. Over to you, sir.
Kamesh Goyal: Thank you, Anshuman. Good evening, everyone . And thanks for joining our call. This is our fifth analyst call and one full year in '24-'25 where we have been listed during this period.
With me I have Jasleen Kohli – MD and CEO ; Ravi Khetan – our CFO ; Piyush Bothra who Heads Investor Relations ; and Divya Both ra who is also part of our Investor Relations team.
I think before I start, I just wanted to come back , because we had discussed this in our Q3 call and later also on our Analyst Day meeting on 17th February , '25, a Presentation was also uploaded on the Stock Exchange websites , BSE and NSE the same day.
The three points which we had covered there, and I just wanted to quickly take them :
• The first was to say , combined ratio, we have always said ideally combined ratio does not have any link to ROE . So we had said that combined ratio on net earned premium basis makes most sense. The only caveat in this is that insurance companies which give a lot of reinsurance, especially long term, and book the commission upfront , the results can actually look better compared to companies who do not take this long-term reinsurance commission upfront . And we had actually shown an example of a company whose results are in this direction , that if Digit had done this, what the impact on combined ratio and profitability has been . In this same spirit, we will now start declaring our combined ratio on NEP basis , net earned premium basis . So our combined ratio in Financial Year '23-'24 on N EP basis was 112.2%. When we see this for '24-'25, this combined ratio would be 110.8. So basically , you can see , there is an improvement of 1.4% on the combined ratio. On a quarter -by-quarter basis, the combined ratio in Q4 F '24 on a NEP basis would be 110.9 %, while in Q4 FY '2 5 the combined ratio is 110 %, an improvement of 0.9 %. And when you will compare and we will come to that later , when you compare this on a combined ratio on I RDA basis, you actually do not see an improvement at all , while the profits have increased quarter -on-quarter from Rs. 53 crores to about Rs. 116 crores this year. So this was the first point.

• The second point which we had showed was that lower combined ratio with high commission is worse from ROE perspective compared to lower commission and higher C OR business . And higher C OR business typically will come from third party business. This is really true for third party business . And in this case , we had also mentioned , we had shown an example , a clear -cut example as to how this plays out. And we had also briefly mentioned that the company is consciously , wherever they are finding new opportunities , they are trying to go towards the business where the commission is a bit lower, and claims might be a bit higher . So on C OR it might

look worse, but from the ROE perspective this is better . And I think , to some extent , this gets shown in terms of lower expenses and slightly higher loss ratio in our Q4 Result .
• The third point we had said was that our industry, lot of companies have actually relied in the last four to six quarters on booking, realizing capital gains from equity portfolio that the market was fairly robust . And that in a tough market , the February '25 market was going through a bit of turmoil at that time , that this would not be possible. I think in the case of Digit , if we look at in our entire year , which is the whole Financial Year '24-'25, we actually have no capital gains. In fact, we have a capital loss of Rs. 3.4 crores. You might recall , this had come in the first quarter when we had booked some losses in fixed income where we sold some mark -to-market losses in the fixed income to increase the duration on the bond portfolio . Economically , it made sense to do that, but in the short term it obviously had a loss. So I think that also , I would say , seems to be pla ying out today, when you look at the results of

companies which have declared , there are no realized gains on the equity to the extent they were booking in the earlier year.

Now coming back to our slide deck, all of you are familiar with this deck. So the premium is Rs. 10,282 crores, t his is including 1/n, and we will actually come back without 1/n also a bit later. Market share on GWP basis is 3.3 %, Motor is 5.92 %. Number of partners ha s now increased to 71,870. And the assets under management are now closer to Rs. 20,000 crore s. And our customer satisfaction score in claims continues to be quite high.

Moving to the next sheet, if you look at , these are IGAAP numbers. If you look at here , the premium without , I would say , 1/n would actually be Rs. 10,419 crores. You can see that at the bottom in bold. And for Q4 , the premium would actually be Rs. 2, 652 crores compared to Rs. 2,576 crores , which is mentioned . Combined ratio, including 1/n is 109.3 % for the year and Q4 is 111.3 %. A nd compared to the full Financial Year last year it was 108.7 %. So as I mentioned , for the full year the combined ratio has improved a lot on a NEP basis but not on an IRDA basis.

But as soon as we move to 1 /n, you can actually see the combined ratio has improved. And the reason is that there is about Rs. 30 crores of commission which is there on account of the long term business. But that Rs. 30 crores, the premium has not been accounted for in GWP, but that Rs. 30 crores in our case is already , like Q3 is already provided for. So the combined ratio with 1/n and without 1/n actually economically is having the same outcome. So this , again , is I think a point I just wanted to say that IRDA combined rat io from that perspective looks a bit strange .

Overall profit for the year increased to Rs. 425 crore , for the quarter Rs. 116 crores , ROE in the 4th Quarter is 3.5%, for the entire year it is about 13%. Net worth has crossed Rs. 4,000 crore s for the first time, and the solvency ratio is now 2.24, which has also improved , if I remember correctly , from 222% in Q3 to 224%. So that's really the result.

Now moving on to the growth parameters :

If you look at GWP for the entire year, without 1/n, our growth rate would be 15.6 %, with 1/n growth rate for the year is 14%. And for the quarter, the growth rate is 13.5% . So that really is the growth rate. You can also see on the right-hand side the GWP mix quarter -on-quarter on that basis , and you can also see in the middle the overall growth rate of the industry. For the Financial Year , the overall growth rate for the industry with 1/n is 6% , and in the case of Digit this growth rate is about 14%. In terms of mix, if you actually see , there is a slight increase in

the mix overall on the Health , travel and PA segment ,

and the TP has reduced. Otherwise , the mix is also more or less similar. The only thing , again , I would just repeat is that Rs. 30.7 crores of acquisition cost for Rs. 136 crore s of premium which was not accounted for, has already been provided for in the books. So the premium is not accounted for but acquisition cost has already been provided for.

Now , in TP , as I already mentioned , the market share last year for the whole year was 5.96 %. This year, the market share is 5.92 %. I think we had said that , especially in the first quarter last year when market share in TP had actually dropped from 6.2% to 5 .96%, we had said that we would expect the year to have a similar sort of market share. And I think it seems to be in that direction. We will see how Motor business moves n ow in Q1 of new year.

Moving on to the next slide, now here again if you look at, we have already discussed the number s. You can also see the number without 1/n. So, overall , there is an improvement for the year . For Quarter 4 compared to last year there is a slight increase in the combined ratio on the 4th Quarter without 1/n. PAT for the year has more than doubled from Rs. 182 crores to Rs. 425 crores. A t this stage we are still not paying any taxes. I think the taxes should start coming in the year '25-'26. For Quarter 4 our profit is Rs. 116 crores , which is more than 2x the profit. And again just to repeat , this profit has no capital gains booked in, in fact, it has a capital loss of about Rs. 3 crores. So this is core profitability from the insurance operations. And I think this is also something which we had discussed on February 17th.

Now moving to the next slide, I think here again you can see the AUM movement . This year if you look at, we have generated close to about Rs. 2,850 crores, which is similar to Rs. 2,750 crores of AUM generated in the previous year. And overall, if you again look at our yield, our yield in Quarter 4 purely is coming in from fixed income without any capital gains is about 1.8 %, annualized basis you get at 7.2%. And I think if you will compare this yield with other insurance companies, I think in Quarter 4 the yield will actually look better because other companies would not have capital gains .

Now moving on to the next one . I think in our calls we have been saying that we have now sufficient solvency margin . And given the market opportunities, we would actually like to increase our equity allocation up to 10% of our assets. I think in this quarter , Quarter 4 , especially in the month of February, we got some opportunity to increase our allocation. So as of December 31st, if you see the note below ,

the bottom most line, our equity allocation was only 2.9% , and as of 31st March equity allocation has actually now moved to 6.4 %. So we have been able to now come to within two -third of our initial target of 10% in the equity. So this quarter in the investment this has been a big change. Other than that, all our allocations in investment s have actually been s imilar.
Maybe one point I can mention on the investment is that , in equity investments we bought in Q4, they actually had a small mark -to-market gain as of 31st March. So I think this seemed to have played well. Our thought process, why we did not move to 10% was, we felt that the market was very volatile , especially due to this tariff and geopolitical situation. So we felt that if the market drops , comes to another level, we will actually then go for the balance 3 .5% to go totally up to 10%. That opportunity did not come , which I would say is expected. Because we felt that even at 6.4 %, if the market runs up from here, at least we have been able to increase our equity allocation at a decent valuation.
Now moving to the loss ratio s:
I th

ink we always say that the loss ratio s should be seen from a three -years perspective. So if you look at loss ratio in OD and , again, if you look at a three -years average for almost all lines of business , and I will cover each line. Motor is, from a three -years perspective, it's at that average level. TP also from a three -years perspective would probably be 1 % or 2% higher , and we have explained this in the past in detail that FY ’24 the TP loss ratio looked lower, especially due to a slightly higher increase as a percentage of premium in results .
In Health , I think we have seen a good development in growth as well as on the loss ratio, which is 83.8% . And here I may say that since now long term premium is being declared separately by all companies , if you think that attachment products only have a loss ratio of 15%, retail Health has a loss ratio of 70 %, and if you take a loss ratio of 95 %, 97% in employer -employee , and if you plan to take a weighted average based on this portfolio mix of different companies , you will actually find that our Health loss ratio overall is quite competitive.
So, the only point I want to bring across here is that in terms of both underwriting as well as from a claim s settlement capability, I think we are rightly positioned . Despite relatively a smaller size, our loss ratios in underwriting looks good. A s and when we see an opportunity in the market where the pricing looks decent, we would be able to increase this business substantially , because all this looks good. So that's the point I wanted to bring across .
In fire our loss ratio , again , over a three -years period would be more or less in this range . What happened in Q4 was, again , we had some bigger losses which increased the loss ratio in Q4 to 81% . But in fire , last year, our net premium was only about 18 %, 19%. So the net is relatively small. The combined ratio, everything will still be very, very good , highly profitable . And if we just see it from a perspective of loss ratios of our reinsurers , we should look at loss ratio on a gross basis , in previous ye ar ‘23-’24 gross loss ratio in fire was 84% due to various five nat cat events which we have covered in the past in detail. This year, the loss ratio , on a gross basis , is only 56.8%. So , just wanted to bring across the overall profitability of this commercial line of business is driven more around gross loss ratios. You also get

profit commission on that. You also get reinsurance commission . The Net though increasing each year, but still is small , so one or two losses can actually move the loss ratio up. And I think the good news for us this year was that we have been able to increase our capacities in our reinsurance treaties , in general, across almost all kinds of treaty, but especially in property and our terms have also become slightly better.
When we look at marine, I would say , loss ratio is continuously improving. I think the book is also increasing year -by-year, and our focus now in marine is also to move towards more retail portfolio .
Engineering, again , on that basis , as for fire as I said , in engineering when you write a project which takes three or four years to complete, if losses come in between the premium has not come in . So engineering has that peculiar situation , and the loss ratios can be very volatile . And you can actually see in Quarter 4 the loss ratio is only 40.3 %, but overall for the year it was 103 %, but on FY ‘24 it was only 130 %. But on a gross basis, this business also profitable . In others, the loss ratio increased slightly due to a bit of a mix change.
So on the loss ratio, again, if you look at total, our loss ratio, I would say , on a three -years is around 70%. A nd if we are able to move for towards this direction where we can reduce the commission and

the loss ratio slightly goes up , this would be positive. And I think we will , obviously , keep you posted every quarter as the results come.
This is normally a slide which we show every time, so this is something where I think we continue to move more and more business through APIs. Some new relationships were also started, their APIs

would take a bit of time, but the re we use bots for policy issuance .
Now we will go a bit further , this is the IFRS results. We have said that once a year we will get the results audited , so these are the IFRS audited results . Later, I think if anyone wants to discuss, they can reach out to Piyush if they want to have a discussion on that.
I wanted to move to triangles in that case , because triangles, as you know , are only published once a year. This is the whole account, which means every single line of business is included in this . Digit had issued its first policy I think in October or November 17th, so the business was really small . And if you look at each year, we have reserve release coming in in every single year on the whole account . The next table shows you only for T P.
Again, I think to refresh memory , first year the earned premium was very small. We had got one large claim where , I believe , the claim amount was close to was Rs. 4.5 crores or Rs. 5 crores. The claim is still not settled. So overall, if you actually look at , the reserves have come down, but we still have a small Rs. 60 lakh of unfavorable development coming in only from one claim. But each subsequent year if you look at , we have been having more than adequate results and you can also see this trend . Actually, for ’17-’18 NEP was only Rs. 7.5 crore s and we had two large losses coming out of one claim. So that was the reason. Once the claim gets settled, we will see whether even this Rs. 60 Lakhs will stay or this will go away.

The next triangle is whole account excluding Motor TP. So this also gives you an idea that , again , if we exclude TP also , we are more than adequately reserved in every single year . So like whole account excluding TP I think reserving is something which is comfortable from a Digit ’s perspective . And for us, reserving is something which is very, very important from that basis .
So that was a brief from my side . We w ill now be more than happy to answer any questions that you may have.
Moderator: Thank you very much. We will now begin the question -and-answer session. First question is from the line of Supratim D atta from AMBIT Capital. Please go ahead.
Supratim Datta: Thanks for the opportunity. My first question was on the growth front. So wanted to understand that going into next year how are you looking at the growth? I understand that you have made investments in certain areas, but from the data it suggests that Motor s could see a slowdown going into next year, so just wanted to understand which are the categories you are looking at which could offset any further slowdown on the group Motor side? And if you could give us some color on how the group Health business is playing out, it was very competitive this year, but given the April renewals are now over, if you could give us some color on that, how that category is tracking that would be very helpful.
My second question is on the Motor PT losses . Now, if I remember correctly, in the 3rd Quarter you had indicated that the reserve releases till the 3rd Quarter was lower as compared to last year , and hence there was a potential of higher reserve releases in the 4th Quarter versus last year. But from the looks of it, that has not played out. So if you could help us understand what has happened there , what am I missing , that would be very helpful. Yes, those are my two questions. Thank you.
Kamesh Goyal: Sure. So I think that the Motor , I would say that if y

ou look at our trend for January, February, March,
I think it will give you a bit of an idea as to what's happening on Motor growth . Supratim , since we do not give a guidance , so I do not want to exactly speak as to what we are looking at . But if you look at February and March , it should give you some indication on the Motor . I think our sense in April , in whatever days we have seen , and I would say this is too early to see this as a trend. But I think it seems that Motor in the first fortnight has been okay for us, from a growth perspective .
On GMC, I think , again , this is a very dynamic portfolio. And based , again , on what the discussions I have , and this is the qualitative feedback I am giving both on Motor and GMC , not really looking at the data. What I am hearing is that on April 1 when the big renewals were due, we have actually seen, I would say , that we have seen very high competition on April 1 . But I think the smaller policies which were due now , say, during the month, not exactly on 1st of April , there I would say we have seen some improvement in the pricing . And I believe it has been slightly better from that perspective.
My personal view is , and I explained this in our Health loss ratio, if you look at even companies which have a higher proportion of non -employer /employee business , attachment business which comes at a very low loss ratio , you will actually see that their overall loss ratios are not looking as good. So , we feel that we are now positioned , from underwriting and claims perspective , that if there is a bit of correction in the GMC market, we will actually be able to increase this business .

Now, coming in for TP, I think , Supratim , last year if I give you exact proportion , previous year we had the higher reserve release in Quarter 2 . So I think if you look at for the Quarter 2 , the reserve release was about 37% of the N EP. And for the whole year, if we look at , TP impact on loss ratio, last it was about 8.1% . This year on TP reserve release , on the overall loss ratio the impact is about 5.3 %. A nd if you look at one more large P &C player , last year they were at about 4.6 % and this year was 4.6 %. So if we remove that Quarter 2, which had about 37% of the yearly reserves , I would say , in the 4th Quarter only had 14%. This year our reserve release in terms of proportion has been around 25 % for all the four quarters. Quarter 4 is 21 %, all the other three quarters were 26 %, 25%, 28%. So on the TP , I would say , the trend line for us is actually fine , other than that outlier in '23-'24 in Quarter 2 .

Supratim Datta: Alright, understood. Thank you.

Kamesh Goyal: Thank you, Supratim .

Moderator: Thank you. Next question is from the line of Ni dhesh Jain from Investec. Please go ahead.

Nidhesh Jain: Thanks for the possibility , sir. Sir, the first question is on again on the growth front. If you look at till FY '24 , we were growing significantly faster than the industry. But in FY '25, the growth has broadly converged with the industry on GDPI basis. So I understand that we have also slowed down Motor TP consciously , but from a medium let's say three to five-year perspective, how should we think about our growth , not in absolute percentage but relative to the industry ?

Kamesh Goyal: So, thanks. So if we look at , I think in our case we always focus on GWP, not really on the GDP, because the simple reason is that revenue is revenue. Some lines of business you want to write more on an inward fac basis , some you want to write more on a direct basis . And wherever you see an opportunity or a better risk reward mechanism , that is where you go on . And if you look at on a GWP basis , our growth rate would be , even if you include the GWP of all the companies and the information should come in the next th

ree months , my sense is , we would still be about 1.7 times, 1.8 times of the industries ' GWP growth.

So, growth from a relative perspective I would say is decent. I think last year if we look at , what changed obviously was there was a price competition on fire, which I think was not really expected. There is no increase in TP rates. So these were the two reasons . This year , I think I am a bit optimistic about the industr y's growth rate , because in fire premium rates have increased especially from January , but from February we have seen the impact . The real impact of this will start coming in more from July onwards, because last year, July to December is when the industry had seen intense competition in fire.

And secondly, I think we would also expect some increase in the third -party premium rates. We would not hazard a guess whether this would happen from July or September, but there should be some increase in the third -party rates. So assuming the economic growth rate in the country stays similar to what last year is , I would still expect the growth rate of the industry to be about 3 % to 4% higher compared to last year. Does that answer your question?

Nidhesh Jain: Yes, sure, sure. And second is, market share in the Motor segment has been pretty Health y by around 5% to 6% range. Which are the other segment s where we think we will be able to reach similar sort of market share , again, from a medium -term perspective?

Kamesh Goyal: So, again, since we do not give any guidance, but I would say this year , again, you should be looking at, on quarter -by-quarter basis , what is happening on the fire, what sort of growth rate we can have in fire compared to the industry . So I would say that definitely is one area. And within Motor also, I would say, I would be curious to see month -on-month how the growth rate plays out , especially in both OD and TP side . Because here also last year due to a certain confusion in the third -party obligation, where a lot of companies assumed that if you pick up renewals of other companies, it will actually go towards meeting the third-party obligation quota , and this got clarified by I RDA sometime in February that you only will get credit for your quota if there is a gap of 30 days. So we feel that last year a lot of companies in this misunderstanding and trying to meet the TP quota went a bit more aggressive. W e would expect slightly less aggression even on the TP side. New own damage is a bit difficult to hazard a guess in terms of new vehicle sales. But I think the trajectory of interest rates continues to be down , maybe that is a segment which can also pick up .

Nidhesh Jain: Sure. A nd lastly, a bookkeeping question. Can you share the mix of Motor in terms of new versus old?

Kamesh Goyal: We do not track new versus old, but what maybe we can do is that we have said this already in our , I think , earlier conversation if I remember . But Motor actually if you look at , overall , if Motor is 100% of the portfolio , then we had said that typically car would be about 40 %- 41%- 42% of the business , and the two-wheeler and commercial vehicle will be around 30 % - 30% each. So that is really a portfolio. And within two-wheeler and commercial vehicle s, I would say , within two-wheeler most of the portfolio would be new vehicles because this is 1+5 . CV I would say would be more like 80% would be more towards older vehicles. These are not exact numbers ; I am giving based on my understanding of the business . And in private car , I think our mix will keep improving towards non -new because every year non will have a substantial renewal base . So, our renewals will keep increasing. So the hope is that this should actually change our mix more and more towards older vehicles in Motor business.

Nidhesh Jain: Sure. And that

will automatically lead to lower expense ratio and higher loss ratio, which you ha d
alluded at the start of the call.
Kamesh Goyal: I would not say that . I think that is more pronounced towards CV and two-wheeler business . Private car, obviously , a higher share will reduce your expenses . In two-wheeler s, if I just give an example , in two-wheeler our proportion of businesses relatively higher than most companies. Now, since you are writing 1+5 and you have to pay full commission , 1% mix change actually reduces your R OE. So I think two-wheeler business also plays an important role from an expense perspective. So , until this, every company has accounting from that perspective, and which is only possible in IFRS, it is difficult to reach this.
But what you said is true , between all the three lines ; private car , two-wheeler s and commercial vehicle s, private car has the lowest expense ratio . In terms of own damage loss ratio , CV would have the highest own damage loss ratio than private car and two-wheeler s. And I would say , even TP loss ratio would

also be similar, CV highest , then private car and then two-wheeler s. So that is how this business is place d. Private car s normally would not have a higher TP loss ratio or OD loss ratio than commercial vehicles , that would be my understanding ; commercial vehicle as a whole block and private car as a whole block and two-wheeler s as a whole block.
Nidhesh Jain: Sure. Thank you. That's it from my side.
Kamesh Goyal: And we have also discussed this in the past that as private car keeps the renewal book keeps getting older. So you have third year renewal, you have fourth year renewal, you have fifth year renewal, your loss ratio s also improve. Now , obviously , that benefit to us will start coming, I would say , more in the next three -years when we can say a decent part of our book is now more than five years old renewals. So we are still three, four, five years away from maturity from that perspective. We can take the next question.
Moderator: Yes, sir. Next question is from the line of Dipanjan Ghosh from Citigroup. Please go ahead.
Dipanjan Ghosh: Hi, good evening , sir. So I was just asking that, since the public disclosures are not out for the 4th Quarter , just wanted to get some sense of the business that you have underwritten through inward feeding. Is it more on the government Health or group Health or crop? So that will be the first question. Second, on the commercial lines you mentioned that while o n the April initial renewals or lumpy renewals, there was significant competition . Going ahead , on the smaller lines of businesses the competition has kind of been relatively behind . So maybe if I were to just look at, let's say , for the year FY ‘ 26 of going ahead, what would be your ambitions in terms of kind of increasing that line of business? And third , on your overall Health portfolio , if you can split the claims ratio number between retail and employer -employee.
Kamesh Goyal: Sorry, the last one I did not get it.
Dipanjan Ghosh: The last question was , if you can split the claims ratio number for the Health business between employer -employee and others.
Kamesh Goyal: Sure. So Dipanjan , I think as I said that , in GMC most of our business would be employer -employe e last year even , in Quarter 4 . The loss ratios what I have given , I have said attachment products is typically 15%, employer -employee would be significantly higher, it could be anywhere between 85 % to 90 %. I am talking more from industr y’s perspective. And retail Health would be closer to about 70 % for the industry. So since all these numbers would come and it's also available in the public disclosures , and the point I was making there is to say , if you look at the loss ratios of different companies on this basis and you lo

ok at their actual mix , our Health loss ratios will look fairly good. That is the point we were actually making .
Now your second point in terms of commercial lines, yes, we expect commercial lines to grow for the industry as well as for Digit . Last year , if you look at , industry had a slightly negative growth rate in fire portfolio . This already changed in Quarter 4 when the industry saw a little growth . So our sense is that commercial lines of business should grow . And commercial line is beyond fire , it also includes

marine and liability and others. And our expectation based on where we are today, no real guidance , that since we have also increased our treaty capacities, we would expect slightly better growth in commercial lines. Our mix in the last four or five years in terms of Motor and non -Motor has actually been moving anyway more and more towards non -Motor . Did I answer all your questions?
Dipanjan Ghosh: Yes. Sir, just one follow -up, if I may.

Kamesh Goyal: Please.
Dipanjan Ghosh: Yes. So sir, for the 4th Quarter if you could give the inward seeding mix, is it more tilted towards the government Health or crop or anything else?
Kamesh Goyal: I said more towards employer -employee, not government Health .
Dipanjan Ghosh: Got it. Thank you sir. And all the best.
Kamesh Goyal: Thank you so much .
Moderator: Thank you. Next question is from the line of Anirudh Agarwal from Value Quest Investment Advisors. Please go ahead.
Anirudh Agarwal : Yes. Thanks for the opportunity. First question was on the P &L. So just trying to do some math , and correct me if I am wrong, but if I add up the underwriting loss, the investment income , and then try to correlate that with the reported PAT , there seems to be a Rs. 50-odd crore s gap. What is that on account of?
Kamesh Goyal: Sorry, Anirudh y our voice wasn't , now I can't hear you at all. You said there's gap?
Anirudh Agarwal : Yes. So I was saying , I was adding up the underwriting loss of Rs. 180 crores , the overall investment income of about Rs. 350 crores. So that adds up to a net profit of about Rs. 1 65 crores - Rs. 170 crores. However, reported PAT is like Rs. 50 crores lower than this. So couldn't fully understand the reason for that differential.
Kamesh Goyal: So Anirudh , our CFO is answering it.
Ravi Khetan: So Anirudh, Rs. 180 crores number what you are taking is not correct , that you can reconcile , it should be around Rs. 220 crores, t hen your numbers will reconcile with the net profit.
Anirudh Agarwal : Okay , I will.
Kamesh Goyal: So Anirudh, Ravi is saying , maybe after the call you can connect with Piyush and just reconcile the numbers.
Anirudh Agarwal : Sure, sure. Sounds good. And the second question was on the OPEX side. So , again, reported OPEX seems to be materially lower , is that to do with some reclassification or anything more to read into that?

Kamesh Goyal: So, I think , overall you will see the details here , overall, there has been a reduction in the overall OPEX expansion. T owards commission to GWP, once the full results get published, you will be able to see that the commission to gross written premium would have reduced in Quarter 4 .
Anirudh Agarwal : Got it. And Kamesh, finally on the EOM glide path , so how do you think we are placed in terms of you know meeting our FY ‘26 quarterly commitments on EOM incremental?
Kamesh Goyal: Sure. So I think I will give some numbers on the EOM , but I will put one caveat . Every quarter after the board meeting, we are supposed to update I RDA . So the details of that letter will go in the next 15 days to I RDA, but I will share some numbers. So last year, as per EOM , our expense ratio was 36.3%. This year, on the same basis, that is without 1/n, o

ur expense ratio is reduced to 33.4 %. So there is a reduction of 2.9% on the overall expenses for the whole year. If we do this ‘24-’25 with 1/n, then this 33.4% will become 33.9 %. Based on what we have seen, the trend in the first three quarters of the industry, our sense is that there would only be four or five companies at best who would have reduced the EOM compared to the previous year. And within that , to have a reduction of close to about 3% , in EOM my sense is, it would actually be there.
Now this year, obviously , we have to reduce the EOM further , and that is what we try and do. The full update will go to IRDA, every quarter it goes, it will again go to IRDA this year. And as we had also said in the initial earlier calls, I think it was after Q2 if I remember, we had said that this IRDA’s objective of coming out with EOM guidelines was to reduce commission expenses. And I think everyone would agree that this is very much required. It is in customers ’ benefit , and commissions should actually go down.
However, in reality, since in both ‘23-’24 and ‘24-’25 commissions actually went up. Now , IRDA obviously would be very serious about this , and this is my personal opinion , that I would expect I RDA to take some corrective actions on EOM so that they can actually achi eve the objective of lower commissions . So I think we are on the path of reducing EOM, reduction has been decent , industr y’s trend is otherwise , especially with 1/n, a lot of companies would actually be seeing increase in E OM, bigger or smaller ones both. So I think on that relative basis, I would say , we are on a good path.
Anirudh Agarwal : Got it . Final question was on overall underwriting , as you look at it next year, obviously , we are not looking at the reported combined ratio et cetera, but what are the levers that you see across different lines in terms of further improvement on the underwriting front on an NEP basis?
Kamesh Goyal: So, I would say , two, three things here , Anirudh . So one is that when the rate itself goes up for the same risk, so that itself will lead to improvement in the loss ratio. So , I am not talking more from a perspective of property business. The second thing is , as the renewal book increases, especially in private car, that should be good from an overall profitability per spective . Third, w e should see some increase , even if the increase is only 5 %, 6% in TP rates and we obviously have no ideas to what the increase will be . But I think the newspapers seem to suggest that there will be some increase and I RDA and government

and ministry of road transport are in discussion. So even if the increase is only 4%, 5% also , that should also help on the profitability side.

Besides that, we have taken some other steps in terms of looking at flood exposure, which is very important in property. And overall , I think , we keep on taking different initiatives, which also shows in the loss ratio, whether you look at Motor OD or you look at Health . So if you look at Motor OD and Health where the competition has been very intense, if you look at last three years our trend line has also been decent on that. So these are the things which the company is doing in terms of looking at overa ll profitability.
The last thing I would say is that which I think have repeated in every call and I will repeat here now also, that our profits have actually doubled when the combined ratio improvement was about 1.8% on NEP basis. So in our business model where the leverage AUM to net worth is still 4.9 times, which is the highest in the industry , actually in our business model we do not need very substantial improvement in combined ratio to increase profitability. And I am not saying that we will not improve , like this yea r already improved by 1.8% on NEP. So every small improvement a

ctually adds up to the profit, and the
leverage is anyway quite decent . And we are not dependent , again to repeat, we are not dependent on capital gains from that perspective.
Anirudh Agarwal : Perfect. Thanks and all the best.
Kamesh Goyal: Thank you.
Moderator: Thank you. Next question is from the line of Satvik from Jefferies. Please go ahead.
Satvik Kanabara: Hi Kamesh, thank you for the opportunity. Just two questions from my side. So , we understand that the PSU insurers have become more competitive in the Motor and the Health segment, especially on commissions and as well as pricing. Some of the larger players actually pointed this out during 4Q. So can you please share your views on this and impact on the Digit ? And the second question, any clarity on EOM, whether any change in timelines or reference to whether it will be allowed with or without one by 1/n? Thank you. .
Kamesh Goyal: On the E OM, actually we do not know what the changes will be, if any. So , we do not really want to second guess here. I think on the Motor and Health , I have already actually said this and maybe I will say it again. If you look at our loss ratios , in OD we I think still grew more than the industry , loss ratios are pretty good . In TP, our market share overall remained similar , so from 5.96 % in previous year this year it was 5.9 2%. And despite whatever competition we are talking about, we still could maintain market share , loss ratios decent there . In Health , we could actually grow this business , and despite the market being very competitive we also reduced our loss ratio. So I think , again , even in Health , and I am sorry to repeat this, please look at the mix of each company . Group Health 85% to 90% loss ra tio, retail Health at 70%, attachment or long-term products at 15% .
And you will actually see your Health loss ratio is pretty good. And we have never ever spoken about that, we are big here , we get discounts from the hospital and this and that . Without doing any of this. I am not saying we are not doing any of this. I am just saying that because of what we have now executed on the fraud side, how we are looking at claims now being held from a leakage side, how we are actually

underwriting , especially groups . In retail we have always been fairly conservative. We actually feel, I would say, comfortable with this competitive intensity .
And if now somebody might say PSUs shoes are getting aggressive, if you go back to Quarter 1 of ‘24-’25, when you look at the market share in the first four months of last financial year, the market share gain was by some large private companies at the cost of P SUs. So we actually do not really , Satvik, look at PSU private from that perspective. We actually see what is it that one can do , and then drive business from that perspective. I already mentioned that the competition on Health was terrible on April 1. We lost lot of our own renewals in group Health , large one s. But when we look at on the retail side , smaller, we are actually seeing some changes and our renewal ratios are better post 1st of April in the month of April.
So, towards it seems that the higher Health loss ratios which companies are seeing, almost all of them, it is biting them. And t here should be some improvement relating to this. But we know at what profitability we are ready to write a business , and if it does not come we will not write , as simple as that. And the Health business especially does not add much to your AUM also. So it's not that you can increase the AUM and write business from that perspective. So , whatever the situation , Satvik , is, I wouldn 't say as of now we are concerned about it , because it seems , and all this is again very early to say, this April seems to be better than April ‘24, but it's not over yet.

Satvik Kanabara: Ve

ry, very clear. Thank you so much and all the best.
Kamesh Goyal: Thank you.
Moderator: Thank you. Next question is from the line of Rachna from SRMPL PMS. Please go ahead.
Rachna: Hello. Thank you for the opportunity . I have a bookkeeping question and a data related question . And correct me if I am wrong. If I look at the break up of commission for the nine month FY ‘25 , FY ‘24 and FY ‘23, there is a high increase in the reward component . For example, in FY ‘23 it was around Rs. 74 crores , in FY ‘24 it was around Rs. 1,000 crores , and as per nine months FY ‘25 it is Rs. 966 crores. So, I just wanted to understand the reason behind the reward component increasing so much. And how does this reward component align with the goal of maintaining a control cost structure from a long-term perspective ? And could you also tell that this dependency on rewards might hold a risk to the sustainability of premium growth? Yes, that's it.
Kamesh Goyal: So, Rachna, I would suggest that you please look at the commission as an overall block and not really look at it divided between rewards and things like that, because the way commission is steered and discussed is on an overall basis. Now the components of them can be different, but you should look at commission on an overall basis . And that too commission as a percentage of gross written premium , that will actually give you the right picture than a nything else . What was the second question?
Rachna: Just wanted to understand the reason behind the increase in the rewards.

Kamesh Goyal: As I said, I would say , if you talk to some other people also, till ’22-‘23 there were certain ways in which rewards had to be given and there was something which was to be given on commission. Now all of that actually went away from ‘23-’24 onwards. So if you see it for anyone in the industry, you will actually see those commission components have changed a lot. So till ’22-‘23 you should look at the overall expenses, even including management expenses as a percentage of gross written premium . ‘23-’24 onwards, you can actually look at it as commission separately and managemen t expenses separately . Within that , do not look at the component because , I would say , it would not have much logic based on that , so look at overall commission.
Rachna: Okay . Thank you.
Kamesh Goyal: Thank you. We can take maybe one or two more questions.
Moderator: Yes, sir. The last question is from the line of Sanket h Godha from Avendus S ark. Please go ahead.
Sanketh Godha: Yes. Thank you for the opportunity . Kamesh, your EOM at 33.9% probably was because of the lower Motor contribution in the current year, because you intentionally slowed down the TP business because of the pricing or competitive environment. So tomorrow for example growth come s back in this particular segment , and we will not hesitate to grow that segment , then are you confident that your EOM for ‘26 will be still better than ‘25? If yes, what are the likely levers you have?
Kamesh Goyal: Sanket h, I think overall if I look at, so as you know that we do not really want to predict what the mix will be this year. And we have said this in the past that the EOM actually depends on the mix. So , government Health , employer /employee Health have the lowest commission in the EOM . Then you come to fire business , which also has lower E OM compared to others. So it is difficult for us to hazard a guess. But what one can say as a thumb rule is that the commission or EOM is lower in non -Motor compared to Motor , because Motor has a higher EOM and Motor is typically retail . So that is one thumb rule and as is obvious from our number , our non-Motor business or proportion has been increasing, I would say , quarter -by-quarter or year -by-year for the last four or five years.
Now , the second

is , if you look at commissions per say , commissions are a function of the competition intensity. And even if you look at maybe the largest companies in the sector, the top two, t op three private companies also, even this also we had discussed this on February 17th and we had uploaded it also in our disclosures , that if you actually look at just Motor EOM we were , if I remember offhand, only 4% higher than maybe a very large Motor insurer. And within that, if we actually have their mix of private car, commercial vehicle and two-wheeler s, then difference would have actually come down to less than 2%.
So basically , commission will always be a function of the market. No one can substantially pay more than the market, and no one can substantially pay less than the market. So , as long as we see that market intensity reduces, this actually should not change things . Secondly , also as I said that the intention of IRDA was to reduce commission , which has not happened . So I am personally, I would say , very hopeful that IRDA will take steps to ensure that the market commissions actually go down because they

are coming at the cost of the retail customers. And if that happens, then it will benefit everyone in the industry and then automatically Digit 's own EOM will actually come down on Motor , too.

Sanketh Godha: But Kamesh, if I look at your loss ratio, last three -years , that is '23, '24, '25, it kept on increasing by almost 200 -odd basis point or 250 basis point every year. But the counter to that was, it was an improvement in the expense ratio because the mix moved away from retail . So just to understand that if the mix goes wholesale or more commercial , then is it fair to say that your new normal in loss ratios are more 70 % to 73 % rather than being 68 %, 70% what you used to report?

Kamesh Goyal: Not really , Sanketh. I think if you look at in own damage, we have been growing more than the market, which is a retail business , our loss ratio in '24-'25 is actually lower than '22-'23. And you know that price competition has been there compared to '22-'23, compared to '24-'25. Now, in fact if you look at, we know that in '24-'25 our loss ratios went up because of five major events , this has come down to 68%. B ut even in 68 % Quarter 4 was bad. I also explained that the net loss ratio in commercial lines, especially fire liabil ity etc . has much lesser impact on profitability . Now , if you look at marine , our loss ratios have improved . Engineering has been volatile , as I said . And others , we have seen a bit of an increase . So, we have always said that the loss ratio at which we are writing business is around 70 %. Now, it will move , Sanketh, in the range of plus /minus 2% based on what the catastrophic event and some large losses etc . are like.

But again , I think , as we said that when we explained this in February 17th and I also said this at the beginning that even if combined ratio goes and your ex -commissions is lower, it actually improves the ROE, it improves the profit. And if you also look at from an AUM increase perspective , from a business side though the growth was slower this year compared to the earlier year , on Slide 8 you actually see we have grown the AUM and by Rs. 2,856 crores compared to Rs. 2, 746 crores in the previous year. So, my sense is that one should look at profitability on a NEP basis . And if one can also moderate it along with the reinsurance commission which people are taking especially on long term Motor , as an example , that could actually give you the right perspective on profitability . And there , as I said, we have improved our N EP combined ratio by 1.8% compared to the previous year.

Sanketh Godha: Got it. The last two ones . See, the insurance acceptance for, obviously , the year '25 grew by almost 70% year -on-year.

If you look at GDP growth, it is 7 %, and the reinsurance accepted led to that growth of 14 %. So, now the base is very big , so just want ed to check that on such a big base , which is 80% of your total portfolio , how confident are you that this growth will continue? That's the one question I had. And second , I think Anirudh asked this question , maybe if you can respond , the Rs. 53 crores additional expense in shareholder account , which explains the difference between the investment income and the underwriting profit , what the Rs. 53 crores in 4th Quarter is related to?

Kamesh Goyal: So, I think if you look at on the Anirudh 's question, this Rs. 53 crores is from a profitability perspective, this is anyway accounted for from the shareholders.

Sanketh Godha: It is recognized in shareholder account. Just wanted to understand this Rs. 53 crores is related to what line items , because it seems to be a substantial ly big number.

Kamesh Goyal: Yes, I was just coming to that , Sanketh. S o I would , it has two major components. One is that we as a company have now decided to spend a bit of money on the brand , and that is in general on the brand. It is not from a perspective of one line of business and things like that. So the idea is that the company wants to invest in the brand and the board felt that we can continue to spend this money without allocating it to the policyholders. Second is , it also includes some cost relating to ESOPs w here when you award ESOPs , it has a certain cost . And then , again , that is seen from a long term perspective , because in our case ESOPs also get vested after four years. So we h ad decided , the board decided to get these cost s also allocated to the shareholders account. It actually does not change anything on the P&L perspective . And as I also said earlier, even Rs. 30 crores of future commission, which is not booked against the advanced premium, even if that is also included in the P&L. So that is really on this.

On the other hand , on the reinsurance side , Sanketh, I think if you look at, everyone knows that retaining more premium in India is what the regulator and the government have always intended to do. Reinsurance guidelines have also undergone changes this year because of the requirement of collateral, etc. So , our sense is that for the entire industry we should actually see more premium being written in inward fact this year , because dealing with cross -border reinsurers has become more tedious and it is also difficult for the cross -border reinsurers. Because if you retain the premium with yourself and do not give them the premium, then they have lo ss of investment in come . So then they would want to change the terms and conditions to compensate for that . And as soon as they do that , and by each slip basis, then writing business within India becomes more attractive from the company who's giving reinsurance also.

So based on that , Sanketh, w e do not really see that as a challenge. In fact, I personally foresee that almost all large companies would actually be writing more inward fac business. Now, obviously , one will have to see does your treaty allow that? Maybe in fire they might not be able to write that much , they might write more on the Health side where they do not have a requirement of a treaty . But in commercial lines, people will still write a bit more. They will be handicapped definitely by reinsurance treaty. And non -corporate lines or non -property liability lines , I definitely foresee them writing more reinsurance business because that is in their own hands , they do not really have to depend on the reinsurers for that.

Sanketh Godha: Got it. Perfect , Kamesh.

Kamesh Goyal: So I think I will just take maybe two minutes to brief with the closing remarks . Our overall performance and profitability

has improved on NEP basis. When we look at our investment income , our investment income , unlike anyone else , is actually without any capital gains. And this now has investment yield of 7.2%. In Quarter 4 , we could actually increase from 2.9 % to 6.4% our asset allocation towards equity. The amount invested in Q4 has , as of 31st March , has given a small surplus. So it seems that, in hindsight, it seems that what we did is right .

Combined ratio without 1/n and with 1/n has actually no economic difference because Rs. 30 crores of commission has already been accrued . And when we look at combined ratio , last year which was also the IRDA combined ratio which was without by 1/n, there again on a full year basis we have seen an

improvement . Though, as I said always that this combined ratio has no impact on profitability . In fire business , we are seeing recent trades . Our reinsurance treaties ' capacities have increased . For all commercial lines of business terms have become slightly better . In group Health 1st April was tough, but post that we have started seeing some semblance of c hanges .

Our reserv ing continues to be very strong across the whole account , separately for TP and whole account excluding third party so the reserving is robust, very comfortable with that . And we are likely to see some increase in TP increase premium rates this year . On EOM , we have reduced our EOM as to GWP by close to 3%. We feel that this would be amongst the highest decrease in EOM by any company . And most companies, including big ones, have actually seen an increase in the EOM rather than reduce. And here again we expect IRDA to take some action to reduce the commission which is being paid on retail lines of business . And I think it is very much required . And if that happens, that will also help us . Our ROE on the entire year basis was 13 %. And please remember that this was only our seventh full year of starting the company from scratch.

So thanks everyone for joining. If you have any additional questions , please do reach out to our colleagues in investor relations , that is Piyush. Thanks a lot for joining and look forward to your participation in our future events , too. Thank you so much.

Moderator: Thank you. On behalf of ICICI S ecurities, that concludes this conference. Thank you all for joining us . And you may now disconnect your lines.

Call: Jul 2025

Go Digit General Insurance Limited | Registered Office: Ananta One (AR One), Pride Hotel Lane, Narveer Tanaji Wadi, City S urvey No.
1579, Shivajinagar Pune - 41100 5 Maharashtra | CIN: L66010PN2016PLC167410 | IRDAI Reg. No : 158

Website www.godigit.com Email Id: hello@godigit.com Toll free 1800 -258-5956

Date: 31st July 2025

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Mumbai – 400 001
BSE Scrip Code: 544179 To,
National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G Bandra Kurla Complex,
Bandra (East), Mumbai – 400 051
NSE Symbol: GODIGIT
Subject: Transcript of earnings call of the Company for the quarter ended 30th June 2025
Dear Sir/Madam,
Pursuant to Regulation 30 and Para A of Part A of Schedule III and Regulation 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith transcript of the earnings conference call held on Monday , 28th July 2025 on performance review of the Company for the quarter ended 30th September 2025 .
The above information is being made available on the Company's website at www.godigit.com .
We request you to k indly take the above intimation on record.
Thanking you ,
Yours sincerely ,
For Go Digit General Insurance Limited

Tejas Saraf
Company Secretary & Compliance Officer

"Go Digit General Insurance Limited
Q1 FY26 Earnings Conference Call"
July 28, 202 5

MANAGEMENT : FOR GO DIGIT GENERAL INSURANCE LIMITED :
MR. KAMESH GOYAL – CHAIRMAN & NON-EXECUTIVE DIRECTOR
MS. JASLEEN KOHLI– MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER
MR. RAVI KHETAN – CHIEF FINANCIAL OFFICER
MR. PIYUSH BOTHRA– HEAD OF INVESTOR RELATIONS
MS. DIVYA BOTHRA–MANAGER - GROUP FINANCIAL REPORTING

MODERATOR : MR. ANSUMAN DEB – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY '26 Earnings Conference Call of Go Digit General Insurance Company Limited, hoste d by ICICI Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touch screen phone. Please note that this conference is recorded.

I now hand the conference over to Mr. Ansuman Deb from ICICI Securities Limited. Thank you, and over to you, sir.

Ansuman Deb: Good evening, ladies, and gentlemen. On behalf of ICICI Securities, we welcome you all to Q1 FY '26 conference call of Go Digit General Insurance. I now hand over the call to Chairman Kamesh Goyal. Over to you, sir.

Kamesh Goyal: Thanks, Ansuman. Good evening, everyone, and I have with me our CEO, Jasleen Kohli; CFO, Ravi Khetan; Head of Investor Relations, Piyush and Divya, who is also part of Piyush ’s team. We'll just make some opening remarks and then go slide by slide.

Our profit before taxes increased from INR 101 crores to INR 161 crores this year. This year, as we had mentioned last year, this year, we expect to basically compensate for all accumulated losses. So we'll be paying tax. Our assumption is that this year, the current tax rate we are expecting will be about 13.9% for the whole year.

So our PAT has been calculated based on that. So INR 161 crores is the PBT and after a tax rate of 13.9%, the PAT would be INR 138 crores. This is the first time the PAT and PBT is different. ROE on the PAT basis is 3.4% this year compared to 3.3% in last year's same quarter. Th is obviously is not annualized.

And last year, our average net worth was about INR 3,100 crores, which this year is INR 4,100 crores. So almost 33% increase in the net worth. Tax rate of 13.9% and ROE has slightly improved to 3.4%. Our net worth compared to March '25, which was about INR 4,033 crores has also increased to INR 4,173 crores. AUM over the last 1 year have increased significantly by roughly INR 3,100 crores. So now the AUM are around INR 20,861 crores. Solvency continues to be very strong at 227%.

Now moving on to the slide. If we look at our deck, this is more like a dashboard, which we give; premium figures, market shares, portfolio mix. Number of customers have increased to now 7.1 crores. Distribution part -- our partner network has also increased. Assets under management have already spoken, and customer satisfaction score continues to be quite good.

Now moving to the next slide, which is Slide number 5 here. I think if you look at our loss ratios last year for the whole year was about 72.8%. Quarter 1 last year was 70.5%. And this year, loss ratio is 70. 3%. One major area which I think I should discuss right now is that our retention ratio this year has reduced to 65.4% compared to 76.2%.

And this obviously is making our combined ratio higher in terms of I RDAI combined ratio. Economically, it actually hasn't made any change, but because net written premium has gone down because of that, the combined ratio looks up.

Why net retention ratio has gone down this year is primarily two reasons. One is that last year, we looked at the last quarter of our book, we felt that some of the business which we had retained, we should increase the cession a bit, which the impact from that has come in the first quarter. Secondly, you will see that our growth in the Fire business has been very strong in the first quarter.

We also got leadership and very high shares in a lot of very large corporate accounts. And looking at what is happening in the market, especially, again, in the first quarter,

industry saw a
loss -- fire loss of INR 2,000 crores. Digit was not participating in that.

So looking at large positions, we felt that it is better for us to not retain this in the first quarter some of these large risks and cede it to reinsurer, so that our net retention gets diversified and gets balanced out. The second reason is that our growth in 2-wheeler business has been very strong in the first quarter.

And when you do this 1 plus 5 new 2 -wheelers, as we had also explained in February in our results -- in our Analyst Day, this obviously has a very major impact because the premium earning is only for first year, while the commission outgo is accounted for the whole 5 years. So because of that, there has also been -- the net retention has been a bit lower.

If we -- last year, we had kept our retention to about 15% last year in the Fire, Marine,

Engineering and Liability business. This year, that retention has become 9%. If we had actually kept the retention same as last year, 15%, then our combined ratio wit hout 1/n would have been 105.2, which would have been an i mprovement over last year.
As we go forward because most of the large accounts in India written in the -- on 1st of April, we actually expect our retentions in corporate business to also come definitely close to last year. And in maybe fire business, et cetera, depending upon how re tail portfolio looks at, it could be slightly higher.
So this low retention was more or less, I would say, 1 quarter impact. As I said also, it has not impacted the profitability. As you can see, profitability continues to be good. But optically, it makes your combined ratio look worse. Loss ratio, I think th ere was some discussion last quarter about loss ratios. And I'll cover the loss ratios also in a bit more detail.
When we look at overall expenses to GWP, they have increased this year from 31 -- last year was -- 30.9%. And this year, it has increased to 31.4%. This primarily is due to 2 -wheeler business because in Motor, we have grown well in the first quarter compa red to last year. So despite growing a lot more in corporate lines, our expense ratio has increased due to 2 -wheeler. We continue to write 2 -wheeler business as much as possible because the business we feel is profitable. And secondly, it also gives us a decent amount of AUM, which has stayed with the company for much longer.

Moving forward -- sorry, can we go back to this slide. ROE, et cetera, I have already covered solvency ratio, so nothing much to cover here. We can go to the next slide. I think when we look at the GWP growth, growth has been, I would say, for us about 12. 1%. And if we remove 1/n then the growth is 14.5%. As all of us know, last year, in the first half, there was no 1/n, so I think in the first 2 quarters, this difference will come from first of October, then one can look at growth rate on the same basis.
Overall, when we look at the growth rate, in own damage, our growth rate is similar to the industry. One of the main, I think, developments in the market in the first quarter has been that there has not been any new vehicle sales actually in cars especiall y, which drives own damage premium has been a bit down. In TP, we have grown better than the industry.
And in health and travel, et cetera, our growth rate has been less. This, again, is primarily driven by employer/employee segment where we -- April, we saw companies being very aggressive, but this is off and on. I would say this is more like a volatile bu siness, difficult for us to say what has happened in the coming quarter.
But one distinct trend which we saw this quarter is that companies which were -- especially private companies, you might recall, last year had said that -- private companies were actually taking market share in group health business away from public sector . I think the

companies
who did that last year, this year, they are definitely not taking the market share. In fact, they are de-growing.
So based on where the market is, our sense is that there has to -- some sense has to come in the group health business because companies whichever try to write that business for 6 months or 1 year, they don't follow that. So my sense is we would see almost all companies getting covered in this. And hopefully, some discipline will come as we go towards the second half.
As I said, property business, we have seen very strong growth. Our growth rate has been 40% compared to industry 17%. And in others, also, we have grown by 23%. And in this case, others would be marine, liability, et cetera, where also we have seen a very strong growth. So growth in the corporate line of business as we had expected continues to be strong.
We had also on 1st of April increased capacities of our treaties . Direct corporate team is also now fairly stable, and we have presence all over India. So I think corporate business, as I said, is something which is doing well. Moving on in terms of -- within the GWP, if I have to give maybe a few more highlights, industries OD/TP mix this year is 41 OD, TP is 59. Fo r Digit, it is 37 OD and 63 TP.
So broadly, there's not much difference now in the mix. We hope that private car business will actually pick up as we get into the festival season. Our mix within motor is 41% private car, 31% 2 -wheeler and commercial vehicle is 28%. So when you look at ac tually each of these segments, we would be a large player across each of the segments.
And I think as a percentage of premium, total premium in motor, I think 31% in 2 -wheeler would probably be amongst the highest or maybe the highest in the industry. We don't know figures for all. But based on where we are, we feel that, that probably will be our position.

Motor share also has increased this year in the first quarter or it is similar to the first quarter overall. So TP, we have seen increase, while OD, we have actually been more or less flat. Going further, in terms of profits and combined ratio, I think if you look at -- we already said that this year, we are paying taxes of INR 22 crores.
Overall profit has increased without 1/n combined ratio would have been 107.5% compared to last year of 105.4%, which was also without 1/n. As I already mentioned, if we would have kept the same retention as last year, our combined ratio would have been 10 5.2%. So overall -- but this has no impact on the profit. This is more optical from that perspective.
And for some of the people, I just want to remind that we had covered how this IGAAP combined ratio, which is calculated actually is not really logical. We have covered that in a bit of detail with examples on 17th of February meeting, Investor/Analyst Mee ting.
Going to the next slide, Slide number 8. I think this is assets under management. As you can see that our AUM has grown well. Leverage, which was 4.8 as of quarter 1 last year became 4.9 for the full year, '24 -'25, has increased now slightly to 5. In terms of investment income of INR 372 crores, there is a capital gain of INR 10.2 crores. Excluding that capital gain, which anyway is small, the yield is 1.8%. So I think our fixed income yield continues to be decent because we had gone with a higher duration last year. So that seems good.
Moving on, I think one difference compared to 31st March '25 when first quarter is in equity, our AUM has grown, but equity allocation from 6.4% is now only 6.3%. We haven't really increased that to keep up the pace. AT1 bonds also have reduced slightly be cause the supply of new AT1 bonds has been a bit less.
And overall, government securities percentage has also slightly reduced because we were trying to very slowly reduce the duration. Sector -wise exposure, et cet

era, has given nothing major
here. Quality of fixed income portfolio continues to be very, very s trong.
Loss ratios in own damage. If you remember, quarter 4 own damage loss ratio was, I think, if I remember correctly, about 70 .5%. The year ended at 67.8%, and quarter 1 is 69.3%. You would have seen some companies which have declared results that own damage loss ratio has gone up slightly for the industry. I think we'll wait and see whether this is happening due to low premium rates in the industry or something else.
In case of Digit, whenever we write comprehensive policies, we look at own damage and third - party together when it is stand -alone own damage policy, then obviously, we look at ROE from a stand -alone own damage perspective.
Third -party loss ratio is 66%, which is very similar to what it was last year first quarter and also similar to the whole year. In terms of absolute amount, the reserve release this quarter is actually the same as last year. So there has not been any chang e in the reserve release. So it is the same in both, and I wanted to specifically mention this because normally a question anyway comes on this.

Health, I think if you recall last year, we had continued to see improvement in our health loss ratio. And even compared to first quarter last year, health loss ratio has improved. Our proportion of retail health in our total health portfolio is less than 10%. As you know, most of our business is group. If you actually take any company and take their loss ratios for retail and for group together, you will find us in the -- maybe the best in class or in the top quartile or top 10% in terms of health loss ra tios.
So I think this is something which is encouraging. And as and when we see opportunities of pricing discipline coming in, I think it's an area which we would ideally want to grow. Fire loss ratios are similar. This year, we have seen some flood claims in th e first quarter, which normally is the summer season, flood season as now. But overall, things are fine in fire and all other lines of business.
And as I said earlier, our loss ratio in this quarter is similar to what it was last year, 70.3% this year compared to 70.5% last year. Going further, that was the last slide. I think we always cover IFRS slide. And here, I would want to make, I would say, 2, 3 comments here on the IFRS results. One is that if you noticed this time, we have actually mentioned the discount rate which we take.
In the notes, if you look at point number one, discount rates, which we take and the discount rates are basically the risk -free rate for each year on which you basically discount your liabilities. Since the interest rates have gone down this year, the discount rate used this year is 6.3%, which last year, as of March was 6.8%, whi ch basically means as you increase your reserves, as you reduce your discount rate, your reserve liabilities actually go up. So discounting impact has

become negative this year, INR 44 crores.
But if you look at it on the unrealized gains on investments because interest rates have gone down, your unrealized gains would have actually gone up. As we have always said that in IFRS results, the way we look at it is to basically look at profit before tax as per IGAAP. We add deferred acquisition cost to this because t his is like a profit which will materialize coming year. And then we divide it by 25% tax completely and then divide it by net worth. So that is how we look at IFRS results.
But on the basis of IFRS 17, the ROE and all this on a fully tax basis has increased to 4.8% for the quarter. And this, again, is non -annualized. And I think after the call, et cetera, if people feel that there's something else you would want us to know ab out IFRS results, please reach out to us and our Investor Relations department. We'll be more than happy t

o give more disclosures to
IFRS. And at this time, again, the suggestion came from one of the analysts that people don't understand what the discount rate, et cetera, is. So we decided to declare this.
We would want to be as transparent as possible for IFRS 17. So please do reach out, we'll be more than happy to give any kind of disclosure of IFRS results. And as you know, end of the year, we actually get our IFRS results also audited by the same auditor s. Every quarter, we don't get it audited. It is essentially management certified.

So that's I wanted to say the rest of the notes on triangle, etcetera, is what you saw last time. So there is really nothing new. They are only done on a once on a year basis. So with that, I think happy to answer any questions which you may have. Thank yo u for listening patiently.
Moderator: Thank you very much. The first question is from the line of Avinash Singh from Emkay Global. Please go ahead.
Avinash Singh: So my first question is on retention that you explained in detail. Yet I needed some clarification because the 65% retention, I mean, it's pretty kind of low and particularly in your context because traditionally, you have been highlighting our strategy is to retain more, I mean because you have the understanding of a risk and you have capital.
So this is going down. And even if you were to kind of consider that, okay, nearly 20% of fire is almost totally kind of ceded, yet it seems that the retention has gone down or cession has gone higher in other segments.
And on this, I mean, in the case of that higher reinsurance cover, typically, one would have expected that commission expenses to be lower. But the commission expenses are still staying higher. So if you can sort of try to explain has commissions gone high er in certain segments? Or how are you sort of accounting th e inward commission -- I mean efficient commission, so basically the higher reinsurance, its impact on commission and how are sort of accounting? And particularly, have you changed kind of a rete ntion in motor OD and TP? So this is basically question number one.
Secondly, more on sort of a strategy. I mean, of course, motor TP you have been writing profitably, but at the same time because of no price hike and all, you have been kind of also voicing that now kind of with the claim inflation continuing the kind of -- the prices are getting gradually inadequate in many lines, not all, but in many lines.
But now you have kind of an accelerated rising motor TP. And again, we have seen no price hike. And yet, I mean that your claims ratio is increasing, but not typically what I would say, a typical claim inflation would be closer to 8% - 9% kind of a thing in motor. Yet, I mean, without price hike, your claims ratio increased, at least at this point looks lower. So what sort of a strategy on motor TP that's working right now? So these are my two questions.
Kamesh Goyal: Thanks, Avinash. So first of all, there is no cession to reinsurers in motor. As I explained earlier, the commission ratio has increased essentially due to increase in 2 -wheeler business. As you know, and you can see our 17th of February, where we have sho wn how increase in 2 -wheeler business impacts your expense ratio because 5 -year premium earning or in the first quarter is very little while the expense of 5 -year commission gets expensed out.
So if you look at that 17th February '25 example, you'll be able to see what impact it has. And I have also explained that our 2 -wheeler component in overall motor business has increased to 31%. So that is on commission.
Our strategy on retention continues to be what it is, which basically is to keep increasing retention over a period of time. Now what has happened, as I explained to you that there was a

INR 2,000 crores claim of fire business in the first quarter. In '23, '24, we had also received a claim amount. Now I don't remember the exact, but in '23, '24, we had also received a claim of about INR 400 crores where we had, I think, 50% share. Our fire premium, again, going by my memory was about INR 800 crores that year. And 50% means INR 200 crores. So on claim took 25% of our gross fire premium.
So when we write a corporate business and large risk, our objective is that 1 or 2 very large losses should not lead to burning of the treaty. You have to ensure that your treaty continues to be profitable. So because of this, and as I already said that in the first quarter, the fact that we grew by 40% and the first quarter is essentially about large corporate business, we got some very good and large shares as leaders .
And otherwise in a lot of corporate accounts, and we felt that it makes sense for us to retain that business a bit less. As year passes by, the corporate business will reduce and more retail business will actually come up, which -- where we will have a higher cession.
So there has been no change in strategy. And it's the first quarter. And you may want to look at -- I mean, as you track the sector very closely. How many companies will be -- have been able to increase the fire business by 40%. This will give you an indic ation that when large corporate business happens and you grow so fast, how do you diversify your book also becomes interesting.
As for the TP, I think I have already said that our loss ratio is the same as last year. And in terms of absolute reserve release, there is actually no difference. It's exactly the same amount as first quarter last year, which we have for first quarter thi s year. So reserve release is not, which has reduced our loss ratio.
Lastly, I think everyone knows in the market, if we go back to January to March 2024, when we were actually doing the -- we just started doing the pre -IPO meetings. At that time, we had reduced the third -party market share quite a lot. Now again, last year, if you look at in the first quarter, the TP market share had actually reduced. Then over the period of time, we saw a bit increase in the TP market share.
And this year, in the first quarter, we have been able to increase the book. And all this is based on our understanding of what our underwriting guidelines is. What happens in the market, we can't control that. But what we write is based on our understandi ng. As of now, we have neither relaxed on underwriting guidelines nor made them stricter. We continue to keep looking for opportunities in the TP business. And if we don't see, we actually degrow also in the TP business.
Avinash Singh: A quick follow -up if I may. You now -- your group, I mean, had you got also the reinsurance license. So now what is going to be the kind of inward reinsurance strategy at Go Digit? Does it remain unchanged? Or will large part of -- I mean, inward reinsurance will become a sma ller portion of your business at Go Digit?
Kamesh Goyal: So Avinash, we have 3 different CEOs, 3 different companies and 3 different set of shareholders. So I would expect -- we had a Board meeting today. I think our Board expects our management team to continue to look for opportunities in inward facultative bu siness because direct

companies can only do facultative business. The reinsurance arm will have to focus on what they want to do. And our sense is that reinsurance companies focus more on the treaties.
So first of all, we don't really see any competition. And secondly, as I said, all 3 companies are independent, different shareholders and different CEOs. I would -- Board, as I said, has not asked them to say that you should not do this or you should do t his because Board also -- each Board will look at what is good for that pa

rticular company.
So just to conclude, we don't expect any change in the strategy by Digit General insurance and how they write business, whether Valueattics what do they do is up to them.
Moderator: The next question is from the line of Supratim from AMBIT Capital.
Supratim: My first question is on the combined ratio. Now I have to understand that you have indicated that we should not be looking at the IRDAI prescribed combined ratio. But even if we look at the combined ratio based on NEP, there has been a sequential increase in the combined ratio. Now I do understand that's happening because of the mix.
But if I'm looking more medium term, wanted to understand that how are you looking at reducing this from -- on an NEP basis now around 110 to maybe around 105 or lower? What is the strategy? And how should we see that play out over the next 1, 2 or 3 years ? And if you could give us some color on that, that would be helpful.
Now on the same question now recently, Allianz has formed or is in the works of forming a 50:50 JV on the reinsurance side with Jio. Wanted to understand that how does that impact some of Go Digit's reinsurance treaties or facilities that we have. And so i f you could give us some

color on that, that also will be very helpful.
Kamesh Goyal: So thanks. So maybe let me answer the Allianz Jio JV, which is happening on the reinsurance side. I think they had informed us when the news came. They have told us that from their perspective, they would want to continue the relationship. And as we discus sed in February, March -- renewal of February, March '26, renewal for next year, we will sit with them and discuss.
Having said that, our reinsurance arrangement with Allianz as a leader is for 3 years. So next year would be the third year in this arrangement. So ideally, based on the contract, neither them nor we actually can change anything. Based on what they have to ld us, our personal assessment is that reinsurance business would not really change our relationship with them in any manner.
Lastly, I would also say that I think each year, and this year, I think, for example, in Fire, we have moved from 19% to 21% in retention. Every year, we plan to increase the retention. So over a period of time, which should not be too far in the future, w e should have the highest retention in fire business and lead reinsurer would at best be cooling to us. So no impact of that as of now.
On the combined ratio, I think if you look at on the NEP basis, it has gone up slightly. And again, 2 reasons on Indian combined because if you look at IFRS, you can actually see our deferred

acquisition cost has actually increased from INR 52 crores to INR 107 crores. But in this case, in NEP, why it has increased is, one, I already said that our 2 -wheeler business has increased a lot. This obviously increases the commission outgo. Claims have not really changed. You'll see that the management expenses have actually slightly reduced.
And secondly, also, though it is only for first quarter, but a lot of corporate business is written on 1st of April. So when retention is less in the first quarter, still you see an impact of 3 months in the NEP calculation. Other than that, we have not re ally seen any real change. Lastly, to a smaller extent, our bancassurance business, which is attachment business, has also increased in proportion, which obviously also impacts cost a bit.
So overall, this is really the answer to this. As you know, we don't really talk about what the future combined ratio, et cetera, is. But again, I think you have to really see what the play on the management expenses is. Commissions, we already said and I' ll maybe repeat. If you look at line by line commission ratio, say, of motor of other companies and on 17th of February, we had also declared this compared it with one of the compa

nies.
There's actually not much difference in acquisition cost of different companies. So loss ratio and management expenses is what is more in your hands. And there, you can see our trajectory of the last 2 years, 3 years whatever you may want to say. But thank you for the question.
Supratim: Just one follow -up. So given Allianz will be the reinsurer, they would be getting the data from you. So how do you now plan to segregate that or keep that aside?
Kamesh Goyal: So I think we'll continue to send them the same data because data doesn't have any names. So nobody can identify risk as to which risk we are writing, which we are not underwriting. And as I also said, and maybe I should repeat that in our case, we decide what risk to write at what rate, et cetera. Allianz doesn't have any access to any of the data which we do.
Secondly, I'll also say this, having worked this for a long, long time, if Allianz will tell us and they'll be happy to do this in writing that reinsurance and direct data is not shared, and I know it is not shared. And if somebody signs this as a part of the contract, we would anyway have no concerns. But as of now, we don't share with them any data, which is about individual risk and things like that.
We are the only company where Allianz reinsurance is a leader. They have been with us from day 0. Our combined ratio has been very good. We probably would be amongst there. I don't have figures for others. But in Asia, we would be the top 2 or top 3 most p rofitable direct players. If I am on their side, I would actually be concerned that how do I retain Digit rather than being on the Digit side and be worried as to what they would do.
Moderator: The next question is from the line of Prayesh Jain from Motilal Oswal Financial Services.
Prayesh Jain: Yes. Sir, just one question on your -- the mix of 2 -wheeler going up. Structurally, how has been the trend with respect to loss ratio of 2 -wheeler passenger car and commercial vehicles in the last 2, 3 years? There are various parameters around quality of vehicles going up, quality of

roads going better, but on the other hand, the value of the vehicles have gone up, which would

lead to higher claim costs. So just structurally, if you can help us understand how have things changed between 3 years back to today in different categories of vehicles?
Kamesh Goyal: Sure. Your voice wasn't too clear, but I think you want to understand as to how the mix change is leading to the change in the loss ratios, et cetera. So maybe I'll say 2 - 3 things. If we look at motor and if we go back 5 - 6 years before, motor was -- and some of this, I'm now giving -- not some, I'm giving all these numbers from my memory, so it could be a bit up and down here. Motor used to be 75% of our total premium.
Last year, motor reduced to about 57%. Within motor of 75%, more than 2/3 of the business used to come from commercial vehicle. Now last year, I think we already said this, that our mix and this, again, I'm giving by memory was within motor was about 39% or 40% was private car. 29%, I think, was CV and about 29% was about 2 -wheeler. In the first quarter, as I already mentioned, 2 -wheelers is 31%, CV is about 28% and priva te car is now the largest, 41%.
And within that also, we also spoke about how industry mix is 40% OD, 60% TP. And for us, it is 37% and 63%. So there is not really much difference. Secondly, I'll say, within motor, we look at overall business. So where, as I already said in the initial remarks that when we are writing a comprehensive policy, we look at profitability of OD and TP combined. And we look at loss ratio plus commission rat io at all times from an ROE perspective.
So we don't really drive only loss ratio. We will not only drive only commission. We look at a combination of both and then look at what makes sense fro

m an ROE perspective. As for other lines of business, I think if you look at the last 6 - 7 years of our fire and other lines loss ratio, you will actually see that loss ratio is very steady.
And even if for last year, though last year has not fully matured, even if you look at last year with the premium rates, et cetera, had fallen, our loss ratios are pretty okay. Health loss ratios had gone up 23 - 24 and which reduced last year. And as I already said, if you look at our mix of retail and group, we should be amongst the best companies even on a health loss ratio.
So this is something which one has to look at on a continuous basis from an ROE steering perspective. I think predicting loss ratios in the future is like predicting the stock market. I think we don't do either. We don't predict either the loss ratios or t his. But our focus is to deliver a decent ROE to our shareholders.
And you can actually see how we can move -- our company can move from fast growth if we see opportunities on a quarter -to-quarter basis. And commercial line is a good example in the first quarter. If motor opportunity comes, in the past, you have seen us w hen nobody would write TP that we would write a lot of TP, when everyone started writing TP, we let go TP also.
So we don't have a strategy to say we will do this, we'll not do this. Our strategy is wherever we see opportunity, we'll go whole hog. If we don't see an opportunity, that is fine too. We go and find it somewhere else. And despite all these circumstances, w e are still able to grow more than the industry.

Prayesh Jain: Perfect. Sir, my second question is in the Health segment, where you alluded to the fact that the pricing semblance has to come back. But has it come back? And do you think that it would be like this year, given that EoM regulations are still yet to be met this year, the pricing pressure will continue and probably early next year, the pricing semblance might come on the group health pricing.
Kamesh Goyal: Sorry, we've not been able to hear you at all in this. What exactly -- maybe I don't know if you're speaking too close to the microphone, but your voice is echoing when we're hearing.
Prayesh Jain: Yes. So what I was asking was, sir, in the health loss -- in the health segment, you alluded in your opening remarks that the semblance has to come back in terms of group health pricing. Do you think that this is still a year away or at least this year, yo u might not see that given that EoM regulations are still yet to be made by quite a few companies and only next year, probably we will see some semblance coming to the pricing? Or how do you see the trends happening then?
Kamesh Goyal: So as I said that companies which were aggressive last year are not aggressive this year. Secondly, honestly, we don't really try to guess this because we are continuously quoting for this business. The day our conversion ratio starts going up, we know the re is some improvement in the market in terms of pricing.
Our number of quotes we are giving, the premium for which we are quoting all of that is on an increasing trend. The only trend which is reducing is conversion ratio. And as pricing increases, the conversion ratio automatically improves. And that will be a clear sign to us that the market is turning. So instead of actually thinking about when will it change and try to predict, we just keep quoting. And whenever market improves, we start seeing growth.
Prayesh Jain: Right. But we haven't seen any trends reversal in your conversions yet, right?
Kamesh Goyal: As I said, 1 or 2 accounts we have seen, but broadly, no.

Moderator: The next question is from the line of Nidhesh Jain from Investec.
Nidhesh Jain: The first question is again on retention. So you mentioned that some of the business that we retained last quarter, we should have ce

ded and we ceded that in this quarter. So can you give some more context to that? And secondly, why are we ceding the 2 -wheeler business that I think is quite granular, and we can keep that on our balance sheet?
Kamesh Goyal: Nidhesh, I thought I said that in motor, we have not done any reinsurance. So I don't know where did you hear that we have done reinsurance in 2 -wheeler business. Again, just to repeat, we have 4% cession in Motor to GIC, the rest we retain. So no change i n strategy on that at all.
On the corporate side, I also tried to explain that when you get -- and I'll take now, say, specific example, obviously, no names. So this year, we have written, say, a lot of power plants, some as a leader also. Now in power plants, fire risk, if it's a t hermal plant, et cetera, fire risk could be a bit less, but you could have alw ays machinery breakdown claims.

Now we have seen a lot of this machinery or turbines are manufactured by one manufacturer in India from or they're imported from one particular country. Any delay in spare parts, things like that can significantly increase your loss. So as I explained that in case of Digit also, we saw INR 400 crores roughly claim in '23 - '24, our retention was 50%, it was INR 200 crores claim. One claim, which was equivalent to 2 5% of the yearly fire business.
Now when you look at diversification, you also have to see it from a reinsurer's and treaty perspective that 1 or 2 large claims don't burn you. The slowly and steadily more experience you get, more you try and diversify the book. Now I also said this year when the fire growth for us is strong, we also have got larger shares in some of the risk. And we decided that in the -- due to the risk diversification, it will be better if we retain less.
I also said that, Nidhesh, that as we go forward, our expectation is that our retentions will increase. We would expect us to definitely come back to last year's retention because overall, our retentions have increased by 2%. And if retail business proport ion increases, then the retentions will further go up. So this is just 1 quarter, which it is happening.
Now what exactly we cede and what our philosophy is, as I said, it's just based on diversification and not taking a concentrated bet on a risk to maximize your reinsurance commission because as everyone knows, that our treaties are fairly large in terms of capacities, they are fairly flexible in terms of underwriting guidelines, et cetera.
So we, from day 0, our philosophy has been to try and preserve this flexibility and the size of our treaty capacity, which, as I said, again, we increased this year. I don't think any -- amongst the large players, anyone would have increased and not to go for maximum reinsurance commission. That is not part of our strategy.
Nidhesh Jain: Sure. Understood. Second question is on EoM limit. So with the rising share of 2 -wheeler and strong growth in 2 -wheeler business, how should we see the EoM limit, which I think we have to comply by the end of this year?
Kamesh Goyal: So on the EoM, I had tried to cover this in my first call, and I'll repeat some of the things I said.
First of all, I think the intention of IRDAI is to reduce the cost of insurance, which overall cost of insurance for customer is very, very good. The idea , their objective of bringing EoM guidelines was to reduce these expenses. What we have seen in the last 2 years is that overall expenses have actually gone up instead of going down.
The challenge is essentially in each line of business because even if you look at larger companies last year, almost all of them would have seen a decent increase in their expenses of management, and you should look at top 4 companies to see that they also saw increase in their overall EoM.
Digit probably would be one of those exceptions where the overal

l EoM went down. The challenge is that present EoM is on overall business. If it becomes for each line of business, then the impact of guidelines will be t here.
As far as Digit is concerned, in the glide path, I think we had given the full glide path, Nidhesh, in the first quarter or first year and second year. We also know that in the last year from post

October, the calculation for GWP was also changed. Now we'll again brief you on how we are going on the EoM on that basis. And on management expenses, we are the industry best.
So it's not that we are spending money on ourselves. Commissions are driven more by the

market. And as I said, IRDAI, my assessment is IRDAI will not let the present guidelines to be in this sh ape, which have increased the overall EoM. My sense is 2 years have happened, they will see what is happening, and they'll take corrective steps to achieve the objective of reducing this.

Purely, purely in D igit, we had said this also in umpteen times. Management tells the Board that they don't write any business purely from an EoM perspective if it is loss -making. If it is profitable, they definitely write that business and whatever the market commission is they pay that.

So EoM as of now, from a business sharing perspective, it's not in this shape. Management team is definitely under, I would say, strong guidance of the Board that the management expenses, which is in their hands should not increase. So that is something wh ich has to keep reducing. Where, I think, as I said, our management team has demonstrated in the year 5 or year 6 when the EoM guidelines came and the management expenses and acquisition costs have become separate that our company has the best -in-class management expenses and EoM i ncludes the both.

Moderator: The next question is from the line of Dipanjan Ghosh from Citigroup.

Dipanjan Ghosh: Just a few questions. One, on the retail side of the businesses, if you kind of go line by line across products or channels and then look at the gross commission ratio on a more sub -segmental or sub-channel basis, how are each of these channels or product segments behaving in a more granular fashion? And are you seeing improvements in the overall commission ratio numbers across the industry in any specific product or distribution cohort out there?

Second, on the group health side of the business, two questions; one, if you can give some color on the piece of business between larger corporates and smaller corporates, where it's the competitive intensity still elevated? And you mentioned on the benefit -based business is doing well, if you can just quantify the growth numbers? Those were all.

Kamesh Goyal: Sorry, growth number for what, Dipanjan?

Dipanjan Ghosh: For the bank based -- I mean, the defined benefit business on the bank channels.

Kamesh Goyal: Sorry, your voice is not clear, Dipanjan.

Dipanjan Ghosh: Kamesh, sir, I basically was trying to understand the growth in the non -employer -employee group health business?

Kamesh Goyal: Sure. Sure. So non -employer -employees roughly about 20% of our group business. And there, the growth rate is, I would say, significantly more than the employer -employee, which is actually de-growing. Secondly, on the small corporate and large corporate, we are growing on bot h,

Dipanjan. But retail business is a lot more fragmented. It comes every month. We had started seeing decent increase in conversion ratio in retail already from January. But this increase will happen over a period of 1 year.

So as the pricing came within our range or risk appetite, we started seeing significantly higher increase in case of retail property business or retail corporate business. Larger corporate obviously is more driven around first quarter. As for commi

ssions, et cetera, I think at a broad level because each -- even within the motor or retail lines, 2 -wheeler, commercial vehicle, within commercial vehicle, goods carrying, auto rickshas, all of that have very different dynamics.

What we can say is that commissions are quite high in motor business when it comes to, say, auto rickshas or it comes to school bus or it comes to, I would even say, goods -carrying vehicles up to 2.5 tons. But commissions on comprehensive high tonnage vehi cles. So if you go above 40 tons, comprehensive cover for goods -carrying above 40 tons. We have seen a bit of a pullback in that. But you could also have some geography -related issues there. But Dipanjan, all this has been happening for some years already , and this is what the way forward is.

So when we think about the business, whether it is motor or retail non -motor also, especially commerci al lines, fire, engineering, et cetera, we obviously try and steer it based on what our preferred risks are and for each risk, what the expected loss ratio is. And if you add loss ratio plus commission where you are likely to lead. Now we have seen some increase in some cases, where I th ink things have started coming within our band, and we are seeing growth.

And while at the same time, in TP would have degrown in 1 or 2 segments also, where market maybe became a bit more aggressive compared to where we are. So this is something which will keep happening. But again, going back by my sense is for 3 years, there has not been a meaningful increase or no increase at all in third -party business.

So companies which had become aggressive in TP business, at this stage in '21, end of '22 - '23, my sense is sooner rather than later, as their losses start developing, I would expect in the next 12 to 18 months, some semblance of this has to come. Last year, I think a couple of companies have seen reserve strengthening in TP.

And as we go forward, I believe this year, one company has done it in the first quarter. So as we see some of these trends emerging, my sense is people will start realizing and taking corrective action on the TP business also. Exactly when? I have no idea.
Dipanjan Ghosh: Sure. Sir, if I can squeeze in one small follow -up. The reason I ask sub -segmental and sub - channel is when the public projects will be out in some time, is it fair to assume that on a Y -o- Y basis, your gross commission numbers or margin is looking down?
Kamesh Goyal: Gross commission numbers are down.
Dipanjan Ghosh: Flattish to down?
Kamesh Goyal: Not really able to -- I think maybe you might have to speak a bit away from the mic or remove you from the speaker phone, Dipanjan.

Dipanjan Ghosh: No, sir. Sir, I was asking that on a Y -o-Y basis, if I compare 1Q to 1Q. Is it fair to assume that your gross commission ratio is flattish to down?
Kamesh Goyal: No, I think you should again see it on each line of business. The results will be up soon. My sense is that in motor, and again, I'm not seeing it line by line, it's not right now with me. In motor, it might have increased because of 2 -wheeler mix. And Dip anjan, you might again remember, this was discussed on 17th of February, the 2 -wheeler typically has the highest commission ratio than CV and th en private car. So as this mix changes, that will also change. But this again has to be seen in li ne with the loss ratio.
In our commercial business, though the premium rates have increased compared to last year in fire, engineering, et cetera, overall, I would say the commissions wouldn't have increased much. 1% here and there could happen, but we have not really seen increa se in commission because reinsurance commissions, et cetera, for the industry have been more or less flat. Maybe we can take one last question, Ansuman. If somebody else has a question.
Moderator: The next

question is from the line of Divij Punjabi from Banyan Tree Advisors.
Divij Punjabi: I just had two questions. One was on the side of investment philosophy that we have in the equity investments. So just wanted to understand how we think about equity investments as this has increased as a percentage of the overall investment book? And seco nd is, I think in the last few quarters, we had mentioned that in the commercial lines of -- other commercial lines of business, we are experimenting in certain new lines. So just wanted to understand the strategy over there medium to long term. And if you can just comment on what is driving growth over there?
Kamesh Goyal: Thanks, Dinesh. So in investment equity, we feel that taking equity to 10% of the asset allocation is definitely desirable . And if you would see from December 31, 2024, our equity allocation, if I remember often, was about three point four - three point five percent . This increased to 6.4% as of 31st March. After 31st March in this quarter, our overall assets have -- AUM has increased, but the asset allocation has remained more or less stable, so 6.4% and 6.3%.
But 10% is something which we definitely want to do. I had also suggested that why -- what is the pros and cons one will have to look at when you go beyond 10%. And the idea is if you prepare for a stock market, if it drops by 20% - 25%, the losses will pass through your solvency. So if you go above 10%, then you should be prepared to have -- hold a lot more capital to maintain that volatility.
And beyond 10% - 11%, one will have to look at what the play will be on excess capital, which you will hold and how this will impact your ROE. Lastly, I think as philosophy on equity is that equity is cherry on the cake. It is not the cake for us because we are not -- nobody is giving us money or capital to run an alpha sort of a scheme. What we are trying to do is run an insurance company.
If equity and debt have a difference of 5% over 5 or 10 years in terms of yield, and we are at 10% in terms of our asset allocation, it can give us 0.5% additional yield. That is how we look at equity till 10%. Once we reach that number, then obviously, as I said, we'll revisit as to what

the capital requirement is and what our expectation is. But as of now, that is how we want to see our investment philosophy.
On the commercial lines, I think right now, we are writing fire, engineering. Engineering is essentially projects where we are seeing good traction in power projects a bit on the roads, but not much beyond. The third is marine, where I said this book is no t really gro wing much. Fourth is liability.
Liability is something which we are growing well in terms of D&O, cyber, public liability has

become compulsory. There were some changes in the Public Liability Act, a bit on the surety bonds. So this is something which we are already doing on this. So our focus is to really drive this commercial line.

We'll take -- thanks, Dinesh . We'll take last question. I think Sanketh has messaged that he has a question. So we'll take from him as the last question. And please be in touch with our Investor Relations team. We'll be happy to answer any questions that you may have on the results.

Sanketh, you may want to go ahead.

Moderator: The last question is from the line of Sanketh Godha form Avendus Spark.

Sanketh Godha: Kamesh, your absolute opex , if I see outside commissions, it has declined by 10 percentage year -on-year. I just wanted to check whether there is still juice left over to optimize on the non -commission opex for you because there is a huge divergence, 12% growth and 9%, 10% decline in the opex . So just wanted to understand how much juice is left over and what impact it sho uld have on improvement in the overall going ahead? So that's one thing.

And the second question I h

ad is on the reinsurance accepted number. See it grew by 47 percentage to INR 475 crores. Just wanted to understand the color in which of these segments have grown, whether it is the same or higher? Or there are other opportunities which led to this growth? And given in second half, last year, you did a lot of help in reinsurance ac ceptance, whether it can -- and also to some extent whether those numbers can be repeatable for the full year onward? Those are two my questions.

Kamesh Goyal: Thanks, Sanketh. On the management expenses, if you look at when the growth is coming due to price hike, so basically, in commercial, if you see in fire business, and I'm just giving a number. This is -- the premium rates would have gone up by between 15% to 20%, for example. So your management expenses have actually not increased, but the price increase has happened, this obviously will reduce the management expenses. And if the same thing happens in motor, the same thing will get repeated in motor also. So whenever the price hike happened, good companies should see reduction in the management expenses.

Secondly, and I think I'm looking at a CEO also saying this, I think, management expenses are a bit high. So they should reduce it further. But on the other point which was relating to reinsurance accepted, et cetera. What happened is when the premium rate s go up, so suppose last year, there was a risk with a premium rate of INR 100, now we were accepting 10% of that, say, which becomes INR 10.

Now our capacities have gone up this year. The risk is good and the premium rate now has become instead of INR 100, say, INR 125 or INR 120. And we have actually taken instead of 10%, 12%. So the premium has actually increased by 40% in that risk because of the increase in premium rate and increase in capacity. So that typically will play out more on the property side in this.

But as we go through our results in detail and go line wise, et cetera, we can -- we'll be happy to have a discussion around that. Fundamentally, there has not been any change either in our reinsurance acceptance or in our reinsurance cession at all. I wou ld just request everyone to just keep in mind when you grow so fast, especially in 1 quarter, which is coming from large corporate business.

And you know that getting entry into large corporates becoming leaders is not easy. In fact, some of you in our discussion have said that you feel how a new company can go and become leaders in that. So all this actually is showing that we are really getti ng into this.

My personal -- and this is no guidance, my personal wish is that this year, we should be a top 10 insurer even in fire. There's no reason for us not to be in the top 10 in gross written premium, high time, I think, for us to get in there and I think Jaslee n is listening to this.

Sanketh Godha: Sure, that answers my question. Thank you very much.

Kamesh Goyal: Thanks, everyone, for joining the call. I appreciate your time and patience, and look forward to continuously staying in touch. Anything else you want us to do on the IFRS results, I don't want to take a name, but somebody -- one of the people had -- analy sts had said that we should share more information.

Anything you feel we should be doing, you can rest assure that we'll include it in our second quarter itself. Transparency is our core value, whatever we can talk -- give transparency in our results, we'll be more than happy to do that. Thanks again for jo ining us. Good night.

Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Nov 2025

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1579, Shivajinagar Pune - 41100 5 Maharashtra | CIN: L66010PN2016PLC167410 | IRDAI Reg. No : 158

Website www.godigit.com Email Id: hello@godigit.com Toll free 1800 -258-5956

Date: 3rd November 2025

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Mumbai – 400 001
BSE Scrip Code: 544179 To,
National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G Bandra Kurla Complex,
Bandra (East), Mumbai – 400 051
NSE Symbol: GODIGIT
Subject: Transcript of earnings call of the Company for the quarter ended 30th September 2025
Dear Sir/Madam,
Pursuant to Regulation 30 and Para A of Part A of Schedule III and Regulation 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith transcript of the earnings conference call held on Tuesday , 28th October 2025 on performance review of the Company for the quarter ended 30th September 2025 .
The above information is being made available on the Company's website at www.godigit.com .
We request you to k indly take the above intimation on record.
Thanking you ,
Yours sincerely ,
For Go Digit General Insurance Limited

Tejas Saraf
Company Secretary & Compliance Officer

"Go Digit General Insurance Limited
Q2 FY '26 Earnings Conference Call"
October 28, 202 5

MANAGEMENT : MR. KAMESH GOYAL – CHAIRMAN – GO DIGIT GENERAL INSURANCE LIMITED

MODERATOR : MR. ANSUMAN DEB – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to the Go Digit Q2 FY '26 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ansuman Deb from ICICI Securities. Thank you, and over to you, sir.
Ansuman Deb: Thanks, Sagar. Good evening, ladies and gentlemen. It's a privilege to host the senior management team of Go Digit General Insurance. I now hand over the call to Chairman, Mr. Kamesh Goyal . Over to you, sir.
Kamesh Goyal: Thanks, Ansuman, and good evening, everyone, for joining our conference call for the Q2 results. As always, we'll try and quickly go through the presentation, and then we'll spend time on the question and answers.
I'm now on Slide 1. The premium in H1 has been INR 5,649 crores , market shares in overall is 3.4%. Motor is 6.5%. Product portfolio continues to be good. Now we have added couple of products in this quarter. Total customers are INR 7.6 crores since inception. AUM have now increased to INR 21,345 crores . And customer satisfaction score continues to be good. We'll speak about the figures relating to financial performance in a bit more detail.
Moving to the next slide. In quarter 2, we have done a premium of INR 2,667 crores . And as you can see this, with the asterisk at the bottom, this is on a 1/n basis. If we do it without 1/n, last year quarter 2 was without 1/n, then this number would be INR 2,739 crores compared to INR 2,369 crores of last year.
Our premium retention ratio is 79.1%. Loss ratio this quarter of 73%. Combined ratio this quarter is 111.4%. If we compare it to last year, and we do it without 1/n, which is applicable in this quarter, quarter 2 '25, this was without 1/n. And the combined ratio has improved to 109.9% compared to 112.2% of same quarter last year.
Profit before tax has increased to INR 136 crores compared to INR 89 crores . While profit after tax this year is INR 117 crores . Last year, you might recall, we did not pay any tax. So PBT and PAT was the same. This INR 117 crores is at a tax rate of 14%, which we expect to be for the entire year. And next year onwards, we'll move to the full tax rate of 25%. This tax rate is also mentioned in the slide below.
The average ROE on the IGAAP net worth is 2.8% non -annualized. The net worth has increased to INR 4,290 crores compared to INR 3,805 crores of last year. Solvency ratio is 2.26, which has increased from 2.18 of same quarter last year.
This year, if you look at the below comments, we are making one new disclosure this year. As you know, we always disclose IFRS results audited based on suggestions coming in from some of you. We are also seeing that this year, as of 30th September, we had deferred acquisition cost post tax of INR 1,708 crores .

What this basically means is that this profit should -- this deferred acquisition cost, which has already been incurred in IGAAP and which is there in IFRS will benefit the profit going forward. We expect INR 710 crores out of INR 1,708 crores would actually unwind in H2 by way of benefiting the IGAAP results. Obviously, in IFRS, this would not really make a change.
Now some other points relating to growth, etcetera, which we can cover in the next slide. So, when we look at the growth rate. This year, our growth rate without 1/n is 15.6%. The industry grew by 10% on a without 1/n basis, and our growth rate is 12.6% on a 1/n basis overall. When we look

at Motor OD, TP, and I'm now looking at towards the right -hand side GWP growth for Q2 '26 and comparing it with the industry, which is the last column in the below table, you'd actually see that we have grown in every single line of business: OD, 12.6% against 5.6% of the industry; TP, 8.6% against industry 7.4%; Health, Travel & PA, 36 .6% against industry's 9%; fire is, as you know, we have been focusing on commercial lines, this has grown at 60.8% against industry's 27.6%.
Others is only an area where we have degrown at minus 19% compared to industry's degrowth of minus 5%. So gross written premium from that perspective, the growth and market share continues to be good.
Now when we look at overall, in terms of the premium, which we have not accounted for in our books due to 1/n is INR 136 crores . And however, all acquisition cost has already been provided for. So I think you would recall that since last year itself from October to December '24 quarter, we have been deferring the premium. But all acquisition costs are provided in every quarter results. So there's really nothing which has not been provided for. The impact of this on H1 COR, would be say about 0.2% in the acquisition cost.
When we are looking at in terms of various growth items , private car business, we continue to do well. And when we look at our OD versus TP bifurcation for the industry and for us, last year, this number was 37% OD for us and 63% TP. Industry was, 41% OD and 59% TP. This year, we have moved to 38% OD and 62% TP, so 1% reduction in TP, 1% increase in OD. While industry continues to be 41% and 59%.

Just to remind that first -- second quarter was, from a private car perspective, the sales were not that great. And sales only picked up from 22nd September '25 onwards when the GST was reduced and the Navaratri period started.
I may add here that our market share in Motor OD is now 6.2%, and this is the highest we have had for any quarter since the start of the company, roughly about 8 years back. In case of new cars from September 22nd to, say, 24th of October, our premium and new car sales, we actually have a growth of about 24%. So private car segment and 2 -wheeler continues to do well.
Another data point which I think motor I would want to share with you is that our mix of private car, 2 -wheeler and CV in this quarter is 45% in private car, 30% in 2 -wheeler and commercial vehicle is 25%. 2 -wheeler business, most of it comes from the new 2-wheelers.

And as everyone knows, in case of new 2 -wheeler business, while commission for 5 years is provided upfront, the premium earned is over a period of 5 years. So OD premium you want, you put in the net premium in the first year itself, you earned it in the fi rst year. But TP premium of the future years goes towards earning in the future.
So when we look at this mix in our knowledge out of motor business of this scale or similar to the scale which we have, no insurance company has a mix of 30% in 2 -wheeler business. Now on one side, it gives you the AUM from an investment income perspective . But because the fact that you earn much lower premium in the first year but you provide for the commission for 5 years upfront, this obviously has a very major impact on the P&L.
When we look at this quarter 2 compared to last year, we have done INR 117 crores of more 2 -wheeler business. So last year, we did INR 334 crores in Q2 on 2 -wheelers and this year, we have done -- this is new 2 -wheeler business only I'm talking about, this year, we have done INR 451 crores . This additional INR 117 crores has impacted our P&L to an extent of INR 53 crores of loss.
Because the growth is so strong, proportion of 2 -wheeler is really strong. This has impacted our quarterly combined ratio by 2%. So, the impact of 2 -wheeler business and high growth is somet

hing which is really, really substantial. And we obviously have a fairly high market share on an all -India basis in case of 2 -wheeler.
Other business, I would -- if there are any questions, I would actually cover in more details. Fire, commercial lines like marine, engineering and liability, all of them put together, we have grown by about 53%. Fire, I've already explained, we grew by abo ut 60%, more than 2x the industry, leading to an overall growth rate of about 12.6% after 1/n.
Now moving forward in terms of the motor mix as such. As we know that new vehicle sales in H1 at least till 22nd September '25 was not that great compared to previous year, which also was not that great for new vehicle sales. Our mix, as I said, is 45% for private car, 3 0% 2-wheeler and 25% for CV in Q2 .
As per our analysis, every increase of 1% of private car mix from 2 -wheelers will reduce the company's COR by 0.1 %. So, we're just trying to give this color to basically say product mix plays a very, very important role in the Indian P&L.
Obviously, things change substantially when you move to IFRS, where 2 -wheeler business would actually -- because the commission which we are paying upfront will get deferred over the policy period. So this is something we just wanted to bring this across b ecause, as I said, we are seeing very high growth in the 2 -wheeler business, which obviously under Indian accounting puts pressure on the profitability.
Now moving to the next slide in terms of combined ratio. I've already covered that if we compare like-to-like, our combined ratio last year was 112.2%. This year, without 1/n, it will be 109.9%. With 1/n, it will be 111.4%. Good news is from October '25 on wards, everything will be on 1/n basis.

So we don't really have a look at two, three numbers separately. Claims ratio here is 73% and overall expense ratio has reduced to 38.4%. Profit before tax in quarter is INR 136 crores , out of which INR 19 crores is for the tax and INR 117 crores is the profit after tax.
Going further, I'll cover loss ratios in a bit more detail, as always, in the next slide. I think when we look at investments, the AUM growth continues to be good. Our leverage has slightly increased from 4.9 to 5.0.
And I think if you look at also our overall capital gains in Q2, our capital gains on debt have

only been INR1.4 crores , which basically means our yield on the debt fixed income portfolio for the quarter is about 1.9%. So the yield continues to be good here on the fixed income.
When we look at -- and this also is a disclosure I think we are making for the first time, it was on the first slide but I thought I'll cover it here. As of September 30, we have an unrealized gain of INR 677 crores , out of which equity is INR 326 crores , including AIF and AT1 bonds and other -- sorry, on the fixed -- other than equity portfolio is INR 351 crores .
Moving to the next slide in terms of asset allocation. You can actually see that our asset location has increased to 7.3% include equity. AT1 bonds is 10.6, and all others continue to be -- fixed income continues to be a very strong portfolio in terms of r ating and sovereign bonds.
So I think the point I just want to highlight because this is something which we have continuously not discussed in various calls, last year, as of September '24, so last year's period, we actually had an equity of about 2.4%. This increased to 6.4% as of 31st March '25, which has further increased to 7.3% as of September '25 and is also mentioned that we have been, in hindsight, lucky that we have been able to increase the equity location, along with increasing the AUM. And we still have a decent amount of unrealized equity gains. So that really is the news on the asset allocation. And in terms of AT1 bonds, etcetera, there is very little movement compared to the

previous year.
Now moving to the loss ratios. Here, I think if you look at in OD loss ratio in quarter 2 is 71.3%. If you look at quarter 4 loss ratio in Motor OD was 70.5%. In quarter 2 of '25 -'26, loss ratio is 71.3, which has impact of roughly about INR 30 crores due to various floods. On YTD basis, our loss ratio this year continues to be in OD to be 70.3%. Loss ratio of TP is more or less at par with last year, no real change.
In terms of TP release compared to last year in both H1 last year and H1 of this year, the increase in TP release would be less than 3% or 4% typically, so loss ratios -- the results are driven by a normalized sort of a TP release as well as normal investm ent income without any major contribution of the capital gain. And this, as you know, is something we keep looking at.
When we look at health business, here the loss ratios increased compared to the previous quarter of Q2. On a yearly basis, if we look at FY '25 was at 83.8% and H1 '26 is 83.9%. In this quarter, we wrote some government health business, which last year was in Q3. And this business, obviously, the loss ratio is 90% to 95%.

If we have not written this business this quarter, then the health loss ratio for quarter 2 would have been 82.5%. And as you know, we have -- most of our health business comes from group business, including large portion coming in from employer -employee. So if you look at our overall health loss ratio, with this mix, I would say, I think we are doing fairly okay here.
The fire loss ratio is slightly more than last year. But the fire earned premium in this quarter is about INR 30 crores , and this also includes some three large losses which have come. But the overall loss ratio, I would say, continues to be good.
Engineering also, we had one large flood claim, which loss ratio has increased. But Engineering business, the earning of premium is only for the installments we have received. The future premium will continue to come. And that obviously is not included her e. But that really is on the loss ratio side.
Now moving to IFRS Earning. Now here, as we have discussed a bit in the past, we essentially look at IGAAP results, which is given at the top. Then we basically look at deferred acquisition cost, which is number four , which is INR 204 crores . If we combine the two, it comes to INR500 crores .
And if we provide for a full tax of 25% on this, then in H1 the profit on this basis would have been INR 375 crores without obviously looking at just discounting impact of investment gains. Investment, obviously due to spike in yields, the investment mark -to-market and fixed income has -- number is much lower. And this number, as on date if we look at, would have alrea dy gone up.
But as I said, we always look at IGAAP profit plus deferred acquisition provided with full tax, which is coming, as we said, to about INR 375 crores . And that is how we look at this. And as we also said earlier, our total number on deferred acquisition cost is INR 1,708 crores as on date. This -- obviously number will keep changing as we write new business and, out of which, INR 710 crores will get earned in H2 in terms of profit.
So, I'm just quickly seeing if there's any point I have missed. Otherwise, I think we are good to go now. I'm happy to take any questions now.
Moderator: Our first question comes from the line of Sanketh Godha from Avendus Spark.
Sanketh Godha: So, my question is on Motor OD. Given 70% loss ratio, in general, is higher compared to what we have historically reported. Now with GST thing and new sales improving, IDV is coming

down, naturally loss ratios will deteriorate. So just wanted to understand, t his 70 percentage what you reported and if you chase new vehicle sales, how much this loss ratio further can increase because of IDV value and premium realizatio

n coming down?

And the second thing -- and related to that, can you tell me whether it will be ROE accretive still because of the advanced premium or the float that you will get? That's one -- first question OD part.

And second question is on TP. Is that -- how much exposure you have in the TP, the 25% of the business, to CVTP segment, where the GST cut has been from 12 to 5 and you have full input credit benefit? So how do you see this to play out incrementally for yo u? So that's the second question.

And lastly, lastly, on the reinsurance accepted number, which seems to be INR 288 crores , declined year -on-year. Any major segment like crop or government health or something which led to -- or your fire getting recognized more in direct, not in reinsurance accepted led to that decline? And how do we see this number playing out?

Kamesh Goyal: Thanks, Sanketh. So, I think on the OD side, the impact is more on the new vehicles because the pricing, at least in digit, we do is more related to the bond cost and not directly related to IDV because we translate this to IDV. Obviously, since the festival season was starti ng, the pricing changes have not been done by anyone in the industry.

I think we will revisit this now in November to see that how much the increase in volume has been and can that offset for the loss of the premium due to lower IDV. And that is something we visit. One thing I may want to add, Sanketh, is that our mix is in private car changing substantially because we now have a fairly robust renewal book.

So the renewal contribution will keep on increasing as we go forward. And that is why when I mentioned that our OD market share is highest in Q2 is 6.2, this is really driven more by renewals than anything else. Otherwise, as you know, July, August until 2 2nd September, they were not really great months from a new business perspective.

I think on TP in the commercial vehicle, because we are getting anyway the full input credit, the OD component in TP, as you know, and CV is very, very low. I think it would be less than 13%. Most of the premium is actually TP. So we don't really see any m ajor impact coming in from the drop in the GST.

And we also need to keep in mind that the TP the CV business is more renewals and a lower business rather than new vehicles where, again, the pricing is done more on a bond cost basis rather than linking directly to the CV to the IDV. And then older vehicl es, the OD premium would be in single digit, depending upon what kind of a vehicle.

Now in reinsurance, I think we have always said that this business is done on a facultative basis, which basically means that we have to see every single risk and then actually see whether the pricing makes sense or not. It is very difficult for us to, I w ould say, anticipate what this number will be going forward.

But all I can assure you is that this business will always be written like the way we write direct business on a case -to-case basis and we don't drive this business from a target perspective. So this number has reduced as we grow more on the direct side, e specially on the retail commercial as the distribution has now become fairly good. And we expect it to improve further.

I think the component of retail in commercial lines will actually increase, which automatically means that direct side of the business will keep increasing. Have I answered, Sanketh, all your three questions?

Sanketh Godha: Yes. It's understood. And la1stly, if I can squeeze one. See, the opex trajectory seems to be -- I mean, the absolute cost seems to be coming down year -on-year for every quarter. At least I see that benefited your numbers even in the current quarter.

So I just wanted to understand that INR 207 crores of opex , what you

reported, I mean, is this

trajectory of declining the opex will continue? And if that is the case, then what is the likelihood of the combined we can see for the full year? Or do you have any target in your mind to deliver in the current year?

Kamesh Goyal: So Sanketh, as you know, we don't give any forward guidance. But what I can definitely say is that as I would say, as we are growing, we obviously continue to invest heavily on the tech piece, and the benefit of that then translates into lower expenses bec ause of higher productivity. So I think the same philosophy will continue.

We obviously would want to launch more and more product lines or channels wherever we see opportunity. But based on where we are, all I can say is we don't see any increase or any major change in H2 on the management expense side. So what will it be next y ear, etcetera, I think you are more intelligent than we are building this into the model, so I'll leave that to you.

Moderator: Our next question comes from the line of Hrishikesh Thakker from ValueQuest Investment Advisors.

Anirudh : This is Anirudh from ValueQuest. A couple of things. Congratulations on a good set of numbers. But on a growth outlook going ahead, so with the pickup in new sales that we've seen for the past month or so and with the reports of health insurance growth als o increasing, do you see that going ahead, growth for investing materially improving and, thereby, our growth materially improving in the times to come?

Kamesh Goyal: So Anirudh, I would say that I think the macro indicators are, if we look at definitely on the motor side and hopefully on the SME side that also to credit loans, etcetera that the growth in H2 should be better than H1. That is a macro sense, we have to sa y. And I'm sure you guys also track this much more closely than we do.

So I also feel -- we also feel that under the North Motor Vehicle Act, MoRTH has actually suggested that the TP hike, NIM rate hike actually go back to where it is -- if that happens, that obviously also will be a good news because, as we know, ID has indicated in the recent past -- some increase in the TP rates, which we haven't really seen. So based on macro economy, what is happening on Motor TP, etcetera, I think we definitely expect to be better in terms of growth for the industry compared to what it has been, say, in H1.

Anirudh : Right. And what would that mean for competitive intensity going ahead, right? Because intensity seems to have been fairly high even from the PSU front and all over the last few months. But if

overall industry growth improve, does that mean that there should be some ebbing of intensity and thereby benefiting players like us?

Kamesh Goyal: So Anirudh, the way we see it is that we have been seeing this market competition intensity in the last 4, 5 years, 4 years now already post COVID. And I think if you look at our actual performance, we normally have grown faster than the industry and overa ll profitability, whether you look at in terms of ROE, you look at in terms of loss ratios.

We already covered operational expenses, etcetera. Commissions are obviously driven more from the market side. We are okay at this stage. We don't really worry too much about what is happening because some things are not in your hands, but how you react to it is in your hands. And you don't have to really listen to what I'm saying, you just see what our management has really delivered in the last 4 years, especially without any hike in TP rates, lower new vehicle sales, car sales especially in the last 2 years, intense pricing c ompetition in the prior last year, in the first 9 months.

And so I think all of that will continue to happen, and we have to do, what we have to do. But if you ask my personal opinion, I would say the ROE of the industry has been deteriorating in our

17th February investor meet, and the deck was also uploaded, we had actually shown that a lot of players in the industry have been depending upon massive TP increase, TP reserve release and also massive capital gains which they were realizing, which is helping them on the profit side.

If you look at our case, I think last year, there was obviously not much capital gains. Motor release this year is just, as I said, in H1, 2%, 3% than last year. So we will continue to drive growth wherever we see an opportunity and also look at core profi tability, which is not driven by either of the two things.

And I would say one of the example is that if you look at our motor overall business in, say, quarter 2 is 55% of the gross premium. If you go back 4 years, motor used to be 75%. Out of 75%, commercial retail is 50% of the overall premium. Now commercial v ehicle is 25% of motor of 55%.

So if you see it from that perspective, from 45% of gross written premium, CV has actually now fallen close to about 17% to 18% in gross written premium. So, the way we can move from one product line to another, I think it's something which you can actually see.

Second point I would say, in fire and commercial lines, marine liability and fire, as I said, we are growing by more than 50%. So that number also is looking good. And in health, despite having 70% of the premium coming in from employer -employee, if we exc lude the government health business in Q2, loss ratio would have been 82.5% %.

Put this mix I just said, and any insurance company will actually say -- the loss ratio will be much more than what it is for us. So, we will continue to drive ourselves in this direction, not really worry too much. But hope is that based on what I just explained, looking at where the profits are coming. My sense is that pricing has to improve as we go forward.

Anirudh : And last question was on the INR700 crores of deferred acquisition cost benefit that you mentioned in H2. What would the comparable number be for last year H2?

Kamesh Goyal: We didn't really declare this last year. I think we only declared this other than now. So I don't have this number and we will -- going forward, no, we declare this. But maybe you may want to connect to our investor team offline to see what this number is.

But going forward, we obviously will be declaring this every quarter. And as we said, this has come from suggestion from some of you and also, we felt that this is a very good bridge to IFRS results in terms of what the profitability is.

Moderator: Our next question comes from the line of Divij Punjabi from Banyan Tree Advisors.

Divij Punjabi : My first question was on Motor OD in the two -wheeler segment. Like you mentioned, we have been doing well over there and market share has been increasing. It's like 30% of order book. So can you talk about the levers that have led to this, like in terms of the product or pricing distribution or whatever else it may be?

Kamesh Goyal: So I would say, I think, one obviously is that on the distribution side, things have been expanding. We are continuously expanding. I think on the OEM side and private cars, some of our partners have moved to direct price fetching. Some of them have not. W herever I think direct price fetching has taken place, we have seen improvement in our market share there.

Two-wheeler business, I think because we have been very consistently building this over a longer period, I think we keep on adding more and more partners. More importantly, as I said earlier, and I just want to repeat it, private car portfolio really is driven through renewals. And last year, if you recall, October and November, so Dussehra was in October, Navratras, Diwali was in November.

There was very massive sales in these 2 months. We have a very strong base coming in from there. So renewals ar

e continuously now increasing in importance for us. So that also helps us to improve and increase our market share. Our agency and retail busines s also in motor is doing quite well, and that obviously helps also because it also has a very high renewal ratio.

So it's really a mix of renewals, some pricing in private cars with OEMs, which we've known on direct price setting and expanding distribution network in OEMs both for two -wheeler and four -wheeler.

Divij Punjabi : I just had two more questions. One was regarding the group health segment. How is the pricing intensity over there right now? Has it improved? And second is like if the impact of the INR1,700 crores of deferred acquisition can be quantified to P&L for H2, that would be very helpful.

Kamesh Goyal: I already said that INR710 crores out of INR1,700 crores will unwind in H2. I think on the pricing side, maybe September was slightly better in group health, but I would not really say that the pricing has substantially improved. And that obviously also shows in the loss ratios of all the companies. I think on the employer -employee, we would still not be growing compared to last year.

And last year, we obviously had degrown. So -- but again, I think as an overall premium, this would become, hopefully this year, 18% to 20% of the gross written premium in the industry.

So if the loss ratios continue to go up, and you have also seen in the industry, a lot of companies which were benefiting with old tariffs with the hospitals, lot of that also getting revised.

Our sense is that loss ratios, which people expect will follow in health, it might not be that the tariff rates increase are happening because for a lot of companies, tariffs are getting increased after 3, 4 years. So we feel that group health should reall y see some increase in pricing. And as and when that happens, then we, of course, would be delighted to increase market share in that segment.

Moderator: Our next question comes from the line of Nidhesh from Investec.

Nidhesh : Sir, my question is on Motor OD. So in Motor OD, we have seen our loss ratios have increased, which you have explained the share of renewal. So in future also, as the share of renewal business is expected to further go up, do you expect further increase in loss ratios?

Kamesh Goyal: So, I think Nidhesh has -- we have always said that we basically look at loss ratio and acquisition costs together. So a new, as we -- as everyone knows, new cars, the acquisition cost is fairly high but loss ratios are much lower. In case of renewals, acquis ition cost is lower but loss ratio would be a bit higher.

When we put both of them together, the way we drive ourselves is that on that basis, we are actually doing fine. Now whether the mix will change or not, I would say that we should -- all of us are hoping, and I already said that we expect an H2 new vehicle sales to be better than what it was in H1.

And if that happens, then obviously the mix could be more towards new vehicles compared to non-new vehicles OD premium because as I already said, the first half, things were not really -- not that good. Secondly, I think OD claims can also, Nidhesh, be very seasonal. And if I just look at, and this is just making a comment for the month of October.

If you look at October number OD claims compared to September, say, for digit, we have actually seen a reduction in number of claims by roughly about 10%, 11%. So there will always be a bit of a seasonality both in terms of claims, which are driven more by flood, or May, which typically is a holiday period where we see very high number of claims and also what the new vehicle sales will be like.

So one point, in our view, assessment, one cannot put all of these into some sort of a projection to say what is likely to happen in Q3 and Q4. Personally, if you as

k us, we would be happy that

if new business share increase because we want the economy to well, we want to write more new vehicle business. So we would not want to be in a situation where new vehicles continues to suffer. And we are h appy writing more new renewals.

Nidhesh : And can you explain what steps you're taking on the claims front in the motor business in terms of garage network, etcetera? And because some of your peers are sharing data that how much of

the claims are getting adjusted through their preferred garage network. So if you can speak about the steps that you are taking on the claims front?

Kamesh Goyal: Nidhesh, I would not try and tell you how we book the meal. Just look at the loss ratio. And you assume we do nothing compare our loss ratios in OD whichever companies were doing all the steering and discounting and all that stuff. We have seen this story play on the health side. Maybe motor is the new -- my CEO is telling me not to say all this.

So, I would say, Nidhesh, whether we look at fraud, as an example, and we covered that in detail in February, I think network, obviously, we have much more heft in network because, as I said earlier, our non -dealer channel business is also increasing. So all these things you have to continuously do.

Continuously means continuously. I can even tell you, we track on a daily basis number of claims in OD seen by our losses as well. We have this productivity on a daily basis. So all these details which we get into, then it lead to that sort of outcome, whi ch all of us want and we obviously want to continuously improve.

But our nature is not -- our philosophy has not been to unnecessarily speak about some of these things. We try and cover some of these areas in our annual meet, and we'll obviously cover that. But all these things happen on a continuous basis and everythin g is tracked by the management team.

Moderator: Our next question comes from the line of Dipanjan Ghosh from Citi.

Dipanjan Ghosh : So a few questions from my side. First, you mentioned that the non -employer -employee mix within group is like 70% currently. If I recall correctly, it used to be more like 80 -- sorry, employer -employee mix is like 70% currently. If I recall correctly, it used to be like 80%, 85% a few quarters back.

So given that your non -employer -employee has increased, just wanted to understand despite that claims ratio on the health part excluding the government business is more like stable Y -o-Y. So just on the employer -employee business, given your focus on more small businesses and corporates, how has the loss ratio been trending in that part of the segment? Can you give some color on how the growth rate would be.

Second, at the start of the call, you mentioned your motor business growth since or rather post -GST cuts, but if you were to compare, let's say, festive to festive on an apples -to-apples basis, can you give some color on how the growth rate would be in tha t case across auspicious dates?

And lastly, in terms of the motor mix you mentioned, just wanted to clarify, is it for the second quarter or first half? And if you can give the corresponding data point for the last year's base?

Kamesh Goyal: Sorry, what was the last question, Dipanjan? I didn't...

Dipanjan Ghosh : Yes. Sir, you mentioned the motor mix between TV, two -wheeler and CV. So I just wanted to understand if it's for 2Q or one is on the same for the last year?

Kamesh Goyal: So last year, it was 41% in private car, which has increased to 45%. Two -wheeler was 27% last year, which has increased to 30%. And in CV, it was 32% last year in this quarter, I'm only giving Q2 figures, which has reduced to 25% this year. Now in terms of new motor business, I would just maybe want to remin

d everyone that September '24, we actually had a sh raad during this period.

Navratras and Dussehra was in October and if Diwali, I remember, offhand on 4th of November. So basically, we should not be looking at September to September numbers because last year was a bit different from that perspective.

Now having said this, when we are looking at the vehicle sales post 22nd September new vehicle sales, a lot of this Vahan data is also available, because we have to look at retail sales and not really look at sales, which the manufacturers, although it is coming from the OEMs. So we are not looking at the dealer billing, we are looking at Vahan registrations.

So 2-wheeler has been very strong even if we look at October to October comparison this year, number of two -wheeler sales have been very good. And two -wheeler sales even in the H1 was pretty decent. Then we look at private cars, in terms of number of units, there is one big difference which we are seeing, and it is expected to continue, that last year post -Diwali, the sales have dipped a lot.

This year, when we talk to dealers and everyone, a lot of cases, the inventory is also not there for some of the models, which are highly sought. So the expectation from the dealers and everyone is that the next 4 days also will be very strong, and people expect that the existing deliveries will continue till 7th of November.

So we should ideally compare two -wheelers festival period of last year for this year at least till 7th or 10th of November rather than just look at this period because of the reasons I have mentioned.

Now coming to non employer -employee, I would say that it used to be -- as you said, it used to be higher. It has reduced. It's a mix of both reasons but non -employer -employee is actually growing decently. While the other business is -- the employer -employee is not seeing that sort of a growth.

However, one would not -- I would not suggest, Dipanjan, to see it on a quarter -by-quarter basis, but one should see it more on a YTD basis. But -- and also in non -employer -employee because of 1/n, we obviously cannot book all the business. So that benefit also doesn't really show in the combined ratio.

Moderator: Our next question comes from the line of Vinod Rajamani from Nirmal Bang.

Vinod Rajamani : I had two questions more at an industry level. So the -- if I look at the sales of vehicles, I know it's early days yet, but the proportion of the EV vehicles vis -a-vis the ICE vehicles has been rising. This might be a larger -- it may have a it may play o ff more in terms of two -wheelers, but even in four -wheelers -- even in passenger vehicles, there is the slight increase in EV vehicles

and the issue with EV vehicles, which the losses also say is that there is a greater probability of total loss because it's completely sensor -based and so on vis -a-vis, say the ICE vehicles.

So if this trend continues of the proportion of, say, ICE vehicles reducing, do you think the industry is kind of equipped in terms of pricing because -- there is a greater chance of total loss in terms of -- and also the number of moving parts are less, so there would be lesser spare parts and so on. So with regard to, say, EV, that is question number one. So my question is more at an industry level. Do y ou think the industry is pricing this well?

The second is on this health, the CGHS kind of ruling happening, the price rationalization as far as CGHS is concerned. Do you think the health group, say, employer -employees could benefit in terms of lesser kind of -- lesser issues as far as hospitals are concerned? So these are the two questions I have.

Kamesh Goyal: Thanks, Vinod. So I think you have, I would say, explained the challenges in electric vehicles well. I think in two -wheeler, if you look at, new two -wheelers have 5 years of TP an

d 1 year of

OD, and the OD premium itself is much lower in percentage or in p roportion. So two -wheeler is something where it is a lot more manageable.

When we look at cars, I would say, electric cars definitely have much higher claims ratio. And especially in case of floods, the repairability becomes much lower especially if the batteries can't

be repaired, and we have seen in case of two -wheelers also t hat not all manufacturers are in a position to repair the battery.
Based on what we see in the market, our sense is a lot of players are not pricing electric cars appropriately. And maybe our market share in electric cars, new cars is substantially lower than in nonelectric cars. So I'm not saying others are wrong but we are right. All I'm saying is based on our understanding, actually, we are seeing reduced market share in electric -- new electric cars compared to what we expected it to be or for nonelectric cars.
Now on the health side, I think the initiative of the industry to jointly discuss with hospitals rates, I would say, is a very welcome initiative because this is good both for the hospitals where there will be transparency in terms of pricing so they know that what they'll get. They don't have to negotiate with individual companies.
And for companies also, the disputes will likely to come down. However, we should again keep this in mind that there are more than 12,000, 13,000 hospitals, And even if we look at the top 700, 800 hospitals, which contribute probably to 35% of the claims, especially in the metropolitan areas, this will take some time for the General Insurance Council to reach.
But once it reaches transparency, I would say, is good for the customers and all players in the industry. And one can then also price it properly. But we are still some time away from reaching some sort of a scale or tipping point where one can say that th is will benefit the industry or not.
Vinod Rajamani : Sir, just one quick follow -up. How would you kind of in terms of the loss ratio, say, on a ICE vehicle versus an EV vehicles, how would you kind of -- if you had to give a kind of rough number, what would be the differences what I'm interested in knowing?

Kamesh Goyal: So Vinod, this will depend upon what percentage of claims are coming due to floods essentially. And I would say that giving a number would mean that I would have to assume what percentage of claims will come from the floods.
But in case of flood -related claims, if I have to put a number, the loss ratio of electric vehicles in cars can be 20% to 25% higher than non -electric cars.
Vinod Rajamani: Thank you, sir. That's all I want to know. Ye s, yes, that's all I, that's something I was interested, yes.
Kamesh Goyal: When it comes. If you want more detailed, thinking of starting insurance company, happy to chat on the side.
Moderator: As there are no further questions, I now hand the conference over to the management for closing comments.
Kamesh Goyal: So I just, I think, wanted to thank everyone for joining the call. This was our sixth quarterly call. And since we have two minutes, I just want to repeat our philosophy for -- so that we also know it gets the reinforced within us as well as it also gets conveyed to all of you.
I think we don't give forecast not because we don't want to but because our product mix, etcetera, changes substantially. We gave you a good indication of this in CV vehicles. We also explained how if pricing goes slightly at a threshold level for us, then we start seeing very high growth, which we are seeing in commercial lines.
Secondly, we, this time have declared deferred acquisition cost transparently because in IFRS this is included. And when we look at IFRS, ROAE profit, we look at IGAAP profit and add deferred acquisition cost to that and then take 25% profit. So, you know clearly

that this profit
of coming of deferred acquisition cost will actually come. It is for real and it will come in IGAAP.
The third point, which we always do, and maybe I should repeat it is to say, though the premium comes by 1/n, but we provide all acquisition costs in our quarterly results. There is no liability which is not provided for in terms of 1/n in our case.
Fourth is product mix in motor plays a very important role. We gave you an example of 2-wheeler business, where an increase of roughly about INR117 crores compared to last year in Q2, it led to an additional loss of INR53 crores because commission has to be provided upfront.
Fourth that we always look at core insurance profitability, which basically means normalized TP reserve released and normalized investment income without substantial capital gains and that is how we continue to drive business. And whether it is direct or i nward facultative or whatever, we will always take steps if we find a business or a segment is not giving us the desired profitability, we always take corrective action in those areas.
Lastly, we are happy that in Q2, we are now -- we have the highest ever market share of 6.2%. For a company which was seen only a TP player 5 years back, I think our TP and OD market

share is coming close. Again, I'm not saying this is good or bad. I'm just saying that how fast the mix can change in case of digital. Thanks, everyone, for joining the call. Have rest of the good day. Thank you.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2026

Go Digit General Insurance Limited | Registered Office: 1 to 6 Floors, Ananta One (AR One), Pride Hotel Lane, Narveer Tanaji Wadi, City
Survey No. 1579, Shivajinagar Pune - 411005 Maharashtra | CIN: L66010PN2016PLC167410 | IRDAI Reg. No : 158

Website www.godigit.com Email Id: hello@godigit.com Toll free 1800-258-5956

Date: 29th January 2026

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Mumbai – 400 001
BSE Scrip Code: 544179 To,
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G Bandra Kurla Complex,
Bandra (East), Mumbai – 400 051
NSE Symbol: GODIGIT
Subject: Transcript of earnings call of the Company for the quarter and nine months period ended 31st December 2025
Dear Sir/Madam,
Pursuant to Regulation 30 and Para A of Part A of Schedule III and Regulation 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith transcript of the earnings conference call held on Thursday, 22nd January 2026 on performance review of the Company for the quarter and nine months period ended 31st December 2025.
The above information is being made available on the Company’s website at www.godigit.com .
We request you to kindly take the above intimation on record.
Thanking you,
Yours sincerely,
For Go Digit General Insurance Limited

Tejas Saraf
Company Secretary & Compliance Officer

“Go Digit General Insurance Limited Q3 and 9M FY’26 Results Conference Call”

January 22, 2026

MANAGEMENT : MR. KAMESH GOYAL - CHAIRMAN , GO DIGIT GENERAL INSURANCE LIMITED
MODERATOR : MR. ANSUMAN - ICICI SECURITIES

Go Digit General Insurance Limited
January 22, 2026

Moderator: Ladies and gentlemen, good day and welcome to Q3 and NM FY'26 Results Conference Call of Go Digit General Insurance Limited hosted by ICICI Securities.
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.
I now hand the conference over to Mr. Ansuman from ICICI Securities. Thank you and over to you, sir.
Ansuman Deb: Good evening, ladies and gentlemen, and thanks, Danish. Indeed, an honor to host the Senior Management of Go Digit General Insurance for their Q3 & 9-month FY'26 Results Conference Call.
I now hand over the call to Chairman – Mr. Kamesh Goyal. Over to you, sir.
Kamesh Goyal: Thanks, Ansuman, and good evening, everyone, and thanks for joining.
Let me just start by saying that in December, we had done a very short call explaining the merger between the holding company Go Digit Infoworks with the Go Digit General Insurance Company Limited. Basically, the shares which are held by Go Digit Infoworks are being split into three shareholders, which is Oben Ventures, FAL, and in my individual name. In addition, about 11,69,000 shares, roughly about 0.03% of the shares are being issued at a price of about Rs. 375.10. The price at that time of digit share was ~343. So, this will increase promoter shareholding by 0.03%. Other than that, there is no difference. The management stays the same, both stays the same, and the way the company is managed in terms of between the two promoters, that also stays the same. So, I thought I will just quickly cover that piece for the benefit of people who did not join the call in December.
Now, moving to the deck which has been uploaded, coming to Slide #4:
As you know, this is a usual slide where we give gross return premium, market share in motor and total, which is 3.4 and 6.5. How many products, so in retail now, and even otherwise, we have all kinds of products, 8.1 crore customers, close to 80,000 partners, and AUM now exceed Rs. 22,000 crore for the first time at Rs. 22,509 crore, and the customer satisfaction survey or the Net Promoter Scores (NPS) continues to be quite healthy.
Moving to the next slide, and this is where I will probably spend a bit of more time. If you notice, this is the first time we are actually declaring the combined ratio under IFRS basis. When we say combined ratio under IFRS basis, what it means is that it is on net earned premium basis, not net written basis. Everything else is the same. The only difference is that acquisition cost

which is getting deferred here over the policy premium on period. Similarly, the reinsurance commission which is earned in Indian accounting, that is also upfront accounted for, that is also getting deferred during the policy period. We have not taken any benefit of discounting of reserves here in claims, so the claims ratio would exactly stay the same as IGAAP because both are on NEP basis. Only the expense ratio now moves to NEP basis with the deferment of commission as well as income, which is also in reinsurance getting deferred.
Now, when we look at the premium income, the premium income stood at Rs. 2,500. In Q3, GDPI is about Rs. 2,557 crores compared to Rs. 2,115 crores, which is a growth of 20.9. On a gross written basis, the premium is Rs. 2,909 crores compared to Rs. 2,677 crores, which is recording a growth of 8.7%. Now, the question is why growth on the GWP basis is lower. So here basically, last year we had written a premium of roughly about Rs. 250 crores. Let me get the exact figure, Rs. 254 crores last year, which was a government health business, which was written on an inward f

acultative basis. This year, this business is only Rs. 38 crores, because we did not accept the government health business in this quarter, the same business which we wrote last year, because in our view, the pricing was not adequate on this basis. So I think that is one point I wanted to speak on the GWP and GDPI difference. And we will cover this later, in GDPI, we have seen growth across all lines of business.
The profit before tax has jumped to 37% to Rs. 163 crores compared to Rs. 119 crores during the previous quarter. Now, the impact of new wage code in this quarter is about one time Rs. 7 crores. So this also is impacting the IGAAP COR by 0.3%. If this was not there, the profit would have actually increased to Rs. 170 crores compared to Rs. 119 crores. Profit after tax now is Rs. 140 crores compared to Rs. 119 crores. I would like to mention here that the Company has now no accumulated losses. The tax rate which we have been calculating from the start of the financial year is roughly about 14%. And we expect even in the next quarter, the tax rate to be 14%. And then from next financial year, the tax rate would move to 25%.
Now, I already explained what the combined ratio is. So if you look at the combined ratio, in Quarter 3 under IFRS basis, the combined ratio is 105, which last year in the same quarter was

106.2. So there is an improvement of 1.2%. And when we look at for nine months, against 106.9, we are at 105.6, which is again an improvement of about 1.3%. So that is something we thought that last time we had declared the DAC figures. But we got feedback that we should start now declaring combined ratio, etc. on that basis. So it gives people ideas to how the profitability is under the IFRS basis.
Now, on IFRS basis, we also give DAC, we had started last time, the pre-tax DAC is about Rs. 2,403 crores. This will obviously benefit the IGAAP books as we go forward, because the future premium will get earned with zero acquisition cost. So this is also something we are again giving the number so that if people who want to reconcile IGAAP to IFRS results, it becomes easier for them. Our advanced premium as of December 31st, 2025 is about Rs. 2,949 crores, out of which motor is Rs. 2,605 crores and non-motor is Rs. 344 crores. So when we look at advanced premium of motor, which is Rs. 2,605 crores, and we look at our motor premium for nine months,

on a YTD basis, this is roughly about 7.9%. And when we look at this number, which is declared by other companies, I think this is the highest advanced premium in motor compared to the numbers which we have seen companies which are declaring this. So this again, coming back to why this is happening in our case, is about two-wheeler portfolio primarily. And I will come to that in a lot more detail in a later slide.
AUM as I said, have already increased to Rs. 22,500 crores. And compared to December 31st, 2024, this is an increase of roughly $35.7 billion, savings in Rs. 2800 crores, which is a growth of about 18.8%. Solvency is about 230% against required of 150%, which is good.
New business in two-wheeler only in this Quarter 3 and you will remember that lower GST was introduced from 22nd September. Digit is a fairly large player on two-wheeler business. So our two wheeler business only in Q3 grew by 47%, where collected premium in this quarter was Rs. 668 crore against Rs. 456 crores of last year. And this increase of Rs. 212 crore in premium in two-wheeler collected is impacting the P&L under IGAAP by Rs. 84 crores in the quarter. And on the COR, the impact is about 3.9%.
Now this will actually give you an idea why there is a difference primarily just by two wheeler between IGAAP as well as on the IFRS results. So this again is something I think we have been speaking about the impact of two-wheeler business on this, but we thought we will again give the e

xact numbers for the quarter because two-wheeler sales in Q3 have been very strong.
Now moving to the next slide. Now I think here again, if you look back at GWP growth, I had mentioned that our growth in this quarter Q3'26, you can see in case of health travel and PAs minus 31% on a quarter-by-quarter basis. In motor, OD, TP, fire, others, our growth rate is a significantly better than the industry. But in case of Health, Travel and PA, the industry grew by 28.7% while we de-grew by about 31% essentially because of this reason. Again, just to repeat the numbers, last year we had booked Rs. 254 crores in government health in this quarter. Previous year and this year it's only Rs. 38 crores and management decided not to renew this book in view of the pricing. So if we remove this government health business from last year's base, then our growth on GWP basis also would be about 18.5%.
Now I think we also had a discussion last time during, I think, questionnaire about premium retention. This year, this quarter, you will see that we have also seeded some motor business for the first time, I think, in the recent past. And we had also discussed last time that the exposures in some motor vehicles, for example, two-wheeler electric vehicles, etc., is quite a lot. So this time Company decided to take some motor business reinsurance essentially for protecting the tail risk. This does not impact the AUM because this reinsurance agreement is on a funds withheld basis. So Company is paying a fee for this under the reinsurance arrangement and the fund stay, so there is no impact on the investment income. And again, just to repeat, in IGAAP, the reinsurance cost is upfront provided for, while in reinsurance this would get also deferred along with the premium.

Company also did a small reinsurance session to a direct company on the health portfolio. So that also is, in a way, from ROE perspective, the business is profitable. But on the IGAAP combined ratio, this is artificially reducing the net written premium, both under the motor treaty and also because of this health. But I think IFRS gives a better idea because in both the reinsurance commission as well as commission paid, both get deferred along with the premium which is getting deferred.
In terms of overall business mix, I think this has been quite a quarter for Digit, where in Q3, the motor business has touched 66% compared to 60% of last year, while industry's mix has

remained same at 36%. And the reason is that while two-wheeler business grew a lot, motor overall grew decently, but because of this 200 crores impact, slightly more than 200 crore impact on the GWP, also changed the business mix.

Within motor in this quarter, now CV is in all-time low for Digit. So out of 100% of the motor business, private car now is 47%, two-wheeler is 34%, which will be probably the highest motor component amongst all the large companies. And CV is at all-time low of 19%. So I think again, maybe some of you are familiar that about 5 years back, CV used to be like 60%-65% of our motor book. Now this is at 19%. And I think market dynamics and I think our management team's ability then to steer the business in the right cohorts just shows how the mix can substantially change in just a few years.

So secondly, I think we also have our team has also done some analysis to say every increase of 1% in private car mix from two-wheeler will reduce the combined ratio of the company by 0.1%. This is more again from IGAAP perspective, from IFRS perspective, all these don't really make a difference. I am just trying to look at the slide and see if there are any additional points. But if there are any additional questions, we will cover them.

Now moving to the next slide in terms of combined ratio:

Now here you can see that the expense ratio and combined ratio is mentioned separately. And on the top,

we have the IFRS combined ratio. And as I already said, the net written premium in this quarter is lower because of some session in group health and some reinsurance arrangement in motor where funds have been withheld, so no impact on investment income. But the net written premium has reduced, which is artificially making the combined ratio in IGAAP look bad, while IFRS, the combined ratio is improving.

Now we have already crossed in nine months last year's total profit. And last year, you would recall that we were not paying any taxes at all. So from that perspective, I think this quarter has been good at Rs. 163 crores of profit and with Rs. 7 crores one-time impact due to wage code, this number would have been Rs. 170 crores.

And moving on, this is our AUM slide. And if you look at AUM, we have crossed Rs. 22,500 crores. Our overall yield on this is about 1.9% for the quarter. So there are no major capital gains

and even if you look at last quarter, our yield on fixed income was about 7.4 on an annualized basis. And this is coming at : 7.5-7.6on a quarter basis. So investment income continues to be good and AUM also growing on a quarter-by-quarter basis.

Now, if you can look at the bottom figures, we have now as of 31st December, unrealized gains of Rs. 686 crores, out of which equity portfolio had 403, while other than equity have unrealized gains of Rs. 283 crores. So in 9 months, we have added close to about Rs. 2,750 crores and about Rs. 3,500 crores in the last 12 months.

Moving on to the asset allocation side. I have already said that our equity is about 7.4, I think it was 7.3 in the last quarter. And we continue to have decent Additional Tier-1 (AT1) bonds and fixed income portfolio continues to be good. Again, as we have discussed in the past, solvency of the company is 230%, equity allocation is 7.4. And you would remember that in the last 12 months, we have actually almost doubled, close to double our equity allocation. And we have still some unrealized gains. So I think as and when market offers the opportunity, our equity allocation will go up. If market goes up substantially from here, we still have 7.4% of equity allocation. So I think on the asset allocation side, I would say now we are in a spot where irrespective of how the market moves, we will see an opportunity to invest if it drops.

Now, moving on to loss ratios:

Now, when we look at the loss ratios, most of the loss ratios are totally in line. But one area where loss ratio has increased in this is motor OD. Now, if you look at motor OD Q4 last year, which is January '25 to March '25, a loss ratio of 70.5. And this quarter, it has increased now to 75.6%. You would have seen that this is happening across companies. Now, there are two reasons why this has happened. One reason is that there has been a drop in average ticket size in motor due to a bit of price competition, which is impacting the loss ratio. Secondly, in our case, because our renewal book is now substantial. This year, in the last, I would say from January till about September- October, we were also very focused on increasing the renewal retention across channels. Our sense is in terms of when we exchange numbers with in terms of aggregators or OEMs, or even an agency, I think our premium and policy renewal ratio is very good. So, just from a perspective that our renewal ratio with the book is substantial, we delayed a bit of a correction in the pricing. Some pricing correction already happened in October. Some has happened in January. And this issue only pertains to private car. Two-wheeler and commercial vehicle, own damage loss ratios continue to be very stable. And we feel that in the next two quarters, this is also something which will stabilize with the actions which have broadly been taken. Other than that, I would say loss ratios are more or less stable in case of all

other lines of
business. Now, going further, and in loss ratios, there will always be some large claims, etc. So, the loss ratios in a quarter can look up. But if you look at on a gross loss ratio basis, our reinsurance treaties and our gross loss ratios continue to be very decent. And then when we look at our overall combined ratio basis, each of the commercial line of business are fairly profitable.

Now, moving further, now coming to the IFRS earning. Now, when we look at this IFRS earning, I also already explained that combined ratio doesn't take any benefit of the discounting of reserves. And overall, if you look at IFRS profit, the way we look at internally, as I explained last time, is to basically look at IGAAP profit, which is Rs. 459 crores, plus deferred acquisition cost, which is Rs. 322 crores. So, one reaches a number which is Rs. 781 crores. And on Rs. 781 crores, if one takes a tax of 25% on a fully tax basis, that will give you an indication what the profit of the company is without taking into account any mark to market movements or any discounting on reserves. Because internally, that is how we look at our profitability and that is how the IFRS combined ratio has been calculated.

Now, net worth obviously is a lot more, you can see the net worth here is Rs. 7,800 crores, while the net worth under Indian IGAAP is about Rs. 4,400 crores. So, we actually have almost 80%-75% more capital in IFRS and that is the reason why the ROE on this base looks much lower, but solvency is calculated on the net worth of IGAAP. So, when the profit, the way I explained, 459 plus 322, 781, multiplied by 0.75 and then you have to divide this with the IGAAP networth. And we should not confuse the IFRS networth with the risk-based capital, because solvency, as and when the risk-based capital comes, that could actually be different than from IFRS. We don't expect IFRS networth to actually become the basis for solvency. And if that happens, we will actually have Rs. 3,200 crores of additional capital, which will be good to have, but we don't expect RBC to develop in that direction.

So, that is really from me in the call. We will be now more than happy to answer any questions that you may have.

Moderator: Thank you so much, sir. Ladies and gentlemen, we will begin with the question-and-answer session. Our first question comes from the line of Sucrit D. Patil from Eyesight Fintrade Private Limited. Please go ahead.

Sucrit D. Patil: Good evening to the team. I have two questions. As Go Digit continues to expand its core retail and SME insurance offerings, how do you see the product mix evolving over the next 2 to 3 years, particularly in balancing traditional motor and health portfolios with your digital first products? And what role will partnership and technology play in strengthening customer acquisition and retention in this growth phase? That's my first question. I will ask my second question after.

Kamesh Goyal: So, I think we have been saying in the past that we don't drive ourselves from a prospective or an ideal product mix or a channel mix because we don't know what is good at that time. And I already explained, I think, that if you look at commercial vehicles, our commercial vehicle percentage in motor portfolio would have actually become half maybe in the last two years itself or maybe even less. And if you go back to 4-5 years, then it would now be one third. So, product mix can change very, very fast. Again, I think another example is in group health. The Company let go about 220 crores of premium, which is roughly 7% of the total premium for the quarter because they did not find the pricing right. So, we actually feel that product mix in our case and

channel mix is determined more by the market dynamics, where we feel there is an opportun

ity,
then we try and grow and where we feel there is no opportunity, then we don't grow there or we even let go market share. Assuming tomorrow, say from April onwards, commercial vehicle business becomes less competitive, then that component can actually go up. So, this is something we don't drive ourselves at all on that basis. And because we don't know what the market dynamics will be and if we don't know, then we don't assume that because it is good today, it will remain good after 3 months or 6 months also.

Sucrit D. Patil: Okay, my second question to finance, again a forward looking one. With strong solvency margins and a growing customer base, how are you planning to sustain profitability while managing claims volatility and funding costs? And looking ahead, how do you see digital efficiencies and disciplined capital allocation shaping ROE and long-term resilience in the coming quarters? Thank you.

Kamesh Goyal: Well, I think I would say this is relatively easy to answer. If you look at digitization and our business model, the best example of that from the numbers is the management expenses as a percentage of GWP. I think our management expenses are 7% to GWP, which is by far best in class. I think the nearest competitor would be above 9.5%. So, the benefit of digitization and this is something which is continuing. I have said in the past that we are very conscious that this benefit has come because the Company has continuously invested in tech capabilities and digital capabilities and Company continues to invest on that front. I think when we look at from a capital allocation perspective at 230% solvency margin, if we move, for example, to 12.5% of our AUM in equity, and you would have a market drop of 20% in the equity market, our solvency, and I am giving a rough calculation, I have not calculated it, would still be north of 180%. So, there are two ways we will use this capital. One obviously is towards a more balanced asset allocation because we are really biased as of now towards fixed income, and second is can we take more retention in risk where the profitability is most. For example, in large property risk, the loss ratios are always lower compared to the SME risk. Now, can we retain more business here because solvency is stronger here. So, capital is always allocated between either underwriting or on the investment side and that is how we see capital allocation in a non-life company, especially in digit.

Sucrit D. Patil: Thank you for the guidance and I wish the entire team best of luck for the next quarter.

Kamesh Goyal: So, we don't know what will happen the next quarter and I think I will say that since the time we have started doing our roadshows for the IPO, we actually don't give any guidance because we don't know whether there will be an earthquake or there will be a flood or suddenly in December, we saw a large amount of claims, especially due to fog, which happened suddenly. We do some travel insurance business also. We saw a big uptick in December and November during the Indigo price crisis during our claims. So, it is very, very difficult for us to guess this, but we have covered this in the past that if you go back to year 2023, if I remember, when we had some nat cat events and also some large losses, even at that time on the entire portfolio, the volatility on the entire loss ratio was much, much lower. So, this volatility can be there on a quarter-to-

quarter basis, but with our sort of NEP, I think this is something which for the year will be a lot less volatile than it will be on a quarter-to-quarter basis.

Sucrit D. Patil: Thank you very much.

Kamesh Goyal: Thank you.

Moderator: Thank you, sir. Our next question comes from the line of Supratim Datta from Jefferies. Please go ahead.

Supratim Datta: Thanks for the opportunity. My first question is on the retention. Now, the retention has been coming down and Kamesh, you were very helpful in explaining how some of the strategies have changed, particularly in motor and even on the health side. I just wanted to understand what drove this strategic change wherein you thought that you should be feeding more on the motor line, particularly with respect to long tail risk, given our understanding was that your underwriting is the best in class or at least amongst the best. Hence, retention and retaining more risk was the way forward. Now that you are reinsuring more, just wanted to understand what's driving this shift? That would be one. Secondly, when I look at the IFRS accounts, you called out around Rs. 80 crores impact due to the two-wheeler business and the growth in the two-wheeler business. However, when I look sequentially, the deferred acquisition cost has only gone up by around Rs. 20 crores. It's somewhat around Rs. 118 crores for this quarter. So just wanted to understand, is there any other difference when we are looking at the deferred acquisition cost (DAC) it's not moving that much. So what's resulting in this dichotomy? Just wanted to understand that. Those were my two questions. Thank you.

Kamesh Goyal: Okay. I think when you look at retention and risk, you would remember that we always said that we want to retain more if our loss ratios are good, because this helps us in having more AUM or higher leverage, which actually drives the ROE. Now, when you look at motor example, because the premium is on a withheld basis, it is not impacting our investment leverage at all. And what has changed in this is that in the last two floods, which we have seen, the recent one in one in Chennai and one in Calcutta, what we have seen is that electric vehicles can actually have like very, very high total loss comparison compared to the, I would say, petrol two wheelers. So that is more like a tail risk, because as I already said that our market share in two-wheeler is very high. And in certain locations, we probably would be number one or number two player. So the two wheeler business is increasing a lot in some locations, the number of two wheelers we are writing is very high. So I think management decided that we could actually take some, it's like a tail risk option we have got, that in case something goes really wrong, that we have some protection. Now, this is something which would change. For example, if we wait for another three quarters, because the monsoon season will typically start from July. And we see slightly different outcome or if more technology or better technology comes where electric vehicles can be better repaired. As an example, this would change. So there is still a small cost, which one has taken more from a tail risk protection. On the DAC side, I think in third quarter, our DAC have increased by about Rs. 120 crores. And I think on the debt side, if you have more detailed

questions in terms of development, you can always connect with us offline because I think every quarter number we might not have immediately with us right now, Supratim.

Supratim Datta: No problem. Kamesh, just one last question. You said, you have the CV proportion of the business has come down. And some of my colleagues are doing some analysis, which highlighted that the CV proportion, the growth in the CV segment has been pretty good in the last few months. So just wanted to understand, with the growth coming back, do you see the proportion of CVs again going up in your mix?

Kamesh Goyal: So in our case, just the underlying growth is not important. It is also important how what is happening in the market. So I think CV business, everyone knows it has high OD loss ratio. And then the only lever is what the likely TP loss ratio is. So when we are looking at a new vehicle, one has to see it from a perspective that overall it is actually making

sense. So I think that is
something which is very difficult to predict, Supratim. But we have been a very, very large player in commercial vehicles, maybe probably the largest. And if you look at from that perspective, we know this business. And though reaching 19%, which is all time low proportion in Q3 CVs, is even a, I would say, sort of a strange surprise for us. But as the market changes, we are already in the, we are always in the market. We will some sort of a correction and we will start seeing more conversion. If this doesn't happen, we anyway are doing quite well both in private car and two-wheeler. And I also said that our retention ratios in private car are good. Base is increasing. We are now next year moving into our fifth renewal for some customers. So this obviously is something which gives us comfort.

Supratim Datta: Understood. Thank you.

Moderator: Thank you. Our next question comes from the line of Mehak from Emkay Global Finance. Please go ahead.

Mehak: Yes, hi. Thank you for the opportunity. So firstly, can you just help us with the status on the EoM compliance, which was supposed to be done by March '26? And secondly, one question on the commission ratio. So while we saw a reduction in the net retention ratios, which you explained, which was driven by health and motor segments, can you help us understand what is driving higher commission ratios? Is it being led by higher gross commissions or is it being led by lower commissions on the reinsurance business? Yes, those are my two questions.

Kamesh Goyal: So Mehak, I would say that if you're looking at IGAAP on the commission side, then it is primarily driven by two-wheeler business. I already said that if you look at just two-wheeler impact, the growth in two-wheeler impact compared to previous quarter, this is impacting our profit by roughly about Rs. 80 crores. Now this 80 crore is essentially coming on the commission side. Secondly, when you see commission on a net written basis, I also said that because of net premium reduced, because of some reinsurance we have given in case of health and some reinsurance we have taken in motor, so it is artificially looking low. The better way for commission trend would be to see it on an IFRS basis where you can actually see on a quarter-

by-quarter basis or a year-on-year basis how our total expense is moving because both reinsurance commission income also gets deferred and commission paid on the direct basis also gets deferred according to the policy period. So one cannot manage IGAAP profit in IFRS, you can't manage the profit the way you can in IFRS by booking reinsurance commission income upfront. So that probably in our view is a much better view of how the expense ratio is moving. Management expenses, I already said that seven percent is the lowest we have. On the EoM side, I think this was also discussed in detail in Board today, so even this quarter has substantially increased essentially because of two-wheeler business and secondly the Company did not write that 250 crores or 220 crores of the group health business. Since EoM is on the total premium basis and total EoM at 30% plus some allowances up to 1.5, the gross written premium mix has substantially changed. So it has moved more towards motor which is retail business and the proportion of group health or government health which comes at a very very low EoM has actually reduced. What management did today is that they put in our commission, our EoM line wise into the mix of very large private player and if we do that then suddenly you will see we notice that the EoM actually goes below 30. So basically our EoM is not driven by higher commission or lower commission, it is driven more from a segment perspective and I think that is also something which is now being debated more and more that IRDAI they came out with EoM with all the right intention and what has happened in the last two years is that commissions are actually increased because some companies increase the commission. Secondly, we also if you look at and some large companies they are taking reinsurance commission and setting it off against expenses and that is actually taking the benefit of that on the EoM side. If Digit would have done that then just in motor business, then our EoM would have improved by 1.4% on a YTD basis. Now Digit and one other large companies they have actually taken the call that doing this would be tantamount to GST, I would say violation, the way GST is and one should not do it. Secondly, this is also against the spirit of the EoM regulation. So I think EoM I would say overall very good intention to come. IRDAI would have seen the development now of close to 2 years. They would have also seen how some of the unintended consequences of this has come and how some companies have become a bit innovative in this area. So we feel that if overall expenses have to go down then one will have to move towards segment wise and if that happens then we are already compliant today irrespective of what our portfolio is.

Mehak: Got it sir. Thank you so much.

Kamesh Goyal: Thank you.

Moderator: Thank you. Our next question comes from the line of Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha: Thanks for the opportunity. A couple of questions. If you would have not done this reinsurance in the two-wheeler electric segment, how much our profit would have been lower or how much COR would have been impacted? We just want to understand on IGAAP basis the extent of benefit you got because of this reinsurance you did in two-wheelers?

Kamesh Goyal: So Sanketh, this is more an expense item rather than an income item because as I said we have taken this this year. As of now, there is no claims recovery in the treaty yet. So we have paid a cost for the option. The auction is not in the money yet. It's reducing the profit rather than increasing the profit and I hope it stays that way because when you protect the tail risk you don't expect it to play in the next 6 months, 12 months, 18 months. This is more like a as I said we want to see maybe one or two more floods and then decide whether the option cost has to go down or we don't need the option at all.

Sanketh Godha: Understood. And second maybe from a data keeping point of view, if you can tell me out of the total two-wheelers you do, how much is electric? Whether it is significantly higher compared to overall industry sales? And second, suppose the overall trend in the industry is moving more and more electric, then is it fair to say that maybe assuming no significant change in technology, is it fair to assume that you will keep on doing reinsurance in this segment and therefore the retentions in the 46:17 motor OD business will keep on coming down?

Kamesh Goyal: Not really Sanketh. So if you look at overall our market share in EV would be similar to petrol. The share of EV in two-wheeler is increasing for the industry as a whole. If you look at two-wheeler data published by the Automobile Association, you will see the proportion increasing. Now two things which are very interesting in the EV segment. One, if you look at in China where most of the batteries are imported, the prices of batteries have actually come down this year compared to the last year. So there is no real inflation which is happening on the battery side. Secondly, in case of one manufacturer, we have already seen about during the Chennai floods, that they could actually repair batteries even after the flood claim. So our sense is that due to the overcapacity in the electric vehicle area and all of us know that whether it is Europe or it is US, electric vehicles are not really increasing in proportion and there is massive oversupply of batte

ry manufacturing. Secondly, we have already started seeing one manufacturer actually do really well on the vehicle repair. And as very established two-wheeler players have started coming in who are big in petrol two-wheelers, we feel that this is something which will actually improve. Now the question obviously is in case of two-wheelers is that when there is this sudden rain which we saw in Calcutta or in Chennai, a lot of two-wheelers can suddenly go underwater. And God forbid if you are insuring a lot of two-wheelers, then you could technically get into that sort of a loss scenario. But we are not doing any correction per se to say we don't want to increase the two-wheeler proportion. Obviously, on the pricing side, we have started now making changes between ICE two-wheelers and electric two-wheelers.

Sanketh Godha: Understood. So Kamesh, out of the Rs. 100 of two-wheelers, what proportion will be electric now for us?

Kamesh Goyal: So as I said Sanket, we will be very similar to what the industry is. I don't have the figure off hand. It's not that we are over or underweight on electric two-wheeler. We are consciously not going for it. Consciously, we are not avoiding it. So this is more a market development. And as I explained the last time, and the TP claims also we have to really see how they will play in the electric two-wheeler because the acceleration, the pickup starts going down specifically after

year three and we will have 5-year insurance. So, electric two-wheelers, I think both OD and TP, personally, I would wait for two years before one would reach a conclusion that it is good or bad because if TP, it plays out the way one expects, then the TP loss experience might actually be better.
Sanketh Godha: So if it plays out in the way you believe, then whether there will be a big release in TP?
Kamesh Goyal: No. I am saying because as the battery capacity goes down, as people get used to electric two-wheeler acceleration, across the world, one has seen that loss experience in TP improves over a period of time because people get more used to it and the pickup of the battery, the acceleration also starts going down after year 3, year 4. So now, that is the reason I am saying that we are comfortable where we are, but at the same time, we cannot be 100% sure that this will be bad, but one thing we feel when looking at our data is without floods, we do not expect electric two-wheelers to be worse than petrol two-wheelers. That, I would say, we can make a statement on that basis, without floods.
Sanketh Godha: Understood. And lastly, on the overall motor OD combined ratio, which you told in your initial remarks that it is more cars driven rather than other segments driven, but still, given you clearly told that the two-wheeler contribution went up, in our view, a motor OD in two-wheelers is meaningfully very low compared to cars, then if the mix is going two-wheeler favour, ideally, the motor OD loss ratio should have improved. Is it fair to say that the advanced premium float advantage which you get in two-wheeler, you are okay to compromise on motor OD loss ratio because from overall ROE perspective, it might be still positive?
Kamesh Goyal: So, Sanket, I think the contribution of two-wheeler in overall OD premium is much lesser and if you look at in private cars, new vehicles have lesser own damage loss ratio compared to older vehicles. Now, if you look at Quarter 3, our mix is less in new vehicles in Quarter 3 in private car. It is more towards renewals and others. So, as we have always said, Sanketh, that in our case, we look at loss ratio plus acquisition cost together to look at whether the business is profitable or not profitable or what the underlying ROE is. So, I would again say that looking at any of this in isolation from a loss ratio perspective would give a conflicting picture and you know

that we do not try and manage the IRDAI combined ratio as per IGAAP accounting combined ratio because we have gone on record last year and we demonstrated it in our February analyst meet that this is illogical. Combined ratio is high, but profit is improving even without capital gains. But if you see our IFRS combined ratio, which I think I would try to explain in a bit of detail, you can see that the improvement is happening. So, we do not want to artificially drive ourselves with the KPI which we fundamentally believe and we have shown, demonstrated that it is wrong. You would also recall, Sanketh, that at that time we showed you how some companies are managing IRDAI combined ratio by upfronting the insurance commission. Now, that also you cannot do in IFRS. So, we would not look at IRDAI combined ratio, a KPI which we believe is wrong, we have demonstrated it is wrong, but we will drive ourselves to manage it from optics perspective. We will not do that. We have always said we drive ourselves on IFRS basis. We have been audited or getting our IFRS results audited. Now, we have declared

everything and what one would do under IFRS basis. We will be more than happy if other companies also declare this, then we will be happy to do a comparison on IFRS combined ratio. You know this better than I do and a lot of other people like you that if you look at our capital gains as a percentage of investment profit, which is such a big component, that also would be amongst the lowest, if not the lowest in the last quarter, in the last 9 months, in the last 27 months and when the markets are a bit shaky to sit at 230% solvency ratio to be at 7.4% equity allocation, we are in a sweet spot in the last 15 months or so. We have more than doubled our equity allocation on a very high AUM and we still have some unrealized gains. So, I am not saying all this shows that in future also we will do well in investment, but you can see what we do in fixed income, what we have done in equity in the last 15 months, once we said that now we will be increasing equity. So, we follow a very strict sort of a discipline, Sanketh, in this and you know that we do not waver from what we are doing just because we have to manage some KPI because somebody is tracking it. We do not do this, and I hope management team and I am saying this to them that after me, they also do not do this. Otherwise, I will have to come back.
Sanketh Godha: Understood, Kamesh. And lastly, the probability of EoM going segmental way again, in your view, any opinion there?
Kamesh Goyal: So, Sanketh, I would say and I think let us see, let us go by the facts. I do not think we should go by views here. So, as I have said repeatedly, for IRDAI to contain and reduce the cost of insurance for end customer is something which everyone has to agree. There cannot be any disagreement. Secondly, despite this, the expenses have actually gone up. And why they have

gone up is because some companies who write low EoM business, they went and increased the commissions or expenses in the retail business which increased the overall EoM. You have also seen If we see it from an EoM management perspective, we will see that a lot of companies have written a lot of government health and group health business to manage EoM and this is impacting their loss ratio. In our case, our management decided to let go Rs. 220 crores of premium because they felt this would be bad from a profitability perspective. Otherwise, you can imagine 7% premium which comes almost at a zero cost of EoM. This would have changed the EoM substantially. So, my sense is that regulator is very conscious. Insurance Act has also now talked about managing the cost of total expenses. From a customer's perspective, if I look at RBI report on financial stability, for the first time, they have covered this aspect very, very clearly. I

n fact, they have identified it as a stress in the insurance ecosystem. So, right from Parliament which makes the Insurance Act, from the Honorable Finance Minister, from Governor of RBI, from Chairman of IRDAI who has recently joined, in fact, one of his early statements was to increase the penetration of insurance by reducing the expenses. I personally feel that something has to be done and the way to do this is to reduce it to move. One of the ways to do is to move towards segment-wise and on segment-wise, we have actually and I would request all of you to do the same. Look at our segment line of business-wise EoM. Put it in any company you think is very good in EoM and private company. Compare us with the best and you will see we will meet the EoM criteria. So, something has to give way. If IRDAI has to achieve their objective by the financial sector and also now Parliament's objective, something has to change. Jasleen is saying enough on EoM. So, I will have to stop now.

Sanketh Godha: Yes, well understood the comments. Thanks for your answers. That's it for me.

Kamesh Goyal: Thanks a lot.

Moderator: Thank you. Our next question comes from the line of Nidhesh from Investec. Please go ahead.

Nidhesh: Thanks for the opportunity. I have two questions. One is on the IFRS ROE. So, in this line of business, what is the target ROE that we take for pricing these policies without taking into consideration underwrites major losses. And what are the levers for us to reach that particular ROE over let's say medium term on IFRS basis? Secondly, when do we see Go Digit growing in retail health insurance? These are my two questions.

Kamesh Goyal: Sorry, your voice is not very clear, Nidhesh. IFRS, I understood on ROE, but I have not understood your other question. What is it growing?

Nidhesh: Growing in the retail health insurance.

Kamesh Goyal: Okay. So, IFRS, I think I am just again repeating Nidhesh myself. You can look at Slide #13. Profit, say for 9 months, Rs. 459 crores, which is IGAAP add Rs. 322 crores deferred acquisition cost (DAC), you hit a figure of Rs. 781 crores. You take 25% out of it, which roughly is Rs. 190 crores. Maybe you can take this to about Rs. 590 crores or so, or maybe Rs. 600 crores. So, from Rs. 600 crores on the net worth is about Rs. 4,400 crores. So, Rs. 600 crores over Rs. 4,400 crores gives you roughly about 14%. I am doing now this arithmetic, you should do this properly with that calculator, and this will be for 9-months, then you can actually annualize it. So, that is how we see IFRS ROE. The deferred acquisition cost (DAC) number we have declared, we already said that all this under IGAAP has been accounted for in future, it will get earned at 0% cost. So, this gives you a very good idea of what the ROE is. Unfortunately, most companies are not declaring it on this basis. And that is where the comparison becomes tough for us. Retail health, again, I would say, and I think I don't want to repeat too much on this is that we feel that we said this already last year, we feel that one should start exploring this. And we have started exploring this. When exactly will it grow? And how much will it grow by? Right now, I don't think we are in a situation to do that. But I think on a quarter-by-quarter basis, if and once it becomes something which is like a trend, then that is something we can speak about at that time.

Nidhesh: Sure. Thank you, sir. That is from my side. Thank you.

Kamesh Goyal: Thank you.

Moderator: Thank you. Our next question comes from the line of Shobhit Sharma from HDFC Securities Limited. Please go ahead.

Shobhit Sharma: Hi, sir. Thanks for the opportunity. So, my question is on the growth. So, on the GDPI side, we have seen a very strong growth over the last nine months. So, how should we think about it given

we will have a stronger base for next year? And another thing is this growth seems to be primarily driven by the broker channel on the motor side. So, can you give us some color around the market share gains which we have on the OEM partnerships around that?

Kamesh Goyal: So, I would say I think we have said this in the past that in a market where pricing is low, our growth rate we still expect to be, our ambition is to grow more than the market. Where the premium rates we feel are good, then we expect to substantially grow than the market. I think one area which you can look at in the last nine months is fire segment, where the premium rates strengthened and then market grew, but we grew substantially more than the market. Now, what will happen in future? We honestly don't know. And if you ask me beyond the point, we don't really care because we feel that we have to look at the market realities and shift courses. We are present across areas and channels and geography. And this is something which we feel that we can move the portfolio quite a lot. You saw in fire a substantially increasing market share. You saw us becoming, if you look at in motor, we now have highest ever market share in motor, even in OD. And now the difference between OD and TP in the overall market share is also reducing because the new vehicle sales has been particularly been decent this year compared to the past. So, what will happen in future is something which is very difficult to say but look at the past and see what has been happening on GDPI during COVID years, then during bad years, when no TP increase, and you can reach a conclusion as to what the performance has been. Now, when you come to brokers, so brokers, we have to keep in mind, obviously OEM brokers are very big. But you also have retail brokers, and you also have some very large or what some people call them as prime brokers, maybe the top 7-8 aggregators of this PHP channel. Now, when we look at this, this year, two out of the three types of brokers, we would have increased market share, one of the three, we would have actually lost a bit of a market share. But overall, I think on the OEM side, etc. In two-wheeler, we are growing our market share also in overall in the private car, we are increasing our market share as of now.

Shobhit Sharma: Okay, sir. Thanks for that. And I have a question on the OD loss issue. I am sorry, I am harping again back on this. You mentioned that because of the higher share of the old vehicle in your in the overall mix. So can you help us understand how much the movement has been? Is this a very drastic movement like you are at 70%-80% kind of an OD, old vehicle mix has then gone up significantly, which is impacting the loss ratio? Secondly, is the loss ratio also impacted by the lower IDV and the lower premiums resultantly? So can you can you help us understand that impact as well?

Kamesh Goyal: Sure. So I will say that no overall OD loss ratio has increased. I also said that it is essentially in private car, the impact is a lot, the CV and two-wheeler is more or less stable. Obviously, in the last quarter, there has been an impact of reduction in IDV, because for new vehicles, etc. the lesser premium came compared to what we would have got just prior to the GST cut. So all this has impacted I also explained that there was reduction in the average ticket size in the market. And also we consciously try to stick our renewal base a bit better. I would say that corrective actions have been taken two months back, some have happened in January in a very substantial way. And some more will go online in the month of February, some in by January and some in

the month of February. So as of now, we feel that this is not something which is out of control from our perspective. We are conscious of this, and we have taken correctiv

e action on this. So it's a combination of a lot of things. And I would say that I already said this, if you look at last quarter Q4 of '24-'25, we exited that year at 70.5 that quarter. So this has been the trend, if you go back and see loss ratios of say, two of the biggest private companies, their OD loss ratios used to be in the early 50s. And now, I think if you look at our OD loss ratio, when all the companies results are declared by census, we would be still be in the best three. So this is something which we feel will get into control. And we are fairly conscious of it both of the reasons and what the corrective actions one need to take.

Shobhit Sharma: Okay, just a small follow up on this, because of the pricing action, which we have taken in the month of January, have you seen any kind of negative business impact on the volume side? And just a small question on the motor TP reserve releases. So have we taken comparatively higher reserve releases as compared to last year, if you can comment on that part as well? Thank you.

Kamesh Goyal: I would say that it's too early for us to look at trends in January, because we would want to see the trend also unfolding over two months. Secondly, if I am saying our loss ratio and OD should be in the top three, then every other company is bleeding much, much more. So we expect everyone to take corrective action. I think in GST, all of us know that after the GST idea was not to increase the premium rates. But I think everyone will start taking corrective action on the overall portfolio basis. On TP, I think if you look at last year also, Quarter 3 has the highest TP release out of 4 quarters. This year, our assessment is this year again, Quarter 3 would have the highest release. So this is something which is a bit more seasonal. And I think when we end the year, as a percentage of NEP on the TP side, we don't expect it to be substantially higher, it might be plus minus 0.5, 0.6 up, but we don't expect it to be substantially higher. But quarter three last year and this year, there is a release if an amount comes the highest.

Shobhit Sharma: Okay, sir. Got it. Thank you, sir, and all the best.

Kamesh Goyal: Thank you so much.

Moderator: Thank you. As there no question from the participants, I would like to hand the conference over to management for the closing comments. Thank you and over to you, sir.

Kamesh Goyal: First of all, thanks everyone for joining. Just quickly capturing three broad points. The merger has no impact in the way the company is run, or board is managed or management. The shareholders intend to buy 43 crores of shares at a price of 375, the promoters. So you can actually see the confidence of the promoters when they're actually putting money at a substantially higher price than the market price at that time of 345. Overall, we only look at IFRS. We have already said this on a combined ratio basis, from a profitability perspective, because IGAAP combined ratio can be managed by booking reinsurance income upfront and also by the way you are managing your net retention. In case of IFRS, both would not move the needle. And we always look at loss ratio plus expenses or commission of that line together and

not in isolation. And then the third point is that expense of management is a very good initiative of IRDAI. The unintended consequences for two years, I am sure, are being worked by them. They also know how through reinsurance commission and reimbursement some companies are trying to manage the EoM. And this also in addition has GST risk. Since I think you guys speak to all companies, companies which are doing this, you should ask them what is their assessment on the GST exposure? Looking at the EoM on the segment-wise, please put our EoM segment-wise in whatever company you think is best in class on EoM. We would meet the guidelines. Our manageme

nt expenses continue to be best in class. And finally, at 230% solvency, sitting at 7.4% of equity, fixed income yield is best in class. We feel even on asset allocation perspective, we are at a very, very good sweet spot. And we have shown that in the last 12 to 15 months on an increasing well-growing EoM base, we have actually doubled, close to doubled our equity allocation. So we are now also watching the stock markets, and we have predefined buying levels and all of that in place. And I think we look at the coming months with a lot of hope and enthusiasm. Thanks everyone for joining and sorry for extending the call by 10 minutes. If any of you have any questions, please connect with our team offline and we hope to see some time in the next month. Thank you very much and good night.

Moderator: Thank you so much, sir. On behalf of ICICI securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2026

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